

Chapter I: Management

1.1 Meaning and Concept of Management

Management manages organizations.

It coordinates resources to get jobs done for achieving goals.

It performs the functions of planning, organizing, staffing, leading and controlling.

It operates in a changing environment.

Management acts as a guide to a group of people working in the organization and coordinating their efforts, towards the attainment of the common objective.

Definitions of Management

According to F.W. Taylor:

Management is knowing exactly what you want people to do, and then seeing that they do it in the best and cheapest way.

According to Mary Parker Follet:

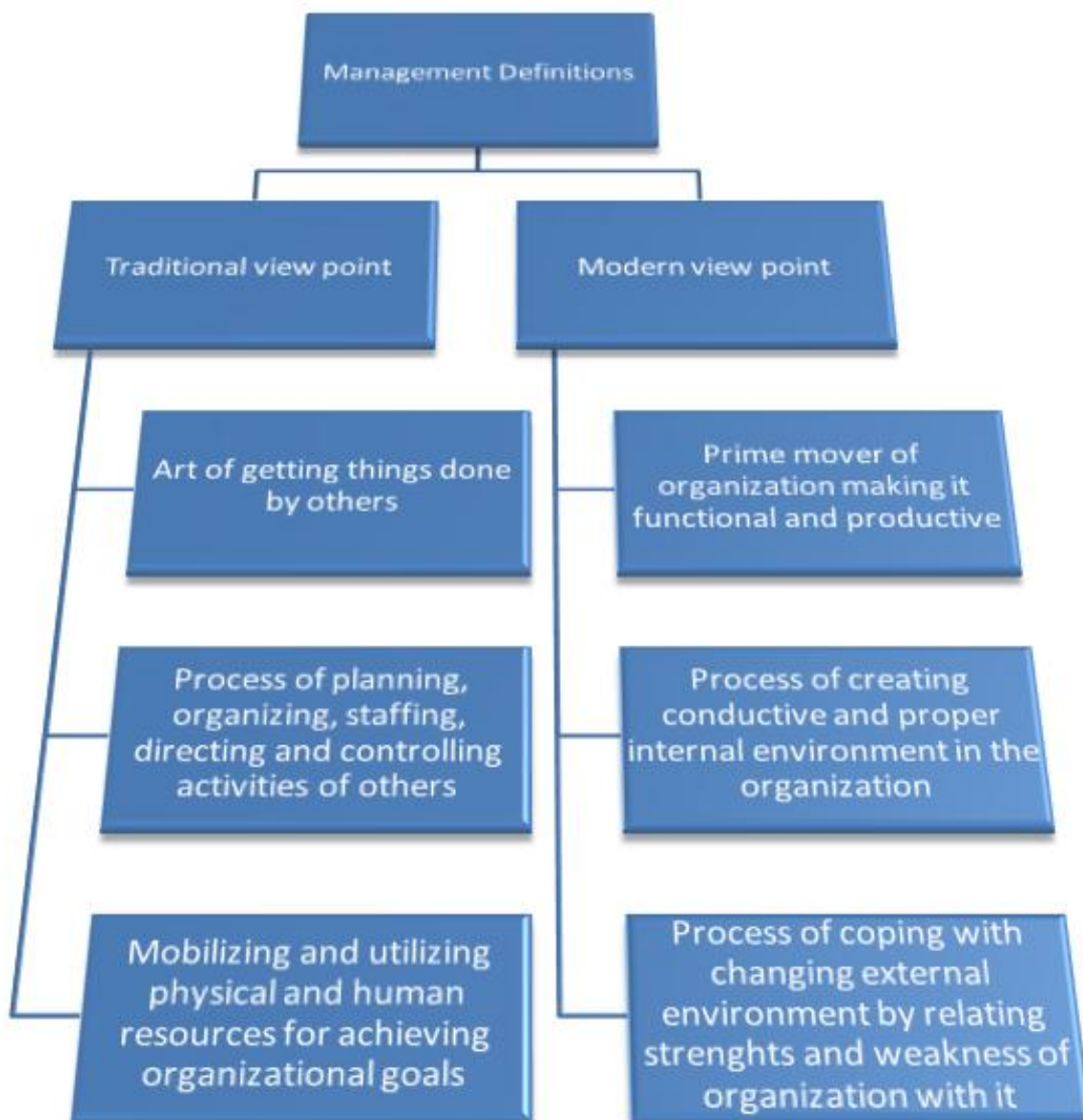
Management is the art of getting things done through people

According to Henri Fayol:

To manage is to forecast and plan, to organize, to command, to coordinate, and to control.

According to Robbins and Decenzo:

Management is the process of getting things done effectively and efficiently through and with other people.



Characteristics of Management

Management achieves goals.
Management gets the jobs done.
Management attains efficiency and effectiveness.
Management works with and through people.
Management is a process.
Management has environment.

1.2 Functions/Process of Management

Planning
Organizing
Staffing
Directing
Controlling

Planning

Planning is future-oriented and determines an organization's direction. It is a rational and systematic way of making decisions today that will affect the future of the company.

It is the first and foremost function of management, i.e. to decide beforehand what is to be done in future. It encompasses formulating policies, establishing targets, scheduling actions and so forth.

Organizing

Once the plans are formulated, the next step is to organise the activities and resources, as in identifying the tasks, classifying them, assigning duties to subordinates and allocating the resources. the function of organizing is concerned with:

- Identifying the tasks that must be performed and grouping them whenever necessary
- Assigning these tasks to the personnel while defining their authority and responsibility
- Delegating this authority to these employees
- Establishing a relationship between authority and responsibility
- Coordinating these activities

Staffing

It involves hiring personnel for carrying out various activities of the organization. It is to ensure that the right person is appointed to the right job. It involves the process of recruiting, training, developing, compensating, and evaluating employees and maintaining this workforce with proper incentives and motivations.

Directing

The directing function is concerned with leadership, communication, motivation and supervision so that the employees perform their activities in the most efficient manner possible, in order to achieve the desired goals.

The leadership element involves issuing of instructions and guiding the subordinates about procedures and methods.

The communication must be open both ways so that the information can be passed on to the subordinates and the feedback received from them.

Motivation is very important since highly motivated people show excellent performance with less direction from superiors.

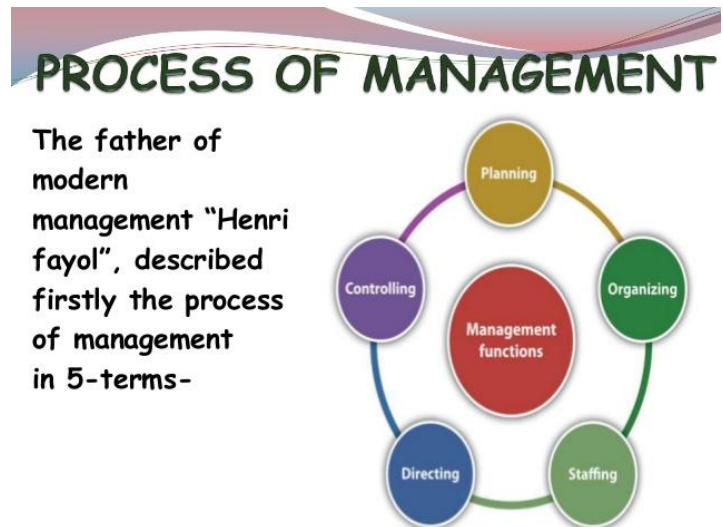
Supervising subordinates would lead to continuous progress reports as well as assure the superiors that the directions are being properly carried out.

Controlling

The function of control consists of those activities that are undertaken to ensure that the events do not deviate from the pre-arranged plans.

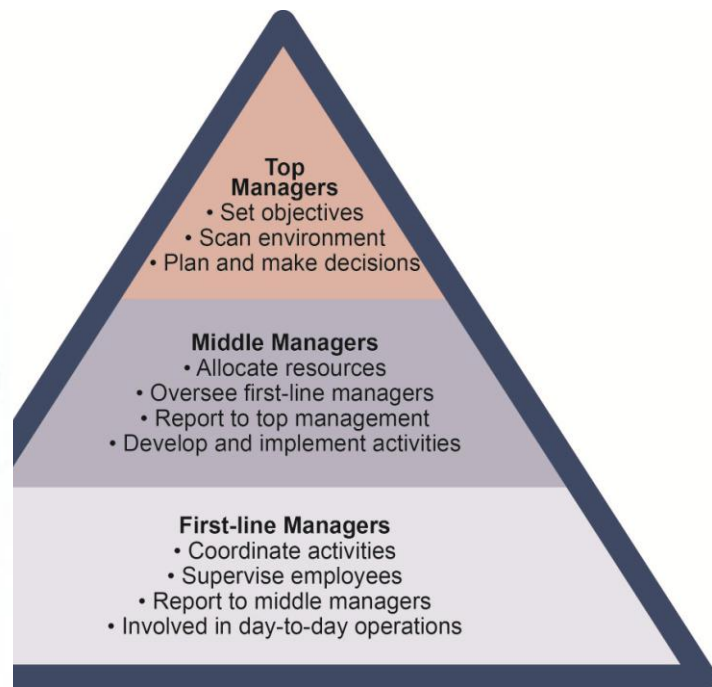
The controlling function involves:

- Establishment of standard performance.
- Measurement of actual performance.
- Measuring actual performance with the pre-determined standard and finding out the deviations.



- Taking corrective action.

Levels of Management



Levels of Management

1.3 Scope and application of Management

Although it is difficult to precisely define the scope of management, yet the following areas are included in it:

Subject-Matter of Management:

Planning,
organizing,
directing,
coordinating and
controlling are the activities included in the subject matter of management

Functional Areas of Management: These include:

Financial Management includes accounting, budgetary control, quality control, financial planning and managing the overall finances of an organization.

Personnel Management includes recruitment, training, transfer promotion, demotion, retirement, termination, labor-welfare and social security industrial relations.

Purchasing management includes inviting tenders for raw materials, placing orders, entering into contracts and materials control.

Production Management includes production planning, production control techniques, quality control and inspection and time and motion studies.

Maintenance Management involves proper care and maintenance of the buildings, plant and machinery.

Transport Management includes packing, warehousing and transportation by rail, road and air.

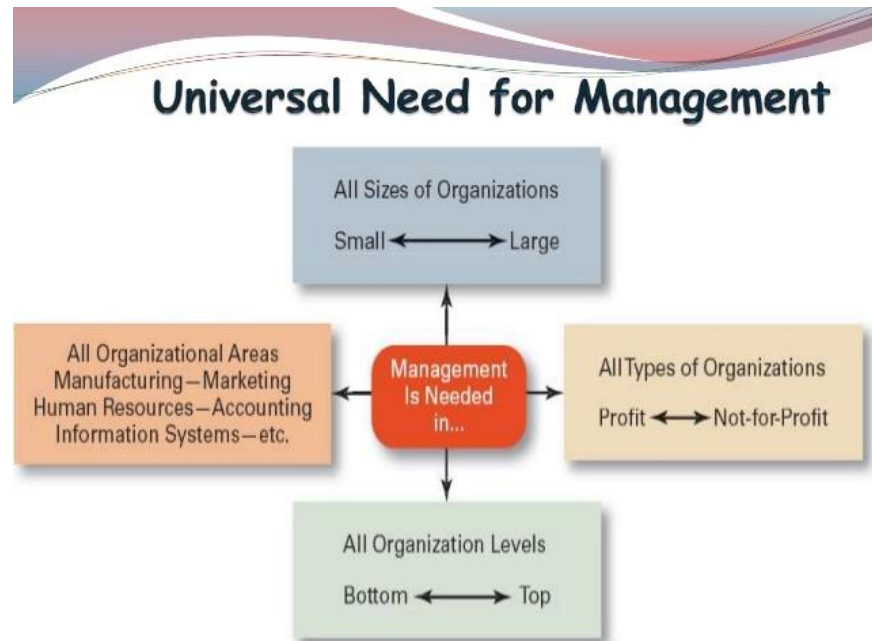
Management is an Inter-Disciplinary Approach: For the correct implementation of the management, it is important to have knowledge of commerce, economics, sociology, psychology and mathematics.

Universal Application: The principles of management can be applied to all types of organizations irrespective of the nature of tasks that they perform.

Essentials of Management: Three essentials of management are:

- Scientific method
- Human relations
- Quantitative technique

Application of Management



Importance of Management

- Acquisition and utilization of resources
- Environmental Adaptation
- Goals achievement
- Problem solving
- Performance control
- Social responsibility

Chapter II: Organization

2.1 Concept of Organization

Organization is a social system composed of people, structure and technology for achieving common goals in a dynamic environment. In other words, Organization is a human association, where two or more people come together with a certain common aim and equipment and desire to achieve certain common goals through planned joint effort and team work.

Organization

Organization is a place with certain structure, where people come and work together to achieve a common goal, in a changing environment. Tribe, ethnic groups, families are not organization.

The three essential of an organizations are: - a. people b. common goal c. Joint effort.

2.2 Characteristics of Organization

Human Association: Organization is the place where people work together to achieve the common goals. Thus, there is always the involvement of human resource to perform a variety of activities in goal achievement process.

Common goal: Every organization has its goals. It is a common purpose which binds all the individuals and groups to contribute their effort.

Division of work: Organization always divides the large task into smaller packages for easy and prompt functioning by individuals. This brings specialization in work.

Hierarchy of authority: Organization has a chain of command, determined by hierarchy of authority. Under the basis of job responsibility and accountability, skill demand of the job and complexity of the job hierarchy of authority is constructed. The power of decision making and control is always determines by the hierarchy of authority in organization.

Flexibility (Environmental Adaptation): Organizational activities directly and indirectly influence by the environmental factors. So it is always formulate its plans and policies that can match the changing requirements of environment.

Structure and Technology

Types of Organization

We find different kinds of organization in our society. These organizations are classified according to the nature and purpose. They are as follows:-

Business organization: The organization which is established in order to make profit is known as business organization. The prime beneficiaries of these organizations are the owners or shareholders. E.g. Surya Nepal Company, Buddha Air etc.

Non-profit Social Organization: The organizations which are established not for making profit but for giving or providing services to the customer/clients or community are nonprofit social organizations. E.g. Tribhuvan University, Nepal Red Cross, Bir Hospital etc.

Cooperative Organization: These types of organization are established to reduce the effort of competition and maximize the value of cooperation. The main aim of this organization is to fulfill the individual needs and prosperity of all members involved through collective effort.

Government Organization: The organization formed by the government to provide service to general public is government organization. They can be ministries, department, military, police etc. The main goals of this type of organization are regulation and welfare of general public.

International Organization: The organizations which are established by the involvement of different countries for the sake of their welfare are called international organization. E.g. ASEAN, SAARC, UNDP, IMF etc. These organizations are always engage in promoting the collective interest of member countries.

Organizing

Organizing is related to designing and assigning jobs for individuals to work more effectively and efficiently. Organizing refers to grouping of jobs, allocating jobs in divisions and units, assigning people to work, delegation of authority and responsibility to achieve a common goal.

According to Allen, Organizing refers to, "The process of identifying and grouping the work to be performed, defining and delegating responsibility and authority and establishing a pattern of relationship for the purpose of enable people to work most effectively together in accomplishing objectives."

Organizing is more related to structuring relations between people, jobs and organization through designing jobs, grouping them into manageable units and determines job related responsibility of individuals.

2.3 Principles of Organizing

Organizing is one of the major functions of management. It is performed by all managers and it is a continuous process. The principle of organizing has to do with the grouping of organizational activities into various units and dividing responsibility and authority accordingly.

Some of the widely practiced principles are as follows:

1. **Objective:** An objective is an end or goal to be achieved. The goals and objectives must be clearly defined for the entire organization for each department and even for each position in the organization structure. Once the objectives have been clearly defined, organizing function become easier.
2. **Specialization or division of Labor:** The concept of division of work is based on the principle of specialization and efficiency. Specialization helps to break down overall task of organization and divide it into the smaller component parts. Greater output can be obtained when each person concentrates on doing the thing for which he/she is best qualified.
3. **Span of control:** Span of control represents a numerical limit of subordinates to be supervised or controlled by a manager. It is believed that organizational efficiency is increased by limiting the span of control at any point in the hierarchy to a small number.
4. **Scalar Chain:** The chain of supervisors ranging from the top management to the lowest rank managers should be clearly defined. The chain of command should be short and clear which makes decision making and communication more effective.
5. **Unity of Command:** In organizing activities, it is better when an employee receives orders from only one supervisor. Direction from several superiors may result in confusion, chaos, conflict and indiscipline.
6. **Delegation of authority:** Proper authority should be delegated at all level of management. The authority delegated should be equal to responsibility so as to enable each manager to accomplish the task assign to

him/her.

7. **Responsibility:** Once authority is given, managers have to be responsible for their actions. They are also responsible for the action of their subordinates.
8. **Efficiency:** The organization structure should enable to function efficiently and accomplish organizational goals/ objectives with the lowest possible cost. Hence it should ensure optimum utilization of all resources.
9. **Simplicity:** The organization should be kept as simple as possible. A complex organization means difficulty of communication and coordination.
10. **Flexibility:** Since, external environment always changes, it is necessary to cope up with the changing environment. Organizational structure should be flexible enough to cope up with the changes in the external environment.
11. **Balance:** There should be a reasonable balance in the size of various departments and between centralization and decentralization. Imbalances creates problem to achieve its goals for an organization in an effective and efficient way.
12. **Unity of Direction:** There should be one objective and one plan for a group of activities having the same objective. A boss with many objectives will create chaos. Thus unity of direction facilitates verification and coordination of activities.
13. **Staffing:** Staffing principle focuses on employing, rewarding and developing people in the organization to motivate them in order to work in the direction to achieve organizational goals.

2.4 Formal and Informal Organization

There are two types of organization structure, that can be formal organization and informal organization. An organisation is said to be formal organisation when the two or more than two persons come together to accomplish a common objective, and they follow a formal relationship, rules, and policies are established for compliance, and there exists a system of authority. On the other end, there is an informal organisation which is formed under the formal organisation as a system of social relationship, which comes into existence when people in an organisation, meet, interact and associate with each other.

Difference between Formal and Informal Organization

2.5 Organizational Chart

Organizational charts are the graphical representation of an organization's structure. An organization chart is a diagram that displays a reporting or relationship hierarchy. It's a diagram that illustrates rank, responsibility, including information flow in your company and paints a detailed picture of the internal structure of a business. Organizational Charts are also known as Organograms, Organogram Charts (sometimes spelled Organigrams or Organigrammes), and Hierarchy Charts. Employee names and titles and/or job positions are generally depicted in boxes or circles with lines linking them to other employees and departments. By looking at the organizational chart, people can gain a quick understanding of how the organization is designed, its number of levels, and where each employee fits into the organization. The most frequent application of an organization chart is to show the structure of a business, government, or other organization.

Benefits of Organizational Chart

Show work responsibilities and reporting relationships.

Allow leadership to more effectively manage growth or change.

Allow employees to better understand how their work fits into the organization's overall scheme.

Improve lines of communication.

Create a visual employee directory.

Present other types of information, such as business entity structures and data hierarchies.

2.6 Types of Organization Structure

Organizational structure refers to the hierarchical arrangement of various position in an organization.

It is a basic framework within which the decision making behavior of an executive takes place.

Thus, a structure reflects each organization's specific situation.

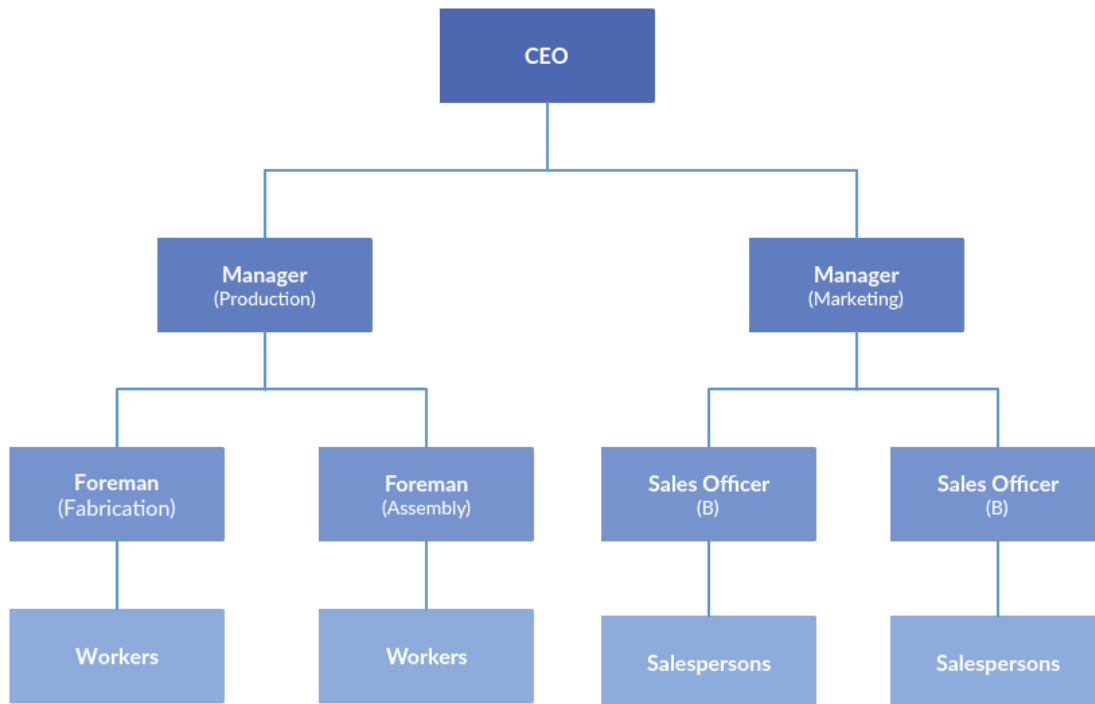
The forms of organization structure are as follows:

Line Structure

Line and Staff Structure
Functional Structure
Matrix Structure

I. Line Structure

It is the oldest and simple form of organization structure. It is also known as scalar or military type of structure. In this structure authority is passed down from top management to middle managers in the process for discharging the given responsibility and from them it goes down to supervisors and then workers. In this structure each person has one superior to whom he/she reports and looks for instructions. Thus, a single specific chain of command exists.



Advantages:

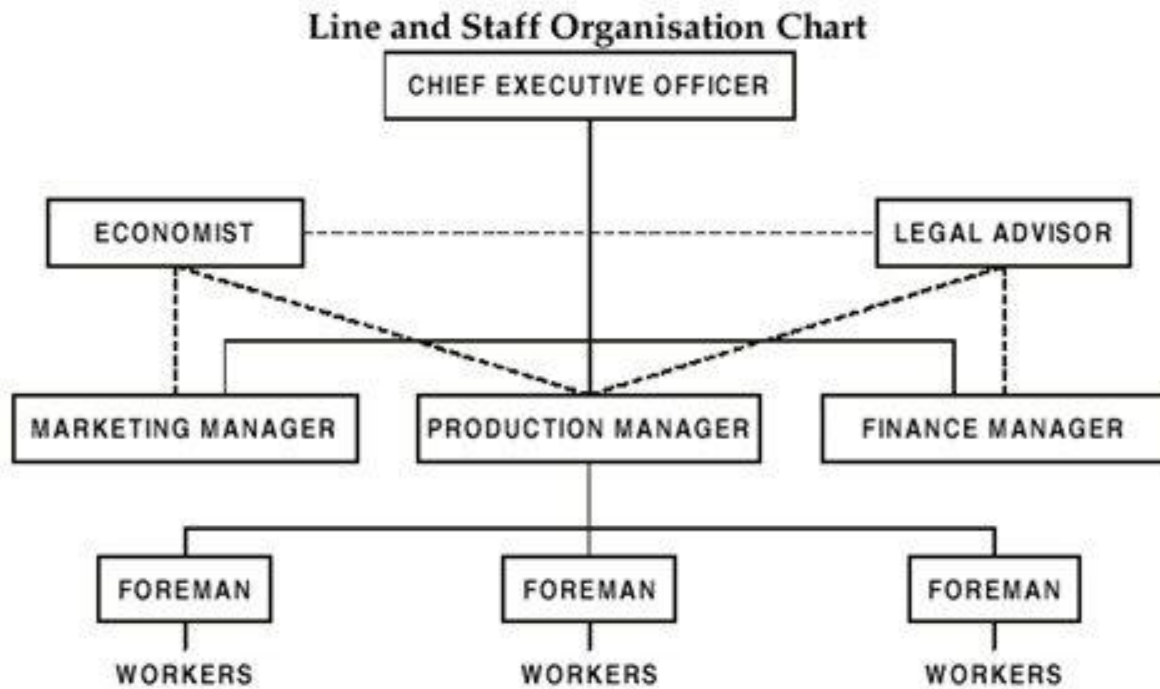
- It is Simple and Clear structure.
- Quick decision making can be ascertained on this structure.
- Good coordination.(It has effective communication and feedback system)
- It ensures Unified control and discipline.
- This structure is less costly and thus helps in maintaining efficiency.
- It is flexible and can easily cope with changing environment.

Disadvantages:

- Lack of specialization.
- Only useful in small organization and big organization where strong discipline need to be maintained.
- Centralization of authority at the top level may lead to autocratic behavior.
- Chances of nepotism and favoritism
- Key managers suffer from Work Load
- One way communication.
- Since line managers are busy on conducting operational activities which limits the scope of specialization.

II. Line and Staff Structure

Line and Staff structure comprises a combination of both line employees (actual managers who are directly responsible for the performance and people) and staff employees (who are functional experts and advises to line staff). In the line and staff structure, these experts help line managers by providing their functional expertise.



Note: Straight lines represent line and broken lines represent staff.

Advantages:

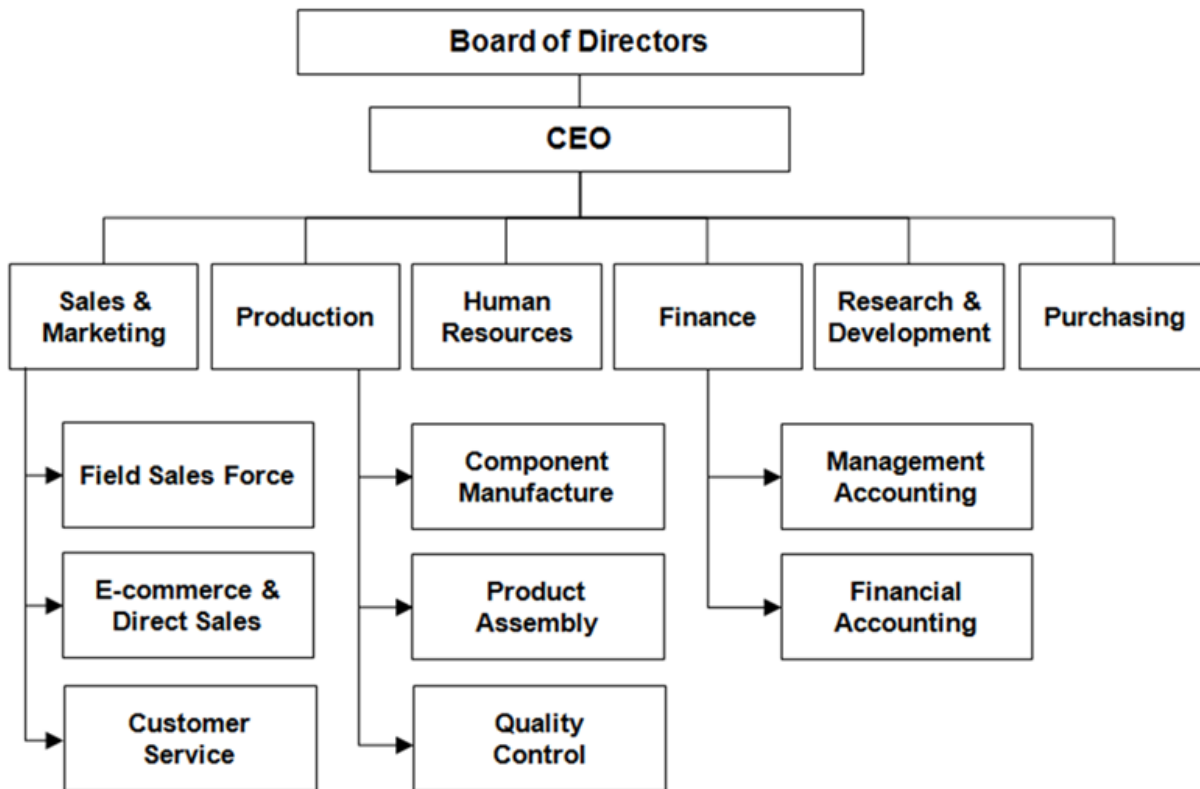
- Use of experts facilitates decision making and specialization.
- Fewer burden to line managers.
- Improvement in operational efficiency.

Disadvantages:

- Chances of Conflict.
- Increases cost.
- Difficulty in adopting creative ideas.
- Heavy inclination on staff specialist may decreases the effectiveness of line managers.

III. Functional Structure

FW Taylor originally developed the concept of functional structure. Under this structure, the entire work of the organization is divided into major functions. Every function is placed under the charge of a specialist and the subordinates are accountable to different functional specialist for the performance of different function.



Advantages:

The Use of specialist Skill facilitates work specialization.

Specialist managers increase efficiency by controlling wastage and uniform decisions.

Work is divided on the basis of functional specialization, which reduces the overburden of work to managers.

Training and development opportunities become available for the employees.

Command authority can be ascertained by the specialist.

Disadvantages:

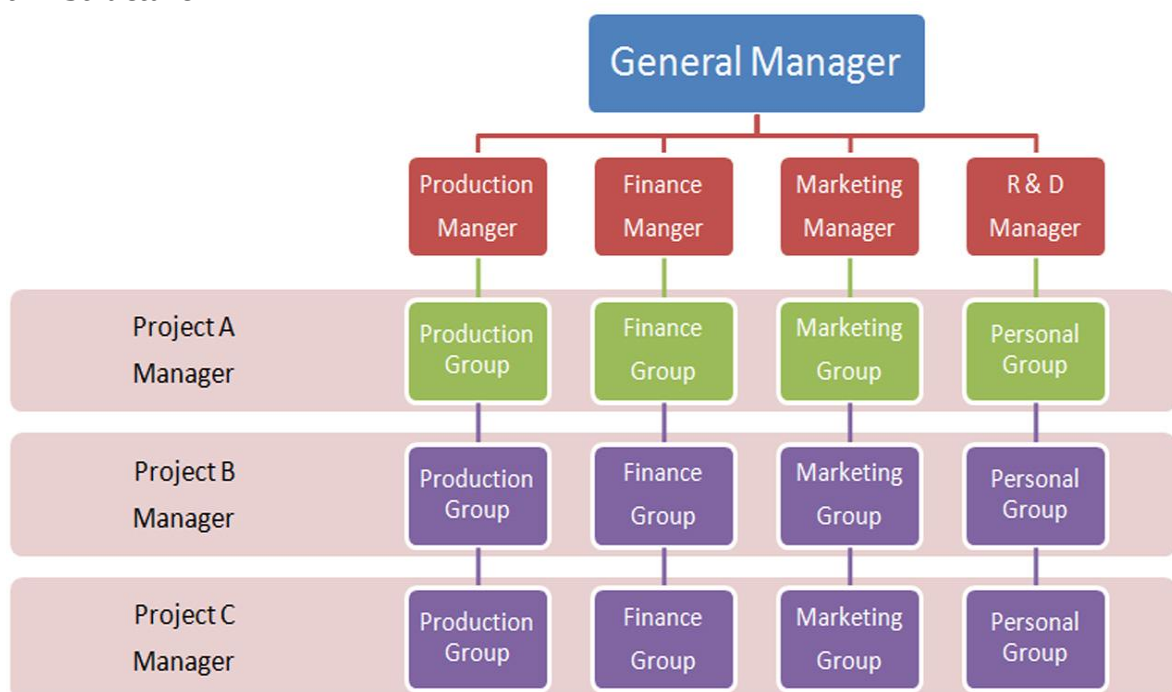
Due to lack of clearly defined authority conflict may appear between foreman and superior.

It lacks unity of command. One worker has to obey orders of several bosses sand has to be responsible to all.

Delay in decision making.

There is no provision of formal relationship among the functional specialist which may lack mutual coordination among them.

IV. Matrix Structure



Matrix organization is also called project organization, grid organization or multiple command system. In this structure, functional and departmental forms overlap. Matrix design features a multiple command structure in which one individual may have any number of superior including one functional and one or more project managers.

essential for :- rapid change in environment, face uncertainties

high information-processing requirement.

financial and HR constraints.

Advantages:

Efficient use of resources.

Flexibility

Improve in decision quality.

Opportunities for personal development.

Disadvantages:

Delay in decision making.

Power struggle.

Lack of accountability.

Lack of commitment.

2.7 Concepts of Authority

Authority is the right to give order and the power to exact obedience. (Henri Fayol)

Similarly, Authority is the right to act or command others to act towards the attainment of organizational goals.(S.P. Robbins)

Features:

It is the right to give orders and make decision.

It is provided by position by organization.

It flows from top to bottom.

It can be delegated to subordinates.

Concept of Responsibility

Responsibility is an obligation of individual to perform assigned duties to the best of his ability under the direction of his executive leaders.(Davis)

Features:

It is obligation to perform assigned jobs.

It arises from delegation of authority.

It flows upward.

Responsibility should equals authority.

Responsibility cannot be delegated.

Concept of Accountability

It is the obligation of an individual to report formally to his superior about the work he has to done to discharge the responsibility. (Mc. Farland)

It is the obligation to carry out responsibility and exercise authority in terms of performance standards established. (L Allen)

Features:

It is answerability for satisfactory performance of assigned jobs.

It arises both from authority and responsibility.

It flows upward.

It cannot be delegated.

Responsibility-Obligation,
Authority-Power,
Accountability-answerable

Delegation of Authority

Delegation of authority is one vital organization process. It is inevitable along with the expansion and growth of the business organization. Delegation means assigning of duty or task with necessary authority by superior to subordinates. In other words, Delegation is the transfer of authority to subordinates to enable them to make decisions and use resources. According to Griffin.”

Delegation is the process by which a manager assigns a portion of his or her total workload to others”

Features of Delegation of Authority:

Assigning responsibility: It creates obligation on the part of the receiver to perform the assigned duty.

Granting authority: It grants sufficient authority to accomplish the giver assignment.

Creation of accountability: Accountability is a system making people answerable towards those who delegate them authority in the management hierarchy. Thus, delegation of authority creates the accountability towards the superior.

Principles of Delegation of Authority

Parity of Authority and Responsibility: There must be balance between authority delegated and responsibility created. Since responsibility without authority makes managers ineffective and authority without responsibility makes managers irresponsible in their acts.

Unity of command: There must be one boss for one sub-ordinate.

Scalar Chain: Authority should be delegated from top to bottom.

Result-oriented: Authority should be delegated to accomplish expected goals.

Absolute Responsibility: Responsibility cannot be delegated. Superior from whom the authority is delegated is also responsible for the act of the subordinates to whom the authority is delegated.

Management by exception: Except the major or exceptional matters, all the decision making under the converge of authority should be taken by the subordinates to whom the authority is delegated.

Acceptance: Subordinates should show willingness to accept authority and consider one-self responsible and accountable for it.

Barriers of Delegation of Authority

Employees may try to avoid or not to accept additional responsibilities.

The delegation process is hindered because some managers lack confidence and trust in lower-level employees.

The fear of competition from lower level is also a barrier to effective delegation. Some managers fear that their subordinates do better job than what they do.

Employees may be reluctant (unwilling) to accept additional responsibility, as there are no extra monetary gains for such additional work.

Chapter III: Motivation and Leadership

3.1 Concept of Motivation

MOTIVATION is human psychological process.

Motivation is an inner drive that directs a person's behavior toward goals.

Motivation is a desire to achieve a goal, combined with the energy to work towards that goal.

It is an influence that triggers, directs or maintains behavior.

Definition of Motivation

According to Ricky Griffin:

Motivation is the set of forces that cause people to behave in certain ways.

According to W G Scott:

Motivation means a process of stimulating people to action to achieve desired goals.

According to Koontz and O'Donnell:

Motivation is a general term applying to the entire class of drives, desires, needs, wishes, and similar forces that induce an individual or a group of people to work.

The basic model of motivation shows that when a need exists, an individual engages in goal-directed behavior designed to satisfy that need.

Characteristics:

1. Psychological process
2. Complex and unpredictable
3. Continuous process
4. Concerned with whole individual
5. Situational
6. Influences the behavior
7. Positive or Negative
8. Intrinsic or Extrinsic
9. Pervasive function

Motivating the Workforce

What motivates employees to perform?

How can managers boost morale?

How do you maximize worker performance?

How can you encourage creativity and innovation?

Morale – an employee's attitude toward his or her job, employer, and colleagues.

High Morale

- High levels of productivity
- High returns to stakeholders
- Employee loyalty

Low Morale

- Absenteeism
- Lack of commitment
- High turnover

Morale Boosters:

- Respect
- Involvement
- Appreciation
- Compensation
- Promotion
- Pleasant work environment
- Positive organizational culture

Need and Importance of Motivation

Motivation is one of the important functions of the management.

A manager becomes unsuccessful if s/he fails to motivate subordinates.

There is close relationship between motivation and performance.

1. Understand employee behavior
2. Lead to profitable operation
3. Quality Improvement
4. High level of productivity
5. Best remedy for resistance to change
6. Effective use of human resources
7. Increase employee commitment: Satisfaction of employees, low employee turnover, reduced absenteeism, reduced rate of accidents, better employee discipline, reduced employee grievances, increase employee loyalty, Employee Retention, Stability of workforce
8. Minimizes disputes and conflicts
9. Basis of coordination
10. Minimize supervision cost
11. Achievement of goals

3.2 Incentives

Incentive is an act or promise for greater action.

It is also called as a stimulus to greater action.

Incentives are something which are given in addition to wages.

It means additional remuneration or benefit to an employee in recognition of achievement or better work.

Incentives provide a zeal in the employees for better performance.

The incentive is a positive motivational influence on a person that helps improve his performance.

All the measures taken by the management to improve the performance of its employees are incentives.

The incentives can be broadly classified as financial incentives and non-financial incentives or positive and negative incentives.

Positive Incentives

Positive incentives are those incentives which provide a positive assurance for fulfilling the needs and wants.

Positive incentives generally have an optimistic attitude behind and they are generally given to satisfy the psychological requirements of employees.

For example-promotion, praise, recognition, perks and allowances, etc. It is positive by nature.

Negative Incentives

Negative incentives are those whose purpose is to correct the mistakes or defaults of employees.

The purpose is to rectify mistakes in order to get effective results.

Negative incentive is generally resorted to when positive incentive does not work and a psychological setback has to be given to employees. It is negative by nature.

For example- demotion, transfer, fines, penalties.

Financial Incentives

In today's socio-economic [condition](#) money has become a very important part of our lives. We need money to satisfy almost all our needs as it has purchasing [power](#). Thus, financial incentives refer to those incentives which are in direct monetary form i.e. [money](#) or can be measured in monetary terms.

Money has been recognized as a chief source of satisfying the needs of people. Money is also helpful to satisfy the social needs by possessing various material items. Therefore, money not only satisfies psychological needs but also the security and social needs. Therefore, in many factories, various wage plans and bonus schemes are introduced to motivate and stimulate the people to work.

Financial incentives can be provided on an individual or group basis and satisfy the monetary and future security needs of individuals. The most commonly used financial incentives are:

Those incentives which satisfy the subordinates by providing them rewards in terms of rupees.

(a) Pay and Allowances

Salary is the basic incentive for every employee to work efficiently for an organization. Salary includes basic pay, dearness allowance, house rent allowance, and similar other allowances. Under the salary system, employees are given increments in basic pay every year and also an increase in their allowances from time-to-time. Sometimes these increments are based on the performance of the employee during the year.

(b) Bonus

It is a sum of money offered to an employee over and above the salary or wages as a reward for his good performance.

(c) Productivity linked Wage Incentives

Many wage incentives are linked with the increase in productivity at individual or group level. For example, a worker is paid 50 rupees per piece if he produces 50 pieces a day but if he produces more than 50 pieces a day, he is paid 5 rupees extra per piece. Thus, on the 51st piece, he will be paid 55 rupees.

(d) Profit-Sharing

Sometimes the employees are given a [share](#) in the profits of the organization. This motivates them to perform efficiently and give their best to increase the profits of the organization.

Financial Incentives

(e) Retirement Benefits

Retirement benefits like gratuity, pension, provident fund, leave encashment, etc. provide [financial](#) security to the employees post their retirement. Thus, they work properly when they are in service.

(f) Stock Options or Co-partnership

Under the Employees Stock Option Plan, the employee is offered the ordinary shares of the company at a price lower than its market price for a specified period of time. These are non-standardized offers and shares are issued as a private contract between the employer and employee. These are generally offered to management as a part of their managerial compensation package.

Allotment of shares induces a feeling of ownership in the employees and they give their best to the company. Infosys, GoDaddy and The Cheesecake Factory are some of the companies that have implemented the scheme of the stock option.

(g) Commission

Some organizations offer a commission in addition to the salary to employees for fulfilling the targets extremely well. This incentive encourages the employees to increase the client base of the organization.

(h) Perquisites

Several organizations offer perquisites and fringe benefits such as accommodation, car allowance, medical facilities, education facilities, recreational facilities, etc. in addition to the salary and allowances to its employees. These incentives also motivate the employees to work efficiently.

Non-Financial Incentives

Also known as Non-monetary incentives

an individual also has psychological, [social](#) and emotional needs. Satisfying these needs also plays an important role in their [motivation](#). Non-financial incentives focus mainly on the fulfillment of these needs and thus cannot be measured in terms of money.

Besides the monetary incentives, there are certain non-financial incentives which can satisfy the ego and self-actualization needs of employees.

The incentives which cannot be measured in terms of money are under the category of “Non- monetary incentives”. Whenever a manager has to satisfy the psychological needs of the subordinates, he makes use of non-financial incentives.

However, there are chances that a particular non-financial incentive may also involve the financial incentive as well. For example, when a person is promoted his psychological needs are fulfilled as he gets more authority, his status increases but at the same time, he has benefitted monetarily also as he gets a rise in salary.

Non-Financial Incentives

(a) Status

With reference to an organization, status refers to the position in the hierarchy of the organizational chart. The level of authority, responsibility, recognition, salary, perks, etc. determine the status of an employee in the organization.

A person at the top level management has more authority, responsibility, recognition and salary and vice-

versa. Status satisfies the self-esteem and psychological needs of an individual and in turn, motivates him to work hard.

(b) Organizational Climate

Organizational climate refers to the environmental characteristics of an organization that are perceived by its employees about the organization and have a major influence on their behavior. Each organization has a different organizational climate that distinguishes it from other [organizations](#).

Some of the factors that influence the organizational climate of an enterprise are organizational structure, individual responsibility, rewards, risk and risk-taking, warmth and support and tolerance and conflict. When the organizational climate is positive employees tend to be more motivated.

(c) Career Advancement Opportunity

It is very important for an organization to have an appropriate skill development program and a sound promotion policy for its employees which works as a booster for them to perform well and get promoted. Every employee desires growth in an organization and when he gets promotion as an appreciation of his work he is motivated to work better.

Non-Financial Incentives

(d) Job Enrichment

It refers to the designing of jobs in such a way that it involves a higher level of knowledge and skill, a variety of work content, more autonomy and responsibility of employees, meaningful work experience and more opportunities of growth. When the job is interesting, it itself serves as a source of motivation.

(e) Job Security

Job security provides future stability and a sense of security among the employees. The employees are not worried about the future and thus work with more enthusiasm. Owing to the unemployment problem in our country, job security works as a great incentive for the employees. However, there is also a negative aspect of this incentive that employees tend to take their job for granted and not work efficiently.

(f) Employee Recognition Programmes

Recognition means acknowledgment and appreciation of work done by employees. Recognition in the organization boosts their self-esteem and they feel motivated. For example, declaring the best performer of the week or month, displaying their names on the notice board and giving them rewards, fall under the Employee recognition program.

(g) Employee Participation

Involving the employees in decision making regarding the issues related to them such as canteen committees, work committees, etc. also helps in motivating them and inducing a sense of belongingness in them.

(h) Employee Empowerment

Giving more autonomy and powers to subordinates also make them feel that they are important to the organization and in turn they serve the organization better.

Importance/Need of incentives

To increase productivity,

To drive or arouse a stimulus work,

To enhance commitment in work performance,

To psychologically satisfy a person which leads to job satisfaction,

To shape the behavior or outlook of subordinate towards work,

To inculcate zeal and enthusiasm towards work,

To get the maximum of their capabilities so that they are exploited and utilized maximally.

3.3 Motivation Theories:

Early Philosophers

Max Weber—work contributes to salvation; Protestant work ethic

Sigmund Freud—delves into the unconscious mind to better understand a person's motives and needs

Adam Smith—"enlightened" self-interest; that which is in the best interest and benefit to the individual and to other people

Frederick Taylor—founder of scientific management; emphasized cooperation between management and labor to enlarge company profits

Classical Theory of Motivation

Money – sole motivator for workers.

Scientific focus on work tasks – increases productivity.

Satisfactory pay & job security – motivate employees to work hard.

Hawthorne Studies

Elton Mayo – postulated that physical conditions in workplace stimulate productivity.

Productivity increased regardless of light levels

Hawthorne Effect – marks beginning of concern for human relations in the workplace

Motivation Theories

Content Theories

Content Theories deal with “what” motivates people and it is concerned with individual needs and goals.

Maslow

ERG

Theory X and Theory Y

Two Factor Theory

McClelland Theory

Process Theories

Process Theories deal with the “process” of motivation and is concerned with “how” motivation occurs.

Needs-Goal Theory

Vroom Expectancy Theory

Equity Theory

Content Theories of Motivation

3.3.1 Maslow's Need Hierarchy

Abraham Maslow is well renowned for proposing the Hierarchy of Needs Theory in 1943.

This theory is a classical depiction of human motivation.

This theory is based on the assumption that there is a hierarchy of five needs within each individual.

Each individual has needs, or feelings of deficiency that drive their behavior

Once a need is satisfied, then it is no longer motivating

Needs are in a hierarchy that an individual moves up as they satisfy levels of needs

According to Maslow, individuals are motivated by unsatisfied needs. As each of these needs is significantly satisfied, it drives and forces the next need to emerge.

Maslow grouped the five needs into two categories - Higher-order needs and Lower-order needs.

The physiological and the safety needs constituted the lower-order needs.

These lower-order needs are mainly satisfied externally.

The social, esteem, and self-actualization needs constituted the higher-order needs.

These higher-order needs are generally satisfied internally, i.e., within an individual. Thus, we can conclude that during boom period, the employees lower-order needs are significantly met.

Levels of Needs

The needs have been classified into the following in order:

Physiological needs- These are the basic needs of an individual which includes food, clothing, shelter, air, water, etc. These needs relate to the survival and maintenance of human life.

Safety needs- These needs are also important for human beings. Everybody wants job security, protection against danger, safety of property, etc.

Social needs- These needs emerge from society. Man is a social animal. These needs become important. For example- love, affection, belongingness, friendship, conversation, etc.

Esteem needs- These needs relate to desire for self-respect, recognition and respect from others.

Self-actualization needs- These are the needs of the highest order and these needs are found in those person whose previous four needs are satisfied. This will include need for social service, meditation.

Implications of Maslow's Hierarchy of Needs Theory for Managers

As far as the physiological needs are concerned, the managers should give employees appropriate salaries to purchase the basic necessities of life. Breaks and eating opportunities should be given to employees.

As far as the safety needs are concerned, the managers should provide the employees job security, safe and hygienic work environment, and retirement benefits so as to retain them.

As far as social needs are concerned, the management should encourage teamwork and organize social events.

As far as esteem needs are concerned, the managers can appreciate and reward employees on accomplishing and exceeding their targets. The management can give the deserved employee higher job rank / position in the organization.

As far as self-actualization needs are concerned, the managers can give the employees challenging jobs in which the employees' skills and competencies are fully utilized. Moreover, growth opportunities can be given to them so that they can reach the peak.

The managers must identify the need level at which the employee is existing and then those needs can be utilized as push for motivation.

Limitations of Maslow's Theory

It is essential to note that not all employees are governed by same set of needs. Different individuals may be driven by different needs at same point of time. It is always the most powerful unsatisfied need that motivates an individual.

The theory is not empirically supported.

The theory is not applicable in case of starving artist as even if the artist's basic needs are not satisfied, he will still strive for recognition and achievement.

3.3.2 Herzberg's Two-Factor Theory of Motivation

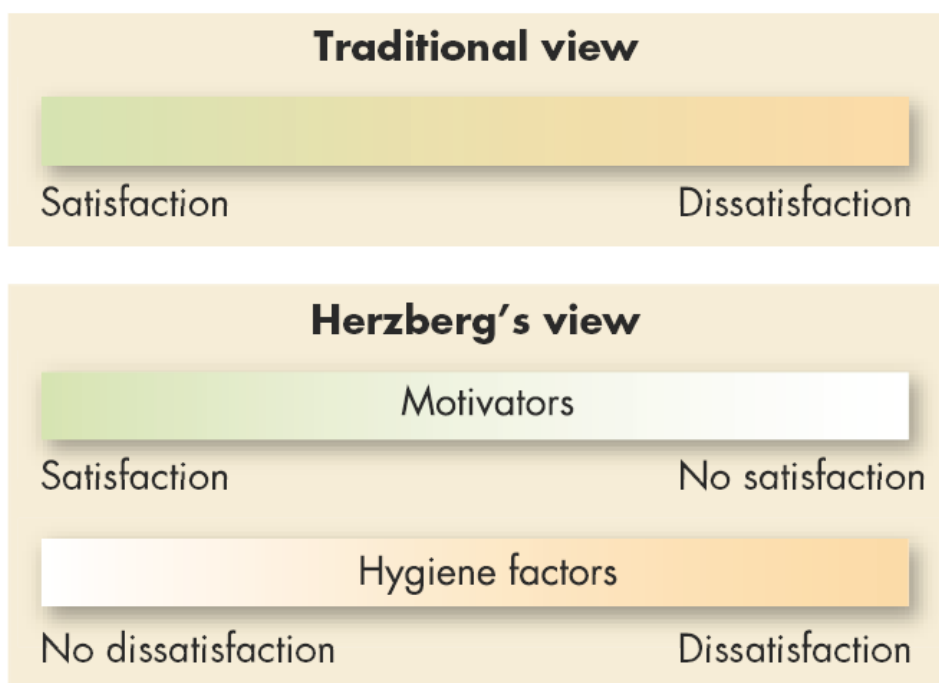
In 1959, Frederick Herzberg, a behavioural scientist proposed a two-factor theory or the motivator-hygiene theory.

According to Herzberg, there are some job factors that result in satisfaction while there are other job factors that prevent dissatisfaction.

According to Herzberg, the opposite of "Satisfaction" is "No satisfaction" and the opposite of "Dissatisfaction" is "No Dissatisfaction".

Herzberg classified these job factors into two categories: Hygiene Factors and Motivational Factors

Contrasting Views of Satisfaction and Dissatisfaction



Hygiene factors

Hygiene factors are job factors which are essential for existence motivation at

those

of

workplace. These do not lead to positive satisfaction for long-term. But if these factors are absent / if these factors are non-existent at workplace, then they lead to dissatisfaction.

In other words, hygiene factors are those factors which when adequate/reasonable in a job, pacify the employees and do not make them dissatisfied. These factors are extrinsic to work.

Hygiene factors are also called as dissatisfiers or maintenance factors as they are required to avoid dissatisfaction. These factors describe the job environment/scenario. The hygiene factors symbolized the physiological needs which the individuals wanted and expected to be fulfilled.

Hygiene factors include:

Pay - The pay or salary structure should be appropriate and reasonable. It must be equal and competitive to those in the same industry in the same domain.

Company Policies and administrative policies - The company policies should not be too rigid. They should be fair and clear. It should include flexible working hours, dress code, breaks, vacation, etc.

Fringe benefits - The employees should be offered health care plans (mediclaime), benefits for the family members, employee help programmes, etc.

Physical Working conditions - The working conditions should be safe, clean and hygienic. The work equipments should be updated and well-maintained.

Status - The employees' status within the organization should be familiar and retained.

Interpersonal relations - The relationship of the employees with his peers, superiors and subordinates should be appropriate and acceptable. There should be no conflict or humiliation element present.

Job Security - The organization must provide job security to the employees.

Motivational factors

According to Herzberg, the hygiene factors cannot be regarded as motivators. The motivational factors yield positive satisfaction.

These factors are inherent to work. These factors motivate the employees for a superior performance.

These factors are called satisfiers. These are factors involved in performing the job. Employees find these factors intrinsically rewarding.

The motivators symbolized the psychological needs that were perceived as an additional benefit.

Motivational factors include:

Recognition - The employees should be praised and recognized for their accomplishments by the managers.

Sense of achievement - The employees must have a sense of achievement. This depends on the job. There must be a fruit of some sort in the job.

Growth and promotional opportunities - There must be growth and advancement opportunities in an organization to motivate the employees to perform well.

Responsibility - The employees must hold themselves responsible for the work. The managers should give them ownership of the work. They should minimize control but retain accountability.

Meaningfulness of the work - The work itself should be meaningful, interesting and challenging for the employee to perform and to get motivated.

Limitations of Two-Factor Theory

The two-factor theory overlooks situational variables.

Herzberg assumed a correlation between satisfaction and productivity. But the research conducted by Herzberg stressed upon satisfaction and ignored productivity.

The theory's reliability is uncertain. Analysis has to be made by the raters. The raters may spoil the findings by analyzing same response in different manner.

No comprehensive measure of satisfaction was used. An employee may find his job acceptable despite the fact that he may hate/object part of his job.

The two factor theory is not free from bias as it is based on the natural reaction of employees when they are enquired the sources of satisfaction and dissatisfaction at work. They will blame dissatisfaction on the external factors such as salary structure, company policies and peer relationship. Also, the employees will give credit to themselves for the satisfaction factor at work.

The theory ignores blue-collar workers. Despite these limitations, Herzberg's Two-Factor theory is acceptable broadly.

Implications of Two-Factor Theory

The Two-Factor theory implies that the managers must stress upon guaranteeing the adequacy of the hygiene factors to avoid employee dissatisfaction.

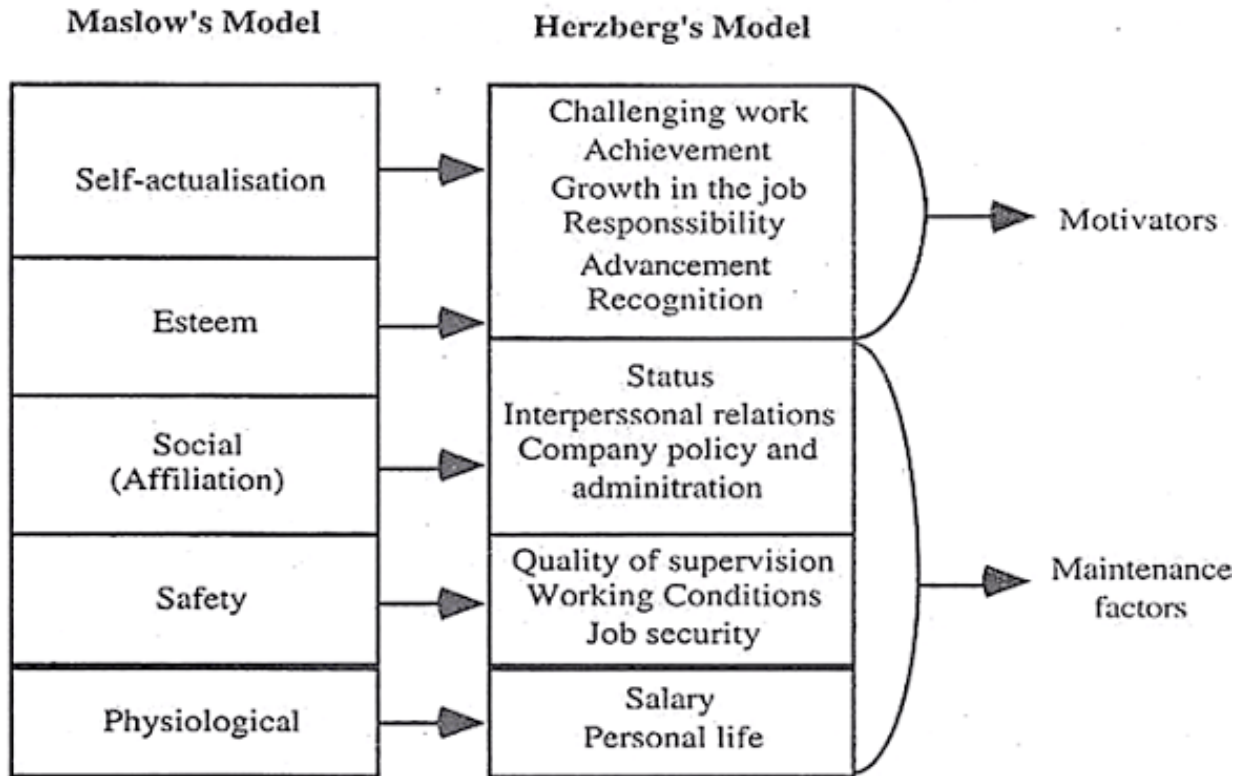
Also, the managers must make sure that the work is stimulating and rewarding so that the employees are motivated to work and perform harder and better.

This theory emphasize upon job-enrichment so as to motivate the employees.

The job must utilize the employee's skills and competencies to the maximum.

Focusing on the motivational factors can improve work-quality.

Similarities and Difference between Need Hierarchy and Two Factor Theory



MASLOW'S AND HERZBERG'S MODELS OF MOTIVATION

Key Difference Between Maslow and Herzberg's Theory of Motivation

The basic points of difference between Maslow and Herzberg's theory of motivation can be summed up as follows:

1. Maslow's Theory is a general theory of motivation which expresses that the urge to satisfy needs is the principle variable in motivation. In contrast, Herzberg's Theory on motivation reveals that there are some variables existing at the workplace that results in job satisfaction or dissatisfaction.
2. Maslow's theory is descriptive, whereas the theory propounded by Herzberg is simple and prescriptive.
3. The basis of Maslow's theory is human needs and their satisfaction. On the other hand, the Herzberg's theory relies on reward and recognition.
4. In Maslow's theory, there is a proper sequence of needs from lower to higher. Conversely, no such sequence exists in the case of Herzberg's theory.
5. Maslow's theory states that unsatisfied needs of an individual act as the stimulator. As against, Herzberg's theory reveals that gratified needs govern the behaviour and performance of an individual.
6. The needs of an individual are divided into two categories i.e. survival/deficiency needs and growth needs as per Maslow. On the contrary, in Herzberg's model, the needs of an individual are classified into Hygiene and motivator factors.
7. In Maslow's theory, any unsatisfied need of an individual serves as the motivator. Unlike in the case of Herzberg, only higher level needs are counted as the motivator.

3.3.3 McClelland's Learned Needs

Proposed by David McClelland in his 1961 book, "[The Achieving Society](#)."

Identified three set of needs:

Need for Achievement (N Ach)

Need for Affiliation (N Aff)

Need for Power (N Pow)

In the literature, these three needs are abbreviated "n Ach", "n Pow" and "n Aff " respectively.

According to McClelland, these motivators are learned (which is why this theory is sometimes called the Learned Needs Theory). McClelland says that, regardless of our gender, culture, or age, we all have three motivating drivers, and one of these will be our dominant motivating driver.

This dominant motivator is largely dependent on our culture and life experiences.

Need for Achievement

This is the drive to excel, to achieve in relation to a set of standard and to strive to succeed. In other words, need for achievement is a behaviour directed toward competition with a standard of excellence.

People with a high need for achievement perform better than those with a moderate or low need for achievement and noted regional/ national differences in achievement motivation.

Through his research, McClelland identified the following three characteristics of high-need achievers :

Has a strong need to set and accomplish challenging goals.

Takes calculated risks to accomplish their goals.

Likes to receive regular feedback on their progress and achievements.

Often likes to work alone.

Need for Affiliation

The need for affiliation is defined as a desire to establish and maintain friendly and warm relations with other people. The need for affiliation, in many ways, is similar to Maslow's social needs.

The people with high need for affiliation have these characteristics :

Wants to belong to the group.

Wants to be liked, and will often go along with whatever the rest of the group wants to do.

Favors collaboration over competition.

Doesn't like high risk or uncertainty.

Need for Power

The need for power is concerned with making an impact on others, the desire to influence others, the urge to change people and the desire to make a difference in life. People with high need for power are people who like to be in control of people and events. This results in ultimate satisfaction to man.

People who have a high need for power are characterized by :

Wants to control and influence others.

Likes to win arguments.

Enjoys competition and winning.

Enjoys status and recognition.

Implication of McClelland Need Theory

High need for achievement (n-ach)

High achievers should be given challenging projects with reachable goals. They should be provided frequent feedback. While money is not an important motivator in itself. Rather, it is an effective form of feedback.

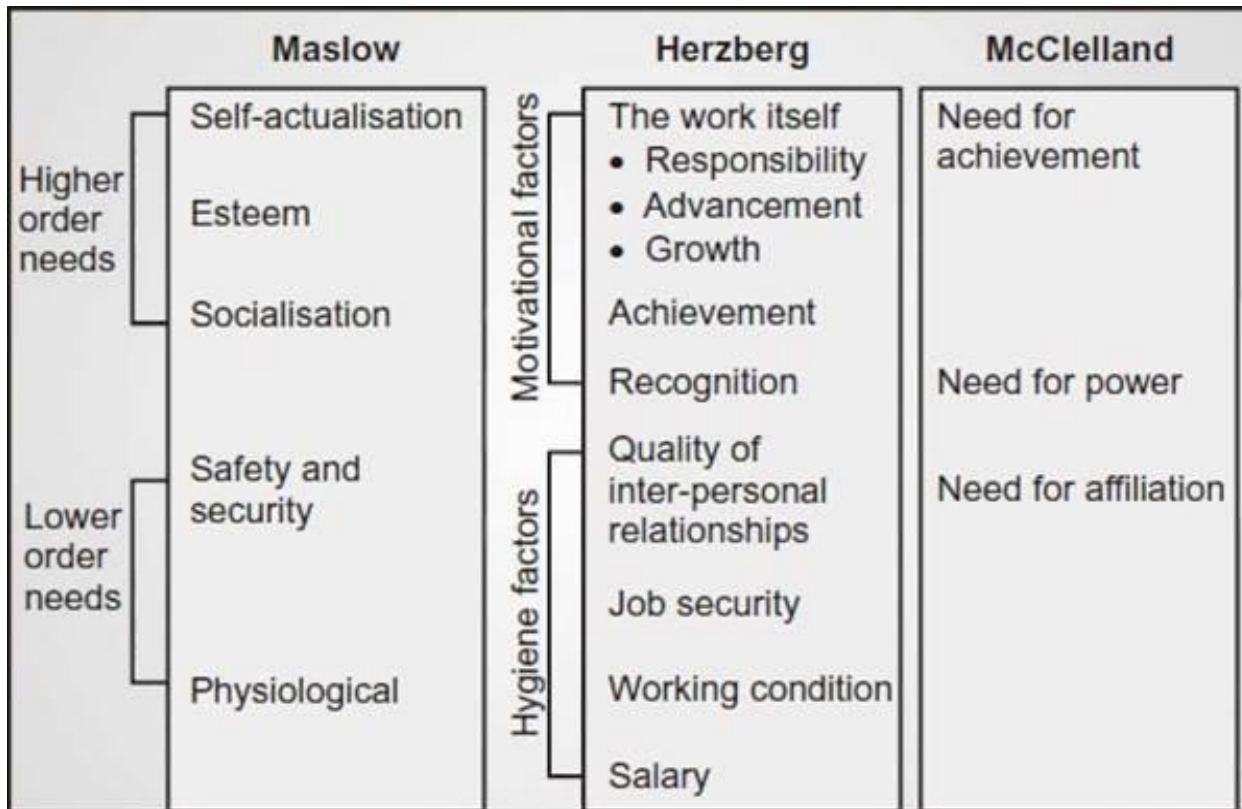
High need for affiliation (n-affil)

Employees with a high affiliation need perform best in a cooperative environment.

High need for power (n-pow)

Management should provide power seekers the opportunity to manage others.

Note that McClelland's acquired needs theory allows for the shaping of a person's needs; training programs can be used to modify one's need profile.



3.3.4 Expectancy Theory of Motivation

The expectancy theory was proposed by Victor Vroom of Yale School of Management in 1964.

Vroom stresses and focuses on outcomes, and not on needs unlike Maslow and Herzberg.

The theory states that the intensity of a tendency to perform in a particular manner is dependent on the intensity of an expectation that the performance will be followed by a definite outcome and on the appeal of the outcome to the individual.

The Expectancy theory states that employee's motivation is an outcome of how much an individual wants a reward (Valence), the assessment that the likelihood that the effort will lead to expected performance (Expectancy) and the belief that the performance will lead to reward (Instrumentality).

Vroom was of view that employees consciously decide whether to perform or not at the job. This decision solely depended on the employee's motivation level which in turn depends on three factors of expectancy, valence and instrumentality.

Expectancy Theory

Force: the motivation to choose a particular course of action.

Expectancy Theory Relationships

Effort–Performance Relationship

The probability that exerting a given amount of effort will lead to performance.

Performance–Reward Relationship

The belief that performing at a particular level will lead to the attainment of a desired outcome.

Rewards–Personal Goals Relationship

The degree to which organizational rewards satisfy an individual's goals or needs and the attractiveness of potential rewards for the individual.

Advantages of the Expectancy Theory

It is based on self-interest individual who want to achieve maximum satisfaction and who wants to minimize dissatisfaction.

This theory stresses upon the expectations and perception; what is real and actual is immaterial.

It emphasizes on rewards or pay-offs.

It focuses on psychological extravagance where final objective of individual is to attain maximum pleasure and least pain.

Limitations of the Expectancy Theory

The expectancy theory seems to be idealistic because quite a few individuals perceive high degree correlation

between performance and rewards.

The application of this theory is limited as reward is not directly correlated with performance in many organizations. It is related to other parameters also such as position, effort, responsibility, education, etc.

Implications of the Expectancy Theory

The managers can correlate the preferred outcomes to the aimed performance levels.

The managers must ensure that the employees can achieve the aimed performance levels.

The deserving employees must be rewarded for their exceptional performance.

The reward system must be fair and just in an organization.

Organizations must design interesting, dynamic and challenging jobs.

The employee's motivation level should be continually assessed through various techniques such as questionnaire, personal interviews, etc.

3.4 Leadership

Leadership can simply be defined as the ability to influence others.

Leadership is the work that is done by the leader.

Leadership has been defined in various ways.

Stogdill has rightly remarked that there are almost as many definitions of leadership as there are people who have tried to define it.

Leadership has been defined in various ways. Stogdill has rightly remarked that there are almost as many definitions of leadership as there are people who have tried to define it.

Definition of Leadership

Koontz and O'Donnell:

Leadership is the ability of a manager to induce subordinates to work with confidence and zeal.

Dubin, R.:

Leadership is the exercise of authority and making of decisions.

Allford and Beaty:

Leadership is the ability to secure desirable actions from a group of followers voluntarily, without the use of coercion.

George R. Terry:

Leadership is the activity of influencing people to strive willingly for group objectives.

Hemphill, J.K.:

Leadership is the initiation of acts which result in a consistent pattern of group interaction directed towards the solution of a mutual problem.

Characteristics of Leadership

1. There must be Followers:

A leadership cannot exist without followers. If a leader does not have followers, he cannot exercise his authority. Leadership exists both in formal and informal organizations.

2. Working Relationship between Leader and Followers:

There must be a working relationship between the leader and his followers. It means that the leader should present himself in a place where the work is actually going on. Besides, the leader should be a dynamic person of the concerned group. If he is not so, he cannot get things done.

3. Personal Quality:

The character and behaviour of a man influence the works of others.

4. Reciprocal Relationship:

Leadership kindles a reciprocal relationship between the leader and his followers. A leader can influence his followers and, in turn, the followers can influence the leader. The willingness of both the leader and the followers is responsible for the influence and no enforcement is adopted.

Characteristics of Leadership

5. Community of Interests:

There must be community of interests between the leader and his followers. A leader has his own objectives. The followers have their own objectives. They are moving in different directions in the absence of community of interests. It is not advisable. It is the leader who should try to reconcile the different objectives and compromise the individual interests with organization interests.

6. Guidance:

A leader guides his followers to achieve the goals of the organization. A leader should take steps to motivate his followers for this purpose.

7. Related to a Particular Situation:

Leadership is applicable to a particular situation at a given point of time. It varies from time to time.

8. Shared Function:

Leadership is a shared function. A leader is also working along with his followers to achieve the objectives of the organization. Besides, the leader shares his experience, ideas and views with his followers.

9. Power Relationship:

A leader has powers to exercise over his followers. The leader derives these powers from the organization hierarchy, superior know-ledge, experience and the like.

Leadership Functions

1. **Policy Maker:** An important function of the leader of any social group is to plan out the group goals objectives and policies. He has to lay down specific policies and objectives and inspire subordinates to work towards the attainment of the goal.
 2. **Planner:** The leader also functions as a planner. He decides the ways and means that are to be adopted to achieve the objective of the group. He draws up both long-term and short-term plans. Based on it, he prepares a step-by-step plan to achieve the group's objectives. He also plans for contingencies or unexpected events.
 3. **Executive:** Setting goals and drawing plans is of no use until and unless they are implemented. In his executive function, the leader has to ensure that the plans are executed. The leader has to coordinate the activities of the group. As an executive, the leader does not carry out work or activities himself but assigns it to other group members and ensures that they implemented.
 4. **External Group Representative:** The leader has to assume the role of representative of the group in its external relations. All incoming and outgoing communications are channeled through the leader. Members of other groups deal with the leader as a representative of the particular group. He is the official spokesperson of the group.
 5. **Controller of Internal Group Relationship:** The leader controls the internal relations among the members of the group. All communication in the group is channeled through him. He tries to establish good relations among the group members. He encourages team spirit and tries to develop the group in to a cohesive unit.
- Leadership Functions**
6. **Controller of Reward and Punishment:** The leader uses the power to give rewards and punishments to motivate, discipline and control group members. He rewards members who contribute and work towards the attainment of group goals and punishes those obstruct the group's progress.
Rewards may be in the form of cash rewards, appreciation in public, promotion, increased status etc.
Punishment may be in the form of scolding, taking away responsibility assigned, penalties etc.
 7. **Arbitrator and Mediator:** The leader acts an arbitrator and mediator when there are conflicts or differences in the group. He must resolve disputes in a fair and just manner. He tries to establish good inter-group relationships, reduce tensions in the group and establish harmony.
 8. **Exemplar:** The leader serves as a role model to the members of the group. He must serve an example for other to follow and set high standards. The leader must 'walk the talk.' He should practice the ideology, beliefs, values and norms laid down in the group,
 9. **Father Figure:** The leader has to sometimes play the emotional role of a father figure for members of the group. He has to be a source of psychological and moral support to the followers. He guides his followers not only in work related issues but also helps in their personal life. He sometimes acts as a punching bag for the frustrations of the followers. The followers vent out their feelings on him.

3.4 Leadership Style

Leadership style refers to a leaders' behavior towards group members.

The behavioral pattern which the leader reflects in his role as a leader is often described as the style of leadership.

Leadership style is the result of the leader's philosophy, personality, value system, and experience.

It also depends on the types of followers and organizational atmosphere prevailing in the enterprise.

The different types of leadership may be discussed under the following heads:

[Leadership Styles Based on Authority.](#)

[Likert's Four Styles of Managerial Leadership.](#)

[Leadership Styles in the Managerial Grid.](#)

Leadership Continuum.

Basic Leadership Styles

Autocratic leadership style: It refers to a leadership style where the leader takes all the decisions by himself.

Democratic leadership style: It refers to a style where the leader consults its subordinates before taking the final decision.

Laissez-faire or Free-rein leadership style: It refers to a style where the leader gives his subordinates complete freedom to take the decisions.

3.4.1 Participative Management

Participative Management refers to as an open form of management where employees are actively involved in organization's decision making process.

The concept is applied by the managers who understand the importance to human intellect and seek a strong relationship with their employees.

They understand that the employees are the facilitators who deal directly with the customers and satisfy their needs.

To beat the competition in market and to stay ahead of the competition, this form of management has been adopted by many organizations.

They welcome the innovative ideas, concepts and thoughts from the employees and involve them in decision making process.

Participative Management can also be termed as 'Industrial Democracy', 'Co-determination', 'Employee Involvement' as well as 'Participative Decision Making'.

The concept of employee participation in organization's decision making is not new. However, the idea couldn't gain that much popularity among organizations.

Studies have shown that only 3-5 percent of organizations have actually implemented this concept in their daily operations.

Though the theory of participative management is as old as the institution of employees and employers still it is not applied by a large proportion of organizations.

Methods of Participative management

Participation at the Board Level: Representation of employees at the board level is known as industrial democracy. This can play an important role in protecting the interests of employees. The representative can put all the problems and issues of the employees in front of management and guide the board members to invest in employee benefit schemes.

Participation through Ownership: The other way of ensuring workers' participation in organizational decision making is making them shareholders of the company. Inducing them to buy equity shares, advancing loans, giving financial assistance to enable them to buy equity shares are some of the ways to keep them involved in decision-making.

Participation through Collective Bargaining: This refers to the participation of workers through collective agreements and by deciding and following certain rules and regulations. This is considered as an ideal way to ensure employee participation in managerial processes. It should be well controlled otherwise each party tries to take an advantage of the other.

Participation through Suggestion Schemes: Encouraging your employees to come up with unique ideas can work wonders especially on matters such as cost cutting, waste management, safety measures, reward system, etc. Developing a full-fledged procedure can add value to the organizational functions and create a healthy environment and work culture. For instance, Satyam is known to have introduced an amazing country-wide suggestion scheme, the Idea Junction. It receives over 5,000 ideas per year from its employees and company accepts almost one-fifth of them.

Methods of Participative management

- Participation through Complete Control: This is called the system of self management where workers union acts as management. Through elected boards, they acquire full control of the management. In this style, workers directly deal with all aspects of management or industrial issues through their representatives.
- Participation through Job Enrichment: Expanding the job content and adding additional motivators and rewards to the existing job profile is a fine way to keep workers involved in managerial decision-

making. Job enrichment offers freedom to employees to exploit their wisdom and use their judgment while handling day-to-day business problems.

- **Participation through Quality Circles:** A quality circle is a group of five to ten people who are experts in a particular work area. They meet regularly to identify, analyze and solve the problems arising in their area of operation. Anyone, from the organization, who is an expert of that particular field, can become its member. It is an ideal way to identify the problem areas and work upon them to improve working conditions of the organization.
- Employees can participate in organizational decision making through various processes mentioned above.
- However, there are other ways such as financial participation, Total Quality Management, participation through empowered teams and joint committees and councils through which they can contribute their share in making the organizations a better place to work.

Objectives to introduce participative style in organizations

- **To Make Best Use of Human Capital:** Participative management does not restrict organizations to exploit only physical capital of employees. Rather it makes the best use of human intellectual and emotional capital. It gives employees an opportunity to contribute their ideas and suggestions to improve business processes and create a better working environment.
- **To Meet the Psychological Needs of Employees:** When employees have a say in decision making process, it gives them a psychological satisfaction. It is a simple force that drives them to improve their performance, create a proper channel of communication and find practical solutions to design better organizational processes.
- **To Retain the Best Talent:** Participatory management is one of the most effective strategies to retain the best talent in the industry. It gives employees a sense of pride to have a say in organizational decision making process. Once they are valued by their seniors, they stick to the organization and become management's partners in meeting specific goals and achieving success.
- Objectives to introduce participative style in organizations
- **To Increase Industrial Productivity:** In today's competitive world, motivation, job security and high pay packages are not enough to increase industrial productivity. Leadership, flexibility, delegation of authority, industrial democracy and employee say in decision making are important to increase annual turnover of any organization.
- **To Establish Harmonious Industrial Relationship:** Participatory from of management is an unbeatable tact to establish and maintain cordial relationships with employees and workers union. The success of an organization depends on its human resources. Employee empowerment acts as a strong force to bind the employees and motivate to give them their best to the organization.
- **To Maintain a Proper Flow of Communication:** Two-way communication plays an important role in the success of any organization. Employee participation in decision making ensures proper flow of communication in the organization. Everyone contributes their best and tries to strengthen the organization by contributing their best to improve business processes.
- Participative management is beneficial to organization as well as employees. It gives employees a higher degree of enjoyment at work place that drives them to work harder. It is equally rewarding for the management as it ensures tremendous improvement in work culture within the organization as well as increase in its productivity.

Advantages of Participative Management

Undoubtedly participative approach to management increases the stake or ownership of employees. But there is more to it. The following points elucidate the same.

Increase in Productivity: An increased say in decision making means that there is a strong feeling of association now. The employee now assumes responsibility and takes charges. There is lesser new or delegation or supervision from the manager. Working hours may get stretched on their own without any compulsion or force from the management. All this leads to increased productivity.

Job Satisfaction: In lots of organizations that employ participative management, most of the employees are satisfied with their jobs and the level of satisfaction is very high. This is specially when people see their suggestions and recommendations being implemented or put to practice. Psychologically, this tells the individual employee that, 'he too has a say in decision making and that he too is an integral component of the organization and not a mere worker'.

Motivation: Increased productivity and job satisfaction cannot exist unless there is a high level of motivation in the employee. The vice versa also holds true! Decentralized decision making means that everyone has a say and everyone is important.

Improved Quality: Since the inputs or feedback comes from people who are part of the processes at the lowest or execution level. This means that even the minutest details are taken care of and reported. No flaw or loophole goes unreported. Quality control is thus begins and is ensured at the lowest level.

Reduced Costs: There is a lesser need of supervision and more emphasis is laid on widening of skills, self management. This and quality control means that the costs are controlled automatically.

Disadvantages of Participative Management

There is a flip side to everything; participative management stands no exception to it. Whereas this style of leadership or decision making leads to better participation of all the employees, there are undoubtedly some disadvantages too.

Decision making slows down: Participative management stands for increased participation and when there are many people involved in decision making, the process definitely slows down. Inputs and feedback starts pouring from each side. It takes time to verify the accuracy of measurements which means that decision making will be slowed down.

Security Issue: The security issue in participative management also arises from the fact that since early stages too many people are known to lots of facts and information. This information may transform into critical information in the later stages. There is thus a greater apprehension of information being leaked out.

The advantages seem to outnumber the disadvantages. This however is no assurance that one should blindly adopt it for his/her organization. Organizations are different and therefore the culture, the human resources. A deep understanding of both is required in order to ascertain a decision making style and adopt the same.

3.4.2 Management by objective (MBO)

An effective management goes a long way in extracting the best out of employees and make them work as a single unit towards a common goal. The term Management by Objectives was coined by Peter Drucker in 1954.

What is Management by Objective ?

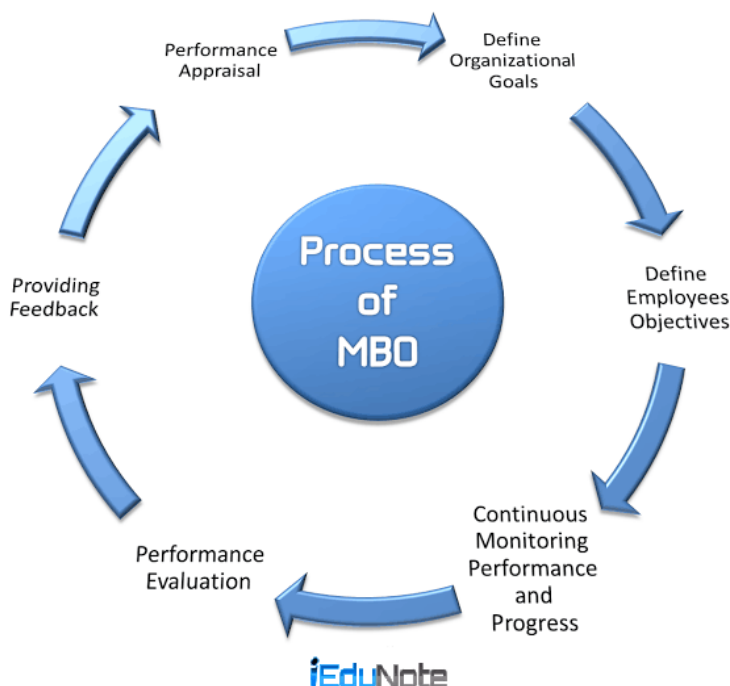
The process of setting objectives in the organization to give a sense of direction to the employees is called as Management by Objectives.

It refers to the process of setting goals for the employees so that they know what they are supposed to do at the workplace.

Management by Objectives defines roles and responsibilities for the employees and help them chalk out their future course of action in the organization.

Management by objectives guides the employees to deliver their level best and achieve the targets within the stipulated time frame.

Process of MBO



Process of MBO

1. Define Organizational Goals

Goals are critical issues to organizational effectiveness, and they serve a number of purposes. [Organizations can also have several different kinds of goals](#), all of which must be appropriately managed.

And a number of different kinds of managers must be involved in setting goals. The goals set by the superiors are preliminary, based on an analysis and judgment as to what can and what should be accomplished by the organization within a certain period.

2. Define Employees Objectives

After making sure that employees' managers have informed of pertinent general objectives, strategies and planning premises, the manager can then proceed to work with employees in setting their objectives.

The manager asks what goals the employees believe they can accomplish in what time period, and with what resources. They will then discuss some preliminary thoughts about what goals seem feasible for the company or department.

3. Continuous Monitoring Performance and Progress

MBO process is not only essential for making line managers in business organizations more effective but also equally important for monitoring the performance and progress of employees.

For monitoring performance and progress the followings are required;

Identifying ineffective programs by comparing performance with pre-established objectives,

Using [zero-based budgeting](#),

Applying MBO concepts for measuring individual and plans,

Preparing long and short-range objectives and plans,

Installing [effective controls](#), and

Designing a sound organizational structure with clear, responsibilities and decision-making authority at the appropriate level.

4. Performance Evaluation

Under this MBO process performance review is made by the participation of the concerned managers.

5. Providing Feedback

The filial ingredients in an MBO program are continuous feedback on performance and goals that allow individuals to monitor and correct their own actions.

This continuous feedback is supplemented by periodic formal appraisal meetings in which superiors and subordinates can review progress toward goals, which lead to further feedback.

6. Performance Appraisal

[Performance appraisals](#) are a regular review of employee performance within organizations. It is done at the last stage of the MBO process.

Need for MBO Process

The Management by Objectives process helps the employees to understand their duties at the workplace.

KRAs are designed for each employee as per their interest, specialization and educational qualification.

The employees are clear as to what is expected out of them.

Management by Objectives process leads to satisfied employees. It avoids job mismatch and unnecessary confusions later on.

Employees in their own way contribute to the achievement of the goals and objectives of the organization.

Every employee has his own role at the workplace. Each one feels indispensable for the organization and eventually develops a feeling of loyalty towards the organization. They tend to stick to the organization for a longer span of time and contribute effectively. They enjoy at the workplace and do not treat work as a burden. Management by Objectives ensures effective communication amongst the employees. It leads to a positive ambience at the workplace.

Management by Objectives leads to well defined hierarchies at the workplace. It ensures transparency at all levels. A supervisor of any organization would never directly interact with the Managing Director in case of queries. He would first meet his reporting boss who would then pass on the message to his senior and so on. Every one is clear about his position in the organization.

The MBO Process leads to highly motivated and committed employees.

The MBO Process sets a benchmark for every employee. The superiors set targets for each of the team

members. Each employee is given a list of specific tasks.

Limitations of Management by objective (MBO)

It sometimes ignores the prevailing culture and working conditions of the organization.

More emphasis is being laid on targets and objectives. It just expects the employees to achieve their targets and meet the objectives of the organization without bothering much about the existing circumstances at the workplace. Employees are just expected to perform and meet the deadlines. The MBO Process sometimes do treat individuals as mere machines.

The MBO process increases comparisons between individuals at the workplace. Employees tend to depend on nasty politics and other unproductive tasks to outshine their fellow workers. Employees do only what their superiors ask them to do. Their work lacks innovation, creativity and sometimes also becomes monotonous.

3.4.3 Management by exception (MBE)

Management By Exception is a style of business management that focuses on identifying and handling cases that deviate from the norm. Management by Exception here is the practice of investigating, resolving, and handling such occurrences by using skilled staff and software tools. Good management can contribute to the efficiency of business processes. Often in these cases, the process will be called exception management, as exceptional cases are not the sole focus of the managerial policy, and exception management (as opposed to management by Exception) denotes a more moderate application of the process.

Management by Exception can be defined as the concept which focuses on really important and strategic tasks. It ignores the tasks which are not important. This is known as exception.

Management by exception, guides you through preparing a framework which tells you to focus on the most critical tasks of [Planning](#), organizing, and controlling.

The management of exception is a system that helps the manager to which most important tasks require the attention of the manager at a particular point of time.

In this, a manager can first focus on solving most critical problems first and make decisions and take suitable actions and problems which are less critical can be tackled later or can be tackled by the subordinates.

The problems like infrastructural issues, connectivity issues in the organization, deviation in process, poor quality of business rules, and misleading and poor data, etc. this type of issues let the manager handle such issues with utmost urgency. The decisions and actions are taken by investigating, resolving, and handling such issues using tools or with the assistance of skilled employees.

The decisions and actions are taken by investigating, resolving, and handling such issues using tools or with the assistance of skilled employees.

A manager can manage works more accurately using management by exception. The problems which can't be solved at one level should be passed to a higher level of management.

For example, it is a responsibility of subordinates to track the [performance](#) of all [products](#) manufactured by the company and from the data collected, they found that all products and management by exception method one [product](#) are not performing as expected. Hence, they summarize the data and create reports to present it to their manager.

The summarize report will help the manager to understand the issue by investigating the problem and finding out the root cause of the problem.

Management by exception, helps the organization to grow more as problematic areas in the organization can be identified, and managers can spend their [efficiency](#) to solve these issues to enhance the productivity of the organization. Managers can learn and prepare [strategies](#) for changing competition and new business [opportunities](#).

Management by Exception has both a general business application and a business intelligence application.

General business exceptions are cases that deviate from the normal behavior in a business process and need to be cared for uniquely, typically by human intervention.

Their cause might include process deviation, infrastructure or connectivity issues, external deviation, poor quality business rules, malformed data, etc.

Management by Exception (MBE), when applied to business, is a [style of management](#) that gives employees the responsibility to make decisions and to fulfill their work or projects by themselves.

It consists of focus and analysis of statistically relevant anomalies in the data.

If an unusual situation or deviation in the recorded data appears, which could cause difficulties for the

business and can't be managed by the employee at his level, the employee should pass the decision on to the next higher level.

For example, if all products are selling at their expected volumes for the quarter, except one particular product that is underperforming or over performing at a statistically relevant margin, only the data for that product will be presented to the managers for further investigation and discovery of the root cause.

Management By Exception can bring forward business errors and oversights, ineffective strategies that need to be improved, changes in competition, and business opportunities.

Management By Exception is intended to reduce the managerial load and enable managers to spend their time more effectively in areas where it will have the most impact.

Exception management also has an IT application.

When writing code, if the programmer sees that there will be an exceptional case where a predefined assumption of the application will be breached, the programmer will need to deal with that Exception programmatically from the outset.

Process of Managing by Exception

#1 Establish objectives for the procedure

In the first step, the norms and objectives are established for the project or procedure in hand.

For example, you run a retail store and sells grocery products. It is important for you to monitor the sales and expenses occurred in the store. To do this, you are required to establish norms for each task and procedure. The norms set by you should be in the quantifiable amount and should be easy to measure. For example, you can set a norm for a total amount of sale in a month. You will decide a number based on your past sales and to meet the expenses and to ensure steady growth of the business.

The norm decided that you should be realistic and should not be an unrealistic number. For example, the average sale by you each month is of \$5000, and you are required to make \$7000 to make a profit and meet the expenses.

Therefore, you should set the norm the amount of total should earn you \$7000, and if you decide amount like \$10,000, then it will be a realistic norm which can never be fulfilled no matter how much you try.

Decided right norm is not an easy task. It requires thorough analysis and deep understanding of the process and looks for an exception in the process. However, you are not required to look into each change in the performance of the business.

But you should pay attention to those variances which are important to look into. The important variances can be any financial exception, or low productivity, etc.

#2 Analyze the exceptions and compare it with the norm decided

The management by exception, begins once the norms are decided. The data from the process is decided, and it is compared with the norms decided. The comparison of the data can be made manually with the assistance of skilled staff, or it can also be done using software tools.

The method opted for comparison depend on the size of your business. The comparison can be made once the data is collected, or it can be done in parallel with the data collection. You will collect the data weekly and compare it with the norm decided to determine any sign of an anomaly.

#3 Compare actual data with norm data and analyze the existence of all exceptions

When the data is compared, there are two possibilities for the outcome. The first outcome can be no significant deviation, and the second outcome of the comparison can result in significant deviation.

In the first case, there is no need to take any special actions. Employees can proceed with their work normally and in case of the second case, you should prepare and report the deviation and present it to your higher level of management.

And once you have identified the problem, try to find out the root cause of the problem. There could be many reasons for the anomalies to occur.

Your employees could have made a mistake in analysis, Or the deviation took place because of the changes going in the system. It is not necessary to correct anomaly existed every time. Some deviations can't be ignored. Hence, don't waste your time on solving it.

#4 Find a solution for the deviation

After you have determined the root cause of the deviation. Then it becomes the responsibility of the management to provide a solution for it. Tackle the issue and fix it so that further loss can be avoided. For

example, if the decline in the retail store's sales is because of your employees' behavior or it can be because of the poor quality of products. Once you know the root cause of the deviation solves try to solve it. There are chances that after analysis, you come to know that you are required to many changes in your norms to get desired exception outcome.

Advantages of MBE

The main advantage of management by Exception is that problematic issues are identified rapidly, and managers can use their time and energy more wisely for important issues rather than for less important ones that could provoke delays in their daily operations.

Additionally, managers need to work less on statistics, and the frequency of making decisions becomes less, which saves time. As managers make fewer decisions, employees have more responsibility, which increases their motivation.

1. It saves time. Manager attends to real problems at a particular point of time.
2. Concentrated efforts are possible, as this system enables the manager to decide when and where he should pay his attention. It identifies crisis and critical problems.
3. Lesser number of decisions is required to be taken, which enables the manager to go into detail.
4. This enables to increase span of control and increase the activities for a manager.
5. Use of past trends, history and available data can be made fully.
6. It alarms the management about the good opportunities as well as difficulties.
7. Qualitative and quantitative yardsticks are provided for judging the current position.
8. It prevents management from over managing.

The large exception in the work procedure of a company is determined by the auditor team of the company annually, and these issues can be investigated to overcome them.

Employees can take a decision on their own, and in this way, they can complete tasks fast. Management involves the work only when the exception takes place.

With the help of an automated system, reports can be generated weekly or daily, and comparison can be conducted to determine exception and to try to solve it to avoid the exception.

It reduces the workload of management by exception and they can utilize their time in more complete more important tasks.

Disadvantages MBE

Occurrences of mistakes in calculating budgets result in large variance differences, and finding the errors can be time-consuming.

Furthermore, financial analysts responsible for calculation variances are increasing [overhead](#) costs of a company. If the financial analysts are not performing well, it will become a waste of time and money.

Another disadvantage is that only managers have power over really important decisions, which can be demotivating for employees at a lower level. Furthermore, the time taken for passing the issues to managers can be time-consuming.

In this system, it is assumed that problems can only be solved by the management. Employees can solve the problems easily and provide better solutions as they have more understanding about the work.

Some chances decided norms can be full of anomalies. In that case, the time of both management and employees will be wasted to try to do something which is not possible.

It is a centralized system, where only decisions taken by the senior management is accepted. However, the outcome can be better if the system is made decentralized and let everyone take part in the decision process. It causes an extra layer of expenses for the organization as financial analysts; auditors are required to higher to compare and prepare variance summaries.

The whole process is ineffective if your analyst is incompetent and fail to determine the serious issue

It requires a comprehensive observing and reporting system.

It increases paper work.

The system is silent till the problem becomes critical.

Some important factors, like human behaviour, are difficult to measure.

3.5 Learning Organization

Organizations operate in the dynamic environment. There are continuous innovations in information and computer technologies. Markets are global and customers are spread worldwide. Though the world has become global, customers all over the world are not the same. They are guided by their country's culture,

attitudes and beliefs.

In order to be successful, organizations should learn and respond to changes quickly. They learn about effectively challenging conventional wisdom, manage the organization's knowledge base and make the desired changes. All organizational members take active part in identifying and resolving work-related issues. In a learning organization, employees practice knowledge management.

They continuously acquire, share and apply new knowledge in making decisions. In today's world of competition, organizations that learn and apply new concepts have edge over competitors. "All organizations learn, whether they consciously choose to or not — it is a fundamental requirement for their sustained existence".

Definitions of Learning Organization

"Learning organization is the one that has developed the capacity to continuously learn, adapt, and change".

— B. P. Robbins and M. Coulter

"People continually expand their capacity to create the results they truly desire, where new and expensive patterns are nurtured, where collective aspiration is set free and where people are continually learning how to learn together." — Peter Senge

Learning organization "facilitates the learning of all its members and continually transforms itself". — Pedlar. It "continually improves by rapidly creating and refining the capabilities required for future success." — Wick and Leon

Learning organizations:

1. Learn from experience
2. Adopt continuous development programmes
3. Solve problems through systematic techniques
4. Transfer knowledge throughout the organization through formal training programmes.
5. Create space and formal mechanism for people to think, ask questions, reflect and learn, encourage them to challenge the existing way of working and suggest improvements.

It "provides a healthy environment for natural learning."

It identifies individual needs, develops skills of people through training, reviews organizational policies and learns from experiences of its members.

It makes use of experiences of managers to meet its strategies needs.

Learning organizations are associated with internal renewal of the organization in the face of competitive environment.

Features/Characteristics of Learning Organization

According to Senge, the learning organization depends upon the mastery of five dimensions:

1. **Systems thinking:** The notion of treating the organization as a complex system composed of smaller (often complex) systems. This requires an understanding of the whole, as well as the components, not unlike the way a doctor should understand the human body. Some of the key elements here are recognizing the complexity of the organization and having a long-term focus. Senge advocates the use of system maps that show how systems connect.
2. **Personal mastery:** Senge describes this as a process where an individual strives to enhance his vision and focus his energy, and to be in a constant state of learning.
3. **Mental models:** "Deeply ingrained assumptions, generalizations, or even pictures and images that influence how we understand the world and how we take action" (Senge 1990). These must be recognized and challenged so as to allow for new ideas and changes.
4. **Building shared vision:** Shared vision is a powerful motivator. A leader's vision does not necessarily become shared by those below him. The key here is to pass on a picture of the future. To influence using dialogue, commitment, and enthusiasm, rather than to try to dictate. Storytelling is one possible tool that can be used here.
5. **Team learning:** The state where team members think together to achieve common goals. It builds on shared vision, adding the element of collaboration.

Single and Double Loop Learning

Single-loop learning involves improving the organization's capacity to achieve known objectives. It is associated with routine and behavioural learning. Under single-loop, the organization is learning without significant change in its basic assumptions.

Double-loop learning reevaluates the nature of the organization's objectives and the values and beliefs surrounding them. This type of learning involves changing the organization's culture. Importantly, double-loop consists of the organization's learning how to learn.

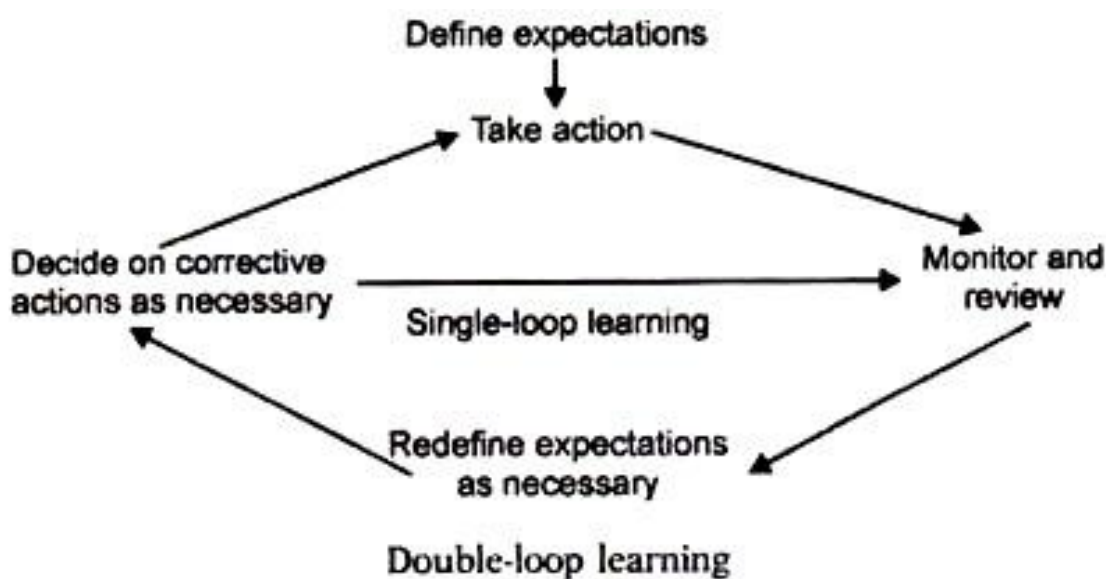
Learning organizations use double-loop learning as against single-loop learning. In single-loop learning, errors are corrected according to past routines and policies. In double-loop learning, when errors are detected, their correction involves change in objectives, policies and standard routines.

Double-loop learning challenges old assumptions and norms and provides opportunities for alternative solutions to problems leading to dramatic improvement in the organization structures and designs.

Single-loop learning is called adaptive learning. It focuses on issues within the scope of the organization.

organizations that adopt single-loop learning frame targets, monitor their performance, take corrective action and, thus, complete the loop.

Double-loop learning is called generative learning. organization redefine their targets. They continuously adopt to environmental variables, learn what new can be achieved in the changed circumstances and make action plans to achieve the new targets. They convert learning into action.



Merits of Learning Organization

1. The organization experiments, tries and permits more failures. This provides extensive information to make decisions.
2. The organization

interacts with customers and maintains a rich and informal environment conducive to growth and success.

Knowledge of customer requirement is important for company's fortunes.

3. Learning enhances company's speed, innovativeness and adaptability.

4. The organization can anticipate and adapt changing market conditions. It reaches the market with innovative products faster than competitors.

5. The organization maximises responsiveness to customers' needs. This provides competitive advantage to the company.

6. It enables the organization to survive in the knowledge economy and cope with rapidly changing technology, global competition and demands.

The Role of Leadership for Learning Organization

Senge emphasized the role of the leader in the creation of this learning organization. He defined three leadership roles (1990) that would reshape the old-fashioned approach to being the boss. These are:

Leader as Designer: Senge likens this to being the designer of a ship rather than its captain. He defined it in three ways:

Creating a common vision with shared values and purpose.

Determining the "policies, strategies, and structures that translate guiding ideas into business decisions."

Creating effective learning processes which will allow for continuous improvement of the policies, strategies, and structures.

Leader as Teacher: The leader here is seen as a coach that works with the mental models present in the organization. He must understand the (usually tacit) concepts of reality and restructure these views "to see beyond the superficial conditions and events [and] into the underlying causes of the problems."

Leader as Steward: This is the vaguest of the three and refers largely to the attitude of the leader. He emphasizes the importance of a leader that feels he is part of something greater; whose desire is first and

foremost not to lead, but to serve this greater purpose of building better organizations and reshaping the way businesses operate.

The first two roles outlined by Senge shed a lot of light into the requirements of effective KM and organizational learning.

Benefits of a learning organization

- Maintaining levels of innovation and remaining competitive
- Actively promotes, facilitates, and rewards collective learning
- Being better placed to respond to external pressures
- Having the knowledge to better link resources to customer needs
- Improving quality of outputs at all the levels
- Improving the corporate image of the organization by becoming more people oriented
- Increasing the pace of change within the organization

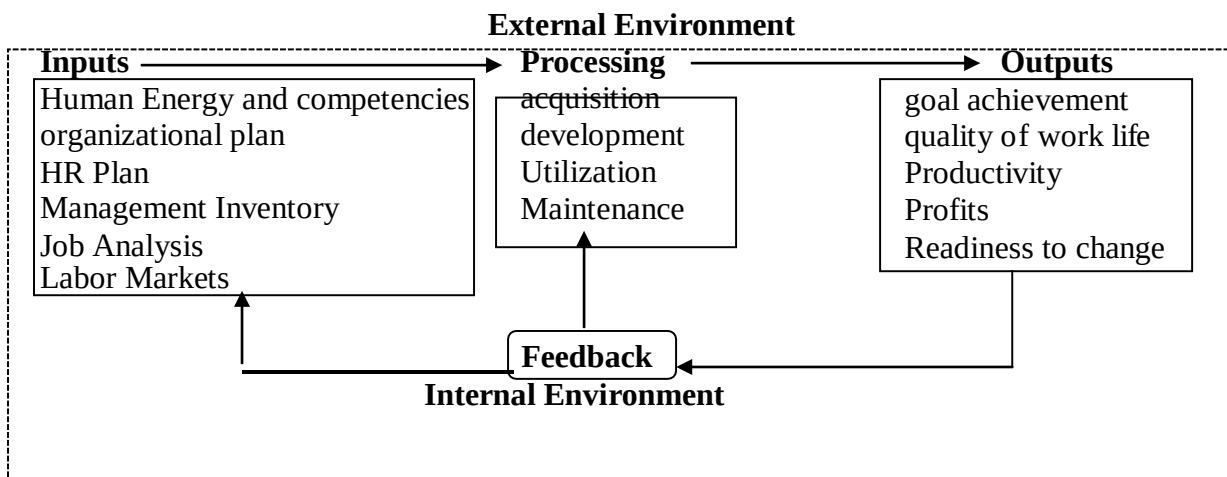
Traditional Organization versus Learning Organization

	Traditional organisation	Learning organisation
1. Attitude towards change	If its working, do not change it	If you are not changing, it will not be working for long
2. Attitude towards new ideas	If it wasn't invented here, reject it	If it was invented or reinvented here, reject it
3. Who's responsible for innovation	Traditional areas such as R & D	Everyone in the organisation.
4. Main fear	Making mistakes	Not learning; not adapting
5. Competitive advantage	Products and service	Ability to learn knowledge and expertise
6. Manager's job	Control others	Enable others

CHAPTER – IV

4.1 MEANING OF HUMAN RESOURCE MANAGEMENT

- Organization uses various resources in the process of their task accomplishment. These resources can be classified into human and non-human.
- Machines, material, money and technology are non-human resources.
- These resources are tools that aid management and its employee uses to achieve the objectives.
- Therefore human resource is the most valuable resource of an organization.
- Staffing is the integral part of management function/process.
- The success of an organization depends upon its ability to manage its human resources.
- Staffing is filling, and keeping filled positions in the organization. - **According to Khootz and Weirich**
- Staffing is the process of obtaining and maintaining a work force capable of fulfilling the goals of the organization.
- "Personnel Management is the planning, organizing directing and controlling of the procurement, development, compensation, integration, maintenance and separation of human resources to the end that individual, organizational and social objectives are accomplished". -**According to Flippo**
- **According to Decenzo and Robbins (1989):** "Human Resource Management is a process consisting the functions of acquisitions, development, motivation and maintenance of human resources."
- The term HRM is developed from personnel management. The personnel management is also developed from staffing.
- System approach of human resource management.
- HRM is a system consists of input, processing output, feedback components. It has both internal and external environment.



Personnel Management Vs. Human Resource Management:

During 19th century personnel management has been used in different management book in 1970 the term human resource management (HRM). Nowadays the term human resource management is used widely in text book, human resource management new version of personnel management. The major difference between personnel and HRM are as follows:-

<u>Basis of Difference</u>	<u>Personnel Management</u>	<u>Human Resource Management</u>
1. Time & Planning	Personnel management has short-term focus & therefore react specific personal problems by providing immediate solution. Whenever there is problem, it makes plan.	HRM is proactive and make systematic which study before any problems or changes take place. It follows long-term approach to work on a problem.
2. Investment.	Personnel management regards investment in people as a variable cost.	HRM regard investment as a social capital capable of development.
	The personnel function in unionizes organization was mainly concerned with	HRM function concern with the wider notion of workforce

3. Main concerns	negotiating & administering collective bargaining. It focuses on rules and regulations.	governance in which employees' involvement and participations are emphasized.
4. Information and Communication.	Personnel management specialist used communication and information mainly as a source of power and controlling activities.	Communication and information is mainly used as a source of developing trust and commitment among the organizations' employees.
5. Aims	Personnel management aims at non-manager specialist and professionals to increase skills of employees.	HRM is more concern with the manager by developing management team in the organization.
6. Outcome.	Personnel management is concerned with job satisfaction of employees.	HRM is concerned with the development of the culture and climate of organization.

Importance of Human Resource Management

- Management gets the jobs done through people.
- HRM is concerned with human resources/people.
- Thus it is important function of management.
- An organizations competitive strength can be raised through better utilization of human resources.
- The importance of HRM is increasing due to:
 - 1) Increasing globalization and competitions.
 - 2) Increase the size and complexity of organization.
 - 3) Rapid technological change.
 - 4) Increasing role of human behaviour in organization effectiveness.

The following points indicate the importance of HRM

- 1) Goal Achievement
- 2) Human Resource Planning
- 3) Productivity Improvement
- 4) Efficiency
- 5) Information
- 6) Leading and Controlling
- 7) Change Management

- Staffing function is based on organizing function and facilitates, directly and controlling functions of management.
- Staffing function is important for organization to succeed in a fast changing environment. Organization can become dynamic only through efforts and completeness.

PROCESS/FUNCTIONS/COMPONENTS OF HUMAN RESOURCE MANAGEMENT:

A) Acquisition:

- The organization should ensure the effective planning and selection of the right kind of people to under take various types of jobs.
- The acquisition ensures entry of right numbers of people at the right place at right time in the organization.
- It consists:

1) Human Resource Planning

- It is a strategy for the appointment, utilization, development and retention of the human resources of an organization.
- It is the process of predetermining future human resource requirement.

- (a) Assessing current human resources
- (b) Forecasting demands
- (c) Forecasting supply
- (d) Matching demand and supply
- (e) Actions plans

2) Job Analysis

- (a) Job description
- (b) Job specification

3) Recruitment

- (a) Internal
- (b) External

4) Selection

5) Placement

6) Orientation/Socialization

B) Development

Development ensures proper competencies of employee to handle jobs.

- 1) Assessing development needs
- 2) Training
 - (a) On the job training: learning by doing
 - (b) Off the job training
- 3) Management development: long term process
 - (a) On the job method
 - (b) Off the job method
- 4) Career development
 - tracking career paths of employees

C) Utilization:

Utilization ensures willingness of employees for increasing productivity by doing jobs effectively.

- 1) Motivation
- 2) Job design and work scheduling
- 3) Performance Appraisal
- 4) Reward Management
- 5) Promotion

D) Maintenance

It ensures retention of employees in the organization.

- (a) Labor Relation
- (b) Employee Discipline
- (c) Grievance Handling
 - Health facilities, transportation, canteen, insurance, recreations
- (d) Termination
 - Resignation
 - Lay off
 - Dismissal
 - Retirement

RECRUITMENT:

- Recruitment is the vital staffing functions.
- Recruitment is a process of identifying and locating the prospective employees.
- It involves attracting candidates to fill the positions.
- Prospective candidates are identified and stimulated to apply for the job.
- Recruitment is the discovering of potential application for actual or anticipated organizational vacancies.

Factors affecting Recruitment:

Internal Factors:

- 1. Recruitment policy of the organization
- 2. HR planning strategy of the company
- 3. Size of the organization and no. of employees
- 4. Cost of Recruitment
- 5. Growth and expansion plans of the organization.

External Factors:

- 1. Supply and demand of specific skills in the labor market.
- 2. Political and legal considerations and reservations.
- 3. Company's image - perception of the job seekers about the company.

Sources of Recruitment:

1. Internal Sources:

- Internal sources are the most obvious sources.
- These include personal already on the payroll of an organization, i.e. its present working force.
- Whenever any vacancy occurs, somebody from within the organization is upgraded, transformed, promoted, or sometimes demoted.

Merits:

1. It improves morale of employees, for they are assured of the fact that they would be preferred over outsiders when vacancies occur.
2. The employer is in better position to evaluate those presently employed than outside candidate. This is because the company maintains a record of the progress, experience and service of its employees.
3. It promotes loyalty among the employees as it gives them a sense of job security and opportunities for advancement.
4. It is less costly than going outside to recruit.
5. Little time for training of employee to new position.

Demerits:

1. It often leads to inbreeding, and discourage new blood from entering an organization.
2. There are possibilities that internal sources may "develop" and it may be difficult to find the requisite personal from within an organization.
3. As promotion is based on seniority, the danger is that really capable hands may not be chosen.

2. External Sources:

These sources lie outside the organization. They include:

1. New entrants to the labor force; i.e. young, mostly inexperienced potential employees, college student.
2. The unemployed with wide range of skill & abilities.
3. Retired experienced persons such as mechanics.
4. Others

Merits:

1. External sources provide the requisite type of personnel for an organization, having skills training and education up to the required standards.
2. Since the persons are recruited from the large market, the best selection can be made without any distinction of caste, sex, color.

Demerits:

1. High cost

JOB ANALYSIS

Before we proceed to discuss Job Analysis, certain relating to job need to be understand.

Job:

- A job may be defined as a "collection or aggregation of tasks, duties, and responsibilities which as a whole, are regarded as a regular assignment to individual employee."
- In other words when the total work to be done is divided and grouped into packages, it is a "job".
- Each job has a definite title/position.
- A position consists of a particular set of duties assigned to an individual.
- Job is impersonal, the position is personal.

Job Analysis:

- It is a detailed and systematic study of information relating to the operations and responsibilities of a specific job.
- It is the determination of the tasks which comprise the job and of the skills, knowledge, abilities and responsibilities required of the worker for a successful performance.

Job Description:

- It is a written record of duties, responsibilities and requirements of a particular job.
- It is a statement describing the job in such terms as its title, location, duties, working conditions and hazards.

Job Specification:

- It is a standard of personnel and designate the qualities required for an acceptable performance.
- It is the summary of the personal characteristics required for a job.
- It is a statement of the minimum acceptable human qualities necessary for the proper performance of a job.

Job Design:

It is the division of the total tasks to be performed into the manageable and efficient units.

4.3.1 JOB ANALYSIS:

- It refers to the anatomy of the job.
- It is complete study of job, embodying every known and determinable factor, including the
 - (1) duties and responsibilities involved in its performance.
 - (2) the condition under which the performance is carried on.
 - (3) the nature of the tasks
 - (4) the quality required in the worker
 - (5) condition of employment as pay, hour, opportunities and privileges.

Steps in Job Analysis:

2. Collection of background information
3. Selection of one present a fine positions to be and used
4. Collection of job analysis data
5. Development of job description
6. Development of job specification

Purpose of Uses of Job Analysis:

- The information provided by Job Analysis is useful in every phase of employee relations.
 1. Organization and Manpower planning
 2. Recruitment, selection
 3. Wage and Salary Administration
 4. Job Re-engineering
 5. Employee training and management training
 6. Performance Appraisal
 7. Health and Safety

Contents of Job Analysis:

A job analysis provides the following information.

1. Job identification: title/code
2. Significant characteristics: Location/physical setting
3. What the typical worker does:
4. Which materials and equipment a worker uses
5. How a job is performed
6. Required personnel attributes: Education, Experience, training, capabilities, social skills.
7. Job Relationship

Techniques of Job Analysis/Data:

1. Personal Observation
2. Sending out Questionnaires
3. Maintenance of log records
4. Personnel Interviews
5. Dairy
6. Technical conference method

JOB DESCRIPTION:

- **"Job Description"** is an important document which is basically describe in nature and contains a statement of job analysis.
- It defines the scope of job activities, major responsibilities, and positioning of the job in the organization.
- Job Description describes **"jobs"**, not **"job holders"**.
- Job Description provides an important basis for establishing assessment standards and objectives.

Uses of Job Description:

1. A basis for productive group discussion.
2. It aids in the development of job specifications, which are useful in planning, recruitment, in training.
3. It can be used to orient new employees toward basic responsibilities and duties.
4. It is basic document used in developing performance standards.
5. It can be used for job evaluation, a wage and salary administration.

Components or Content of Job Description:

- | | |
|------------------------------------|----------------------------------|
| 1. Job identification | 2. Job summary |
| 3. Job duties and responsibilities | 4. Relation to other jobs |
| 5. Supervision | 6. Machine, tools, and equipment |
| 7. Working conditions | 8. Hazards |

JOB SPECIFICATION:

- Job specification translates the job description into terms of human qualifications which are required for a successful performance of a job.
- They are intended to serve as a guide in hiring and job evaluation.
- Job specification relates to:
 1. **Physical characteristics:** Health, age, strength, body size, height, weight, vision, etc.
 2. **Psychological characteristics:** Manual dexterity, mechanical aptitude judgment, resourcefulness, analytical ability.
 3. **Personal Characteristics:** Personal appearance, emotional stability, leadership, cooperativeness, conversational ability
 4. **Responsibilities:** Supervision of others, responsibility of production, process & equipment.
 5. **Other feature of demographic features:** Age, sex, education, experience, and language ability.

Uses of Job Specification:

1. It sets minimum qualifications needed in potential candidates for recruitment process.
2. It guides selectors to select candidates with right qualifications.
3. It is an important input for preparation of Human Resource Inventory related to capabilities of employee.

COMPENSATION:

- Compensation refers to all forms of financial rewards received by employees.
- Compensation is important for employee and is a cost to the employer.
- Compensation dissatisfaction can lead to absenteeism, turnover, job dissatisfaction, low performance, strikes, and grievances.
- Majority labor-management disputes relate to compensation.
- According to Byars and Rue: *"Compensation refers to all the extrinsic rewards that employees receive in exchange for their work. It is composed of the base wage or salary, and incentives or bonuses, and any benefits."*

- According to Milkovich: "Compensation refers to all forms of financial returns, tangible services, and benefits employee receive as part of an employment relationship."

TYPES/ELEMENTS OF COMPENSATION:

Compensation can be direct or indirect:

A. Direct Compensation:

Direct compensation includes the basic salary or wage that the individual is entitled to for his job, overtime - work and holiday premium, bonuses based on performance, profit sharing and opportunities to purchase stock options etc.

1. Basic Wage or Salary

It consists of wages and salaries received for performing work. It can be base pay or merit pay. Time Rate Piece Rate

2. Overtime & Holiday Premiums

3. Performance Bonus

4. Profit Sharing

5. Stock Options

B. Indirect Compensation:

They are payments in addition to pay. They are membership based and non financial rewards. Employee receive them as a result of their employment and position in the organization.

They can be:

1. Pay for time not worked:

- Paid vacation, holidays, leaves, paid lunch breaks, etc.

2. Protection programs:

- Pension, gratuity, insurance, payments provident fund, medical care, etc.

3. Executive benefits:

- Free newspapers, telephone, rental

4. Services (Perks)

- Furnished housing, transport, food services,
- Children's education expenses, child care facility
- Discount in purchases, credit cards, loans
- Social, recreational opportunities, club membership subscriptions.
- Legal advice and counseling
- Stock option schemes

INTRODUCTION TO WAGES:

- A 'Wage' (or pay) is the remuneration paid, for the service of labour in production, periodically to an employee/worker.
- 'Wages' usually refer to the hourly rate or daily rate paid to such groups as production and maintenance employee -blue color workers.
- 'Salary' normally refers to the weekly or monthly rates paid to clerical, administrative, and professional employee.
- The 'Wage levels' represent the money an average worker makes in a geographic area or in his organization.
- Organization should prepare sound "wages and salary policies" and implement it.

Purpose/Importance/Objective of Sound Wage Payment:

- A sound wage and salary administration tries to achieve following objectives.

(a) For Employees

1. Employees are paid according to requirement of their jobs; i.e. highly skilled jobs are paid more compensation than low skilled jobs. This eliminates inequalities.
2. The chances of favoritism (which creep in when wage rates are assigned) are greatly minimized.
3. Job sequences and lines of promotion are established wherever they are applicable.

4. Employee's morale and motivation are increased because a wage programme can be explained and is based upon facts.

(b) To Employers:

1. They can systematically plan for and control their labour costs.
2. In dealing with a trade union, they can explain the basis of their wage program because it is based upon a systematic analysis of job and wage facts.
3. A wage and salary administration reduced likelihood of friction and grievances over wage inequalities.
4. It enhances an employees morale and motivation because adequate and fairly administrated wages are basic to his wants/needs.
5. It attracts qualified employees by ensuring and adequate payment for all the jobs.

Factors affecting Compensation (Wages and Salary):

1. Organizations ability to pay:

- Wage increases should be given by those organization which can afford them.
- Companies that have good sales and therefore, high profits tend to pay higher wages than those which running at a loss or earning low profits because of high cost of production or low sales.

2. Supply and demand of labour:

- The labour market conditions or supply and demand forces operate at national, regional, and local levels, and determine organizational wage structure and level.

3. Prevailing market rate:

- This is also known as the 'comparable wage' or 'going wage rate', and is the most widely used criterion.
- An organizations compensation policies generally tend to conform to the wage-rates payable by the industry and the community.

4. The cost of living:

- The factors is important during the periods of rising prices.
- When the cost of living increases, workers and trade unions demands adjusted wages to offset the erosion of real wages.

5. The living wage:

- The wages paid should be adequate to enable an employee to maintain himself and his family at reasonable level of existence.
- This factor is subjective as living of workers may vary, so employee prefer to develop wage structure on the basis of employees contribution in an organization.

6. Productivity:

- The new trend is the link pay with performance.
- Productivity affects pay structure and level.
- Employee competencies, experience and motivation affect productivity.
- Productivity also increased due to technological improvement, better organization and management, the development of better methods of production by labor and management etc.

7. Trade union pressure:

Trade unions affect the level and structure of wages.

- Generally, stronger and more powerful the trade union, the higher the wages.
- They engage in collective bargaining with employers and negotiated pay settlement serve as the basis for wage structure.

8. Job Requirement:

- Jobs are graded according to the relative skill, efforts, responsibility, and job conditions required.
- It is the relative worth of a job to the organization.
- Job description and worker requirements affect pay level and structure.

9. Objective of wage & salary administration:

They can be:

- a) Establish fair and equitable pay system.
- b) Attract and retain competent human resource.
- c) Improve motivation and moral of employees.
- d) Control costs
- e) Improve labor relations
- f) Improve image of organization
- g) Comply with legal framework

10. Equity considerations:

- The wages should be fair in terms of equity.
- The rates should be the same for similar type of jobs within the organizations as well as favorably with going pay rates in other organization.

11. Legal Considerations:

- Government laws and regulations affect compensation management.
- They stipulate minimum wages, overtime rates and benefits that employer must pay.
- They provide certain protection for certain groups.
- Tax implications also influence wages level.
- Organizations should comply with the legal requirement.

Methods of Wage Payment:

1. Time Rate:

- This is the oldest and most common method of fixing wages.
- Under this system, workers are paid according to the work done during a certain period of time, at the rate of so much per hour, per day, per week, per for night, or per month or any other fixed period of time.
- The essential point is that the production of a worker is not taken into consideration in fixing the wages; he is paid at the settled rate as soon as the time contracted for is spent.

Merit:

1. It is simple, for the amount earned by a worker can be easily calculated.
2. As there is no time limit for the execution of a job, workmen are not in hurry to finish it and this may mean that they will pay attention to the quality of their work.
3. As all the workers employed for doing a particular kind of work receive same wages, ill-will and jealousy among them are avoided.
4. Due to the slow and steady pace of the worker, there is not rough handling of machinery, which is a distinct advantage for the employer.
5. It is the only system that can be used profitably where the output of an individual worker or groups of employees cannot be readily measured.
6. The time wage provides a regular and stable income to the worker and we can therefore adjust his budget accordingly.
7. This system is favoured by organized labour for it makes for solidarity among the workers of a particular class.
8. It requires less administrative attention than others because the very basis of time wage contract is good faith and mutual confidence between the parties.

Demerit:

1. The worker are paid according to the position which they fill and not according to their character, energy, skill and reliability.
2. The labor charges for a particular job do not remain constant and difficult to quoting rates for that job.
3. As there is not specific demand on the worker that a piece of work needs to be completed in a given period of time, there is always the possibilities of systematic erosion of work by worker.
4. This system permit many worker to work at a task for which he has neither taste nor ability, when he might make his mark in some other job.
5. As the employer does not know the amount of work that will be put in by each worker, the total expenditure on wages for turning out a certain piece of work cannot be adequate assessed.

6. As no record of an individual workers output is maintained, it becomes difficult for the employer to determine his relative efficiency for purposes of promotions.

2. Piece Rate:

- Under this system, workers are paid according to the amount of work done or the number of units completed, the rate of each unit being settled in advance, irrespective of the time taken to do the task.
- Under this plan, a worker, working in given conditions and with given machinery, is paid exactly in proportion to his physical output.
- This system is adopted generally in jobs of a repetitive nature, where tasks can be readily measured, inspected and counted.
- It is suitable for standardized processes, and it appeals to skilled and efficient workers who can increase their earnings by working to their full capacity.
- In weaving and spinning in the textile industry the raising of looms in the wires, the plucking of leaves in plantations, and in shoe industry.
- Piece Wage = Number of units produced × Rate per unit.
- But its application is difficult where different shifts are employed on the same work or where a great variety of different grades of workers are employed on different and immeasurable services, as in the gas and electricity industries.

Advantages:

1. Workers are motivated for higher performance.
2. Workers receive additional financial compensation.
3. Organizational efficiency is improved by the use of more efficient methods.
4. Supervision charges are not so heavy.
5. Calculation of costs will be easier as per unit cost remain fixed and constant.
6. Economies of scale:

Disadvantages:

1. There is harmony in the goals of individual worker and the organization.
2. By functional worker behaviour may result due to the fear of lay-off, peer pressures, and change in standard of outputs.
3. Quality may be compromised.
4. Quality of work life may deteriorate.
5. Wastage of material and accident may increase.
6. Trade unions are often opposed to this system, for it encourages rivalry among workers and endogenous solidarity in labor disputes.

Mixed Method:

- This is a combination of time and piece rates.
- The worker is guaranteed on hourly or a day-rate with an alternative piece rate.
- If the piece rate exceeds the amount which he would have earned if paid on time basis; he gets credit for the balance, i.e., the excess piece rate earnings over the time rate earnings.
- If his piece rate earnings are equal to his time rate earnings, the question of excess payment does not arise.
- Where piece rate earnings are less than time rate earnings, he is paid on the basis of the time rate; but the excess which is paid is carried from any future balance of piece work earnings over time work earnings.
- This system presupposes the fixation of time and piece rates on a scientific basis.
- The obvious merit of this system is that an efficient worker has an opportunity to increase his wages.

HUMAN RESOURCE DEVELOPMENT:

Concept of HRD

The active resource of an organization is human resource. Other resources remain inactive unless there are competent people to utilize the available resources for the production of goods and services. Human brain has a limitless energy to think and act in a productive way. Hence, competent and qualified human resource is a key factor of organizational success. In this regard, the emergence of human resource development (HRD) plays a vital role in enhancing the entrepreneurial skill of people.

Human Resource Development (HRD) is a process of developing skills, competencies, knowledge and attitudes of people in an organization. The people become human resource only when they are competent to perform organizational activities. Therefore, HRD ensures that the organization has such competent human resource to achieve its desired goals and objectives. HRD imparts the required knowledge and skill in them through effective arrangement of training and development programs. HRD is an integral part of Human Resource Management (HRM) which is more concerned with training and development, career planning and development and the organization development. The organization has to understand the dynamics of HR and attempt to cope with changing situation in order to deploy its HR effectively and efficiently. And HRD helps to reach this target.

Hence, HRD is a conscious and proactive approach applied by employers which seeks to capacitate employees through training and development to give their maximum to the organization and to fully use their potential to develop themselves.

Nature Of HRD

1. HRD is a continuous process
2. HRD concerned with behavioral knowledge.
3. HRD is a well integrated system
4. HRD provides better quality of life.
5. HRD focuses on all round development of human resources.

Human Resource Development (HRD) is the framework for helping employees develop their personal and organizational skills, knowledge, and abilities. Human Resource Development includes such opportunities as employee training, employee career development, performance management and development, coaching, mentoring, succession planning, key employee identification, and organization development.

The focus of all aspects of Human Resource Development is on developing the most superior workforce so that the organization and individual employees can accomplish their work goals in service to customers.

TRAINING:

- Education and Training.
- Education is short term process utilizing a systematic and organized procedure by which non managerial personnel learn technical knowledge and skills for a definite purpose.
- Training refers only to instruction in technical and mechanical operations.
- Training enhances capabilities required to improve performance in the present job.
- It involves positive changes in knowledge, skills and attitudes of employees to increase their efficiency and effectiveness on the job.
- According to Edwin B. Ilippo

"Training is the act of increasing the knowledge and skills in an employee for doing a particular job."

○ Characteristics of Training:

- | | |
|-------------------------|--------------------|
| a) Job oriented | b) Short term |
| c) Management initiated | d) Hands on skills |
| e) Remedial | |

Training helps to adopt to technological changes, improve quality, and boost performance by improving knowledge, skills and attributes. It sustain competitive advantage by developing competency.

Training Process:

1. Determine training needs.

- Training need can be along and level, job level or employee level
- Gap between skills needed for doing a job and the present skill level of employee.

2. Specify training objectives:

Training objectives are desired outcomes of training. They should be specific, measurable and time bound outcomes. They can be in terms of skills to be taught, change in behaviour or performance results sought.

3. Determine curriculum & training methods:

The courses and curriculum to be offered and training methods to be used should be determined. The methods can be on the job and off-the-job.

4. Select trainee and trainers:

- Right kind of trainees and effective trainers should be selected.
- They 'make or break' the training program.

5. Develop budget:

- Costing should be done for each training program.
- Adequate budget should be provided
- Duration of training and logistics of training affects the budget.

6. Implement Training:

- delivered as per schedule.

7. Feedback and Evaluation:

TRAINING METHODS:

I. On the Job Methods

- This training involves "learning while working".
- Training takes place on the job. It places the employee in the context of real work situation.
- It is most widely used in practice.

1. Apprenticeship Training:

- Employees learn by working with those already skilled in their jobs.
- Example- plumbers, electricians, accountants.
- Duration varies from job to job - generally from two to five years.
- Trainees are allowed to perform sophisticated tasks as their skills and experience increased.
- Apprenticeship training are effective for acquiring skills and learning crafts. However they are time consuming and expensive.

2. Internship Training:

- It is provided to skilled and technical personnel.
- The goal is to combine practical experience with classroom-oriented theoretical knowledge.
- It is for specific periods.
- Students of technical of management subjects under 90 internship training.
- It blends theory with practice but time consuming.

3. Job Instruction Training:

- It is a systematic step by step approach to on the job training to teach new job/task.
- It is designed for supervisors to train operatives. It is related with specific work situation.

JIT consists four steps:

1. Training preparation:

2. Presentation: - telling, showing, illustrating, and explaining

- steps of the job at normal and slow pace.

3. Practice: - trainee actually perform the job to demonstrate their understanding.

- Errors are corrected

4. Follow-up:

- The trainee is placed in the job on his own. A resource person is designated for providing needed assistance.
- JIT easy to deliver. it is an effective low cost training solution to train supervisors.

Advantages of on-the-job training:

1. They are useful for learning jobs that can learned by watching and doing. Trainees learns while working.
2. The trainee is motivated and immediately productive. He gets first hand experience on the actual equipment and materials.
3. It is less costly to deliver. Expensive training facilitates are not needed.
4. The transfer of training to job is of high degree.
5. Multi skilling is possible

Disadvantages of on-the-job training:

1. The productivity of trainee is low while they develop skills.
2. The trainees make errors while they learn. Scrap and reject rates can be high. Quality can be low.
3. Equipment can be damaged during training.
4. Trainers may lock training.

II. Off-the-job training:

The training takes place outside the work situation. It is mostly classroom based. The trainees focus on learning experiences. They are removed from the stresses and demands of work place.

1. Lectures/Conference:

- Lecture is based on talking and showing. It is oral communication of specific information by instructor to trainees.
- It is teacher centered "training by telling".
- Use of audio-visual aids like films, videos television, overhead projector, and power point.

2. Simulation Exercise:

- Simulation is abstraction of real working conditions in the lab or classroom.
- The trainee is placed in an artificial environment that closely resembles actual working conditions.

(a) **Computer Modeling:** Real world situation through computer modeling.

(b) **Vestibule Training:**

- Trainees learn their jobs on the actual equipment they will be using on the job.
- The training is delivered way from the actual work place.
- Computer training.

(c) **Virtual reality:** It stimulates actual work activities by sending various messages to brain

3. Programmed Instruction:

This is a instruction method. It can be in the form of programmed texts or manuals. They condense information to be learned into organized and step-by-step-logical sequences. Trainees are required to provide feedback on their learning progress.

- Computer assisted instruction, interactive video as well as television based tele training.

4. Experimental Exercises/Role Play:

- Experimental exercises are short structured learning by doing experiences.
- Role plays are human interaction involving realistic behavior in imaginary situations. Trainees act roles to learn behavior appropriate for job.

Advantages of Off-the-job:

1. Large groups can be trained simultaneously at low cost.
2. Costly errors and injuries can be avoided during training.
3. Training time is reduced composed to on the job training.

4. Large amount of information can be covered.
5. In house trainers and training capacity can be developed.
6. Trainees develop useful contacts.

Disadvantages of Off-the-job:

1. The transfer of training job is of low degree.
2. The trainee motivation is low. Specific employee needs may not be met.
3. Trainee involvement is lukewarm. It is not useful to develop interpersonal skills.

Difference between on the job and off the job training

Basis For Comparison	On-The-Job Training	Off-The-Job Training
Meaning	On the job training refers to a form of training which is provided at the work place during the performance of the actual job.	When the employees are given training outside the actual work location, such a type of training is termed as off the job training.
Approach	Practical	Theoretical
Active participation	Yes	No
Location	At the workplace	Away from the workplace
Principle	Learning by performing	Learning by acquiring knowledge
Work disruption	No, because trainees produce the products during learning.	Yes, because first training is provided which is followed by a performance.
Carried out by	Experienced employees	Professionals or experts.
Cost	Inexpensive	Expensive
Suitable for	Manufacturing firms	Non-manufacturing firms

PERFORMANCE APPRAISAL:

- The performance appraisal process is concerned with continuous evaluation of the employee's work so that when necessary promotion, pay raises, transfers, training etc. may be given.
- The performance appraisal is concerned with evaluating employee performance at work in terms of pre-determined norms/standards with a view to developing a sound system of rewards and punishment and identifying employees eligible for promotions.
- Once the employee has been selected, trained and motivated, he is then appraised for his performance.
- Performance appraisal is the step where the management finds out how effective it has been at hiring and placing employees.
- "It is the process of evaluating an employee's performance of a job in terms of its requirements"

Importance/Purpose of Performance Appraisal:

- Performance appraisal has been considered as a most significant and indispensable tool for an organization; for the information it provides is highly useful in making decisions regarding various personal aspects such as promotions and merit increases.
- Performance measures also link information gathering and decision-making processes.
 - Performance appraisal determines who shall receive merit increases.
 - Counsels employees on their improvement.
 - Determines training needs.
 - Determines promotability.
 - Identifies those who should be transferred.
 - It improves employee job performance.

- Encourages employees to express their views or classification on job duties.
- Boarder employees outlook, capacity, and potential.
- Promotes a more effective utilization of manpower and placements.
- Facilitates selection, reward, and promotion of the best qualified employee.
- Prevents grievances.
- Increases analytical abilities of supervisors.

Criteria for Performance Appraisal:

- | | | | |
|-----------------------|-------------------------|-------------------------|-------------|
| 1. Quality | 2. Quantity | 3. Timeliness | |
| 4. Cost Effectiveness | 5. Need for Supervision | 6. Interpersonal Impact | 7. Training |

Process of Performance Appraisal:

1. Establish performance standards.
2. Communicate performance expectations to employees.
3. Measure actual performance.
4. Compare actual performance with standards.
5. Discuss the performance appraisal with the employee.
6. If necessary, initiate corrective actions.

Methods, techniques or tools for Performance Appraisal:

1. Job standard oriented (Absolute standards)
 - a) Essay method
 - b) Checklist method
 - c) Forced choice method
 - d) Critical incident method
 - e) Rating scale method
 - f) Behaviorally anchored rating scale
2. Comparison oriented (Relative standard)
 - a) Individual ranking
 - b) Group order ranking
 - c) Paired comparison
 - d) 360° feedback
3. Objective-oriented
 - a) MBO

ASSIGNMENT OF CHAPTER 4:

1. Define personal management and its functions.
2. What is training? Explain the methods of off the job training.
3. What are key sources of recruitment? Discuss various steps involved in the recruitment process.
4. Explain job analysis and job description.
5. Explain methods of wage payments.
6. Discuss methods of training.
7. Performance appraisal helps to maintain discipline of employee in an organization.
8. Define recruitment. Explain briefly the sources of recruitment.
9. Discuss factors influencing wage rates in any organization.
10. What are the objectives of sound wages and salary? Explain any three methods of wage payment.
11. What is meant by selection process? Explain the process of selection.
12. Discuss the methods of performance appraisal.
13. Explain the term training with its benefits.
14. Job descriptions helps to formulate job specification in an organization. Explain.
15. Write short notes on:
 - a) Job Description
 - b) Job Analysis
 - c) Job Specifications
 - d) On the job training
 - e) Wage

CHAPTER V

INTRODUCTION TO INDUSTRY RELATIONS:

MEANING OF INDUSTRIAL RELATIONS:

Industrial relation has become one of the most delicate and complex problems of modern industrial society. Industrial progress is impossible without cooperation of labours and harmonious relationships. Therefore, it is in the interest of all to create and maintain good relations between employees (Labours) and employers (Management)

Concept of Industrial Relations

The term 'Industrial Relation' comprises of two terms; "Industry" and "Relations". Industry refers to any productive activities in which an individual (or a group of individuals) is engaged. By "relation" we mean "the relationship that exist within the industry between the employer and his employees (work person)

The term industrial relations explains the relationship between employees and stem directly or indirectly from union-employer relationship. Industrial relations are the relationships between employees and employers within the organizational settings. The field of industrial relations looks at the relationship between management and workers, particularly groups of workers represented by a union. Industrial relations are basically the interactions between employers, employees and the government, and the institutions and associations through which such interactions are mediated.

The term industrial relations have a broad as well as a narrow outlook. Originally, industrial relations were broadly defined to include the relationships and interactions between employers and employees. From this perspective, industrial relations cover all aspects of the employment relationship, including human resource management, employee relations, and union-management (or labour) relations.

Now its meaning has become more specific and restricted. Collective bargaining, trade unionism, worker participation in decision making, grievance and dispute settlement and labour-management relations are the fundamental element of industrial relation. Beside that human resource management is a separate, largely distinct field that deals with non union employment relationships and the personnel practices and policies of employers.

Origins

The term "industrial relations" came into common usage in the 1910s, particularly in 1912 upon the appointment by President William Taft of an investigative committee titled the Commission on Industrial Relations. The commission's charge was to investigate the causes of widespread, often violent labour conflict and make recommendations regarding methods to promote greater cooperation and harmony among employers and employees.

Shortly thereafter, the term gained even greater saliency in the public mind due to the wave of strikes, labour unrest, and agitation for "industrial democracy" that accompanied the economic and political disturbances associated with World War I. As a result, by the beginning of the 1920s universities began to establish industrial relations centres and programs to conduct research and train students in employer-employee relations, while progressive business firms established the first "industrial relations" or "personnel" departments to formalize and professionalize the management of labour

Conclusion

The field and practice of industrial relations began in the early years of the twentieth century and evolved in numerous ways in reaction to a host of far-reaching changes in the economic, political, and social realm/empire. It began with a broad emphasis on the employment relationship and the labor problems that grow out of this relationship. As a result of the rise of mass unionism between 1935 and 1955, the field became identified in the academic and practitioner worlds with, first and leading, the study and practice of collective bargaining and labor-management relations.

Since then the unionized sector of the economy has shrink considerably, while a competitor field of human resource management has grown and spread—a product of both new ideas and practices and the opening up of a much-expanded unorganized sector in the labor market. Thus the term "industrial relations" is increasingly associated with the unionized sector of the labor market. But a minority of participants continue to view industrial relations as pertaining to the entire world of work and, in particular, the three solutions to labor problems: personnel/human resource management, trade unionism and collective bargaining, and

government legislation.

Importance of Industrial Relations

The healthy industrial relations are key to the progress and success. Their significance may be discussed as under –

Uninterrupted production: The most important benefit of industrial relations is that this ensures continuity of production. This means, continuous employment for all from manager to workers. The resources are fully utilized, resulting in the maximum possible production. There is uninterrupted flow of income for all. Smooth running of an industry is of vital importance for several other industries; to other industries if the products are intermediaries or inputs; to exporters if these are export goods; to consumers and workers, if these are goods of mass consumption.

Reduction in Industrial Disputes: Good industrial relations reduce the industrial disputes. Disputes are reflections of the failure of basic human urges or motivations to secure adequate satisfaction or expression which are fully treated by good industrial relations. Strikes, lockouts, stoppage tactics, gherao and grievances are some of the reflections of industrial unrest which do not spring up in an atmosphere of industrial peace. It helps promoting co-operation and increasing production.

High morale: Good industrial relations improve the morale of the employees. Employees work with great zeal with the feeling in mind that the interest of employer and employees is one and the same, i.e. to increase production. Every worker feels that he is a co-owner of the gains of industry. The employer in his turn must realize that the gains of industry are not for him alone but they should be shared equally and generously with his workers. In other words, complete unity of thought and action is the main achievement of industrial peace. It increases the place of workers in the society and their ego is satisfied. It naturally affects production because mighty co-operative efforts alone can produce great results.

Mental Revolution: The main object of industrial relation is a complete mental revolution of workers and employees. The industrial peace lies ultimately in a transformed outlook on the part of both. It is the business of leadership in the ranks of workers, employees and Government to work out a new relationship in consonance with a spirit of true democracy. Both should think themselves as partners of the industry and the role of workers in such a partnership should be recognized. On the other hand, workers must recognize employer's authority. It will naturally have impact on production because they recognize the interest of each other.

Reduced Wastage: Good industrial relations are maintained on the basis of cooperation and recognition of each other. It will help increase production. Wastages of man, material and machines are reduced to the minimum and thus national interest is protected.

Thus, it is evident that good industrial relations are the basis of higher production with minimum cost and higher profits. It also results in increased efficiency of workers. New and new projects may be introduced for the welfare of the workers and to promote the morale of the people at work. An economy organized for planned production and distribution, aiming at the realization of social justice and welfare of the masses can function effectively only in an atmosphere of industrial peace. If the twin objectives of rapid national development and increased social justice are to be achieved, there must be harmonious relationship between management and labor.

Objectives of the Industrial Relation

The main objectives of industrial relations system are;

- To safeguard the interest of labor and management by securing the highest level of mutual understanding and good will among all those sections in the industry, which participate in the process of production.
- To avoid industrial conflict or strife and develop harmonious relations, which are an essential factor in the productivity of workers and the industrial progress of a country.
- To raise productivity to a higher level in an era of full employment by lessening the tendency to high turnover and frequency absenteeism.
- To establish and promote the growth of an industrial democracy based on labor partnership in the sharing of profits and of managerial decisions, so that individual personality may grow its full stature or tallness for the benefit of the industry and of the country as well.
- To eliminate or minimize the number of strikes, lockouts and gheraos by providing reasonable wages, improved living and working conditions, said fringe benefits.
- To improve the economic conditions of workers in the existing state of industrial managements and political government.

- Socialization of industries by making the state itself a major employer
- Vesting of a proprietary interest of the workers in the industries in which they are employed.

Industrial relations System

An industrial relations system consists of the whole range of relationships between employees and employers which are managed by the means of conflict and cooperation.

A sound industrial relations system is one in which relationships between management and employees (and their representatives) on the one hand, and between them and the State on the other, are more harmonious and cooperative than conflictual and creates an environment conducive to economic efficiency and the motivation, productivity and development of the employee and generates employee loyalty and mutual trust.

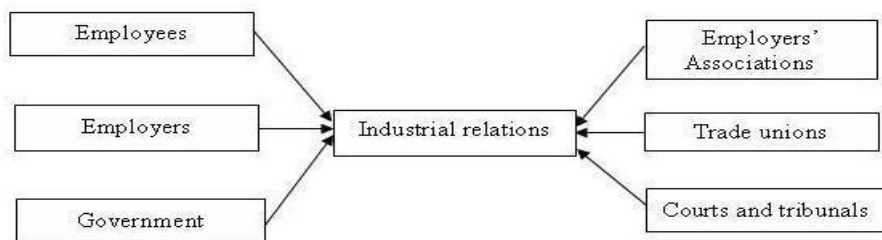
Actors in the IR system:

Three main parties are directly involved in industrial relations:

Employers: Employers possess certain rights vis-à-vis labors. They have the right to hire and fire them. Management can also affect workers' interests by exercising their right to relocate, close or merge the factory or to introduce technological changes.

Employees: Workers seek to improve the terms and conditions of their employment. They exchange views with management and voice their grievance. They also want to share decision making powers of management. Workers generally unite to form unions against the management and get support from these unions.

Government: The central and state government influences and regulates industrial relations through laws, rules, agreements, awards of court ad the like. It also includes third parties and labor and tribunal courts.



Scope:

The scope of industrial relations is quite vast. The main issues involved here include the following:

1. Collective bargaining
2. Machinery for settlement of industrial disputes
3. Standing orders
4. Workers participation in management
5. Unfair labor practices

TRADE UNIONS:

- Unions are important stakeholders in organizations.
- Workers get organized in labor unions. Employers get organized in employer associations. Professional get organized in professional association - Nepal Medical Association, Nepal Bar Council.
- According to Decenzo and Robbins:
"A Union is an organization of workers, acting collectively, seeking to promote and protect its mutual interests through collective bargaining."
- A trade union is any combination of persons, whether temporary or permanent primarily for the purpose of regularity the relations between workers and employees, or between workers and workers and for imposing restrictive conditions on the conduct of any trade or business and includes the federation of two or more trade union.

Characteristics:

1. **Organization:** A union is an organization. It has goals, technology, structure and people. It is a human associations.

2. **Permanent:** A union is a relatively permanent organization. its life is tied-up with the life or the organization in which it is located.
3. **Collectivity:** Members of the union work collectively as a group. Individual interests are sacrificed for the sake of group interests. Unity is strength for unions.
4. **Mutual Interests:** Members of the unions seek to promote and protect their mutual interests such interests can be economic, cultural, social, political.
5. **Collective Bargaining:** A union operates through collective bargaining. Labor and management come to the bargaining table to negotiate and reach a settlement.

Goals, Objective and Functions of Trade Unions:

- Unions are goal-directed.
- A trade union must work to protect and to promote the interests of the workers and the conditions of their employment.
- The interest of workers lies in getting reasonable wages, shorter working hours, improved working conditions and greater security both of person and of the job.
- The goals of unions are:
 - a) Higher compensation
 - b) Greater job security
 - c) Better working conditions
 - d) Influence work rules
 - e) Obtain political power
 - f) Communicate views, aims, ideas with management
 - g) Promote individual and collective welfare.
 - h) Enlarge opportunities for promotion and trainings.
 - i) Secure protection from economic hazards.
 - j) Restrain the management from taking any actions.

Weakness of Trade Union:

1. Trade Unions are affiliated to political ideology parties and have exploitation from politicians.
2. The political involvement of trade union leader have weakened the trade union movement.
3. Trade Union activity is generally concentrated in city areas where large scale industries are located. As a result, the trade union movement has touched only a small member of the working class population.
4. Many trade unions are small and have small member of members. Thus their financial position is weak, their bargaining position is weak, and they are not able to make their influence felt.
5. Trade Unions, which have grown very slowly, have not developed as effective voluntary organization due to unrealistic labor policy of government.
6. Trade Unions are divided on the basis of labor, casteism, regionalism, and languish which led to heterogeneous groups.
7. It always have the hostile altitude of the employers.
8. Different trade union in same industry/organization which led toward rivalry among themselves.

What a Trade Union Should Do?

- Trade Unions should not be content with protecting and improving wages and conditions of work of their members but should also be concerned about all such matters by which the latter are likely to be affected, whether as producers or consumers, or units of industrial manpower or as citizens.
- They should look after the wide interest of workers, both when they are on the job and off it, and try to solve the problems by which their members are most vitally affected.
- They should be deeply involved in bringing about and maintaining industrial harmony and peace, and battle with the employers and the state.
- Trade Union should always abide by the decisions of tripartite bodies, and make a major contribution to the maintenance of industrial peace, to better industrial relations and to higher productivity by a fuller utilization of the procedures and machinery provided by various laws and codes.

COLLECTIVE BARGAINING:

- Collective bargaining is the process though which representatives of management and the union meet to negotiate a labor agreement.
- It refers to negotiation, administration and interpretation of time-bound writer agreement between two-parties.

- It is collective because the union represents the workers as a bargaining agent.
- Collective bargaining is the procedure by which an employer or employers and a group of employees agree upon the conditions of work.
- The collective bargaining agreement lays down in specific terms and the conditions of employment.
- It has two aspects.
 - a) It lays down employer-employee relations on the job through a collective bargaining.
 - b) It interprets and administers the collective agreement.
- Common provisions in collective bargaining agreements relate to:
 - a) Union Recognition**
 - b) Union Security**
 - c) Wages Rates:** Amount of wages and wage increases tied to cost of living, income maintenance
 - d) Conditions of Employment:** Hours, terms & condition, working practices etc.
 - e) Benefits:** Insurance, pension, pay for time not workers
 - f) Strikes and Lockout:** During contract period
 - g) Seniority Clause:** HR decisions such as promotion, lay off, job assignment to be based on seniority
 - h) Discipline: Procedures of discipline**
 - i) Grievance Procedure**
 - j) Management Rights**
 - k) Health and Safety Provisions**

Importance of Collective Bargaining:

- Collective Bargaining is important to both workers and employers. It provides agreement of both parties on an acceptable contract. Its importance is clear from the following points.
 - a) It promotes and protects the interests of both the parties and empowers them economically.
 - b) It helps establish uniform terms and conditions of employment to prevent disputes.
 - c) It helps to settle disputes when they arise.
 - d) It lays down norms and rules for interrelationships between labor and management.
 - e) It helps establish favorable work climate.
 - f) It promotes participation and democratic leadership.

Process of Collective Bargaining:

- | | |
|---------------------------------|-----------------------|
| 1. Preparation for Negotiations | 2. Negotiations |
| 3. Agreement | 4. Union Ratification |
| 5. Administration of agreements | |

1. Preparation for Negotiations:

- This is homework page for both the union and management.
- Effective bargaining means presenting an orderly and factual case to each side.
- Careful advance preparations by both sides are necessary because of the complexity of issues and the broad range of topics to be discussed during negotiation.
- Major issues fall under following categories:
 - 1. Wage related issues: wage, rate, wage differential, over time rate, allowance
 - 2. Supplementary issues: pension plan, insurance, paid holiday
 - 3. Institutional issues: rights & duties of authorities
 - 4. Administrative issues of employee & employers seniority, employee discipline and discharge procedures employee health & safety, technological charge.

2. Negotiation:

- Both parties meet at bargaining table. Union delivers a list of demand to management. Then negotiation continues formally.
- The negotiation goes on for days until the final agreement is reached.
- A settlement is reached by both the parties based on compromises.
- Negotiation depends on the knowledge and skill of the negotiation and negotiating is art.

3. Agreement:

- The oral agreement is converted into a written agreement.

- The legal dimensions are carefully taken care of.

4. Union Ratification:

- The union negotiations submit explain the agreement for approval from union members.
- If voted for acceptance, the agreement is converted into contract.
- The contract must be precise and clear.

5. Contract Administration:

- The agreement must be implemented according to the letter and spirit of the provisions of the agreement.
- Faulty implementation or violation of any provisions leads to disputes.
- The management is primarily responsible for implementing the agreement.
- HR Manager plays a crucial role in the day-to-day administration of the contract.

Main Section of Contract:

1. Management rights
2. Union security and automatic payroll deductions
3. Grievance procedures
4. Arbitration of grievances
5. Disciplinary procedures
6. Compensation rates
7. Hours of work & overtime
8. Benefits: vacations, holidays, insurance, pensions
9. Health & safety provisions
10. Employee security & security provisions
11. Contract expiration date

TRADE UNION MOVEMENT IN NEPAL:

Basically development of trade unionism in Nepal divides into three historical periods. They are during the Rana Autonomy (1816 to 1950), from the Democracy innovation to Panchayat System (1951 to 1961) and During the Panchayat System 1962 onwards.

During the Rana Autonomy (1816 to 1950):

Hundred and four year's family Rana Regime took the sovereignty of the country in their hands. This period was the black period in Nepalese history. They ruled the country as their personal property, enjoying unrestrained political power. Basic rights were nonexistent and people had to undergo all sorts of exploitation. Rana was enjoys the every economic benefits. Industrialization was never an objective of the Rana family who ruled up to 1950. In 1936 the first Company Act was introduced which set the tone of industrialization. Before 1943, two major industrial units that is Biratnagar Jute Mills, 1936 and Morang Cotton Mills, 1942 jointly employed more than 80 percent of about 3,500 estimated industrial workers in Nepal and almost all of them were Indian migrants. There was no law except the belated Company Act. Most of the industrial units owned and managed by Marwari immigrants. It was ruled by mercy rather than law.

Origin of Trade Unions in Nepal:

The history of trade union movement in Nepal is of recent origin. There were no trade unions in Nepal before 1945 as the country was under the family rule of Ranas. Nepal had followed closed-door economy having almost no relations with the outside world. In 1946 All Nepal Trade Union Congress (ANTUC) was formed. In 1947, Biratnagar Workers Union (BWU) was set up. In March 1947 the first workers' movement took place at Biratnagar for the establishment of democracy.

From the Democracy innovation to Panchayat System (1951 to 1961):

In 1951 ANTUC and BWU became united and formed the first trade union federation in Nepal. The World Federation of Trade Unions (WFTU) in 1953 granted membership to ANTUC. After the democratic change of 1950, the freedom of association allowed the opportunities to many voluntary organisations in the country

and the workers, too, felt the need to be united under one umbrella to fight against the exploitation of the management and the government. The unions existed at that time were:

Biratnagar Workers' Union, Cotton Mills Workers' Union, All Nepal Trade Union Congress, Independent Workers' Union, Biratnagar Mills Workers' Association, All Nepal United Workers' Union, All Nepal Trade Union Organisation and Nepal Labour Union. But these unions were merely instruments of the political parties without the capacity of free collective bargaining. This is clear from the fact that Girija Prasad Koirala, now, the president of Nepali Congress Party and late Mana Mohan Adhikari, former president of the United Marxist-Leninist Party, were active both in trade unions and their respective parties. After the success of democratic struggle against 104 years of Rana family rule in 1950 freedom of expression and organisation became part of political life.

During the Panchayat System 1962 onwards:

The Nepalese political history took a new turn in 1960 when the King staged a putsch, banned the political parties and trade unions and established a partyless Panchayat system in 1962. This system limited the freedom of expression and association but envisioned creating exploitation-free society through the harmonisation and co-ordination of the interests of different classes. For this, six different class organisations including Nepal Labour organisation were created. As this organisation was controlled by the system and also that the central body was heavily politicised, the objective of ensuring the labour welfare remained unfulfilled. Still, some of the noticeable achievements were also made during this period in the field of labour administration, such as, establishment of a separate labour ministry, department and some labour offices and the admission of Nepal into the International Labour Organisation (ILO) as a member.

After restoring the Multiparty Democracy, 1990:

Multi-party democracy was restored in the spring of 1990 in the country after the success of people's movement, in which many professional organisations, including workers had actively participated. The Constitution of the Kingdom of Nepal 1990 guaranteed multi-party parliamentary system, human rights, constitutional monarchy and the sovereignty of people. It also granted the freedom of expression and association, which inspired the formation of trade unions. At an early stage, there was mushrooming growth of trade unions. They were heavily divided in the line of political ideologies. Each party has its own unions, if not general federation. With the passage of time, most of these unions could not exist and some of the unions were merged. Three major federations existing in the country are **Nepal Trade Union Congress (NTUC)**, **Democratic Confederation of Nepalese Trade Unions (DECONT)** and **General Federation of Nepalese Trade Unions (GEFONT)**.

Nepal Trade Union Congress (NTUC) was established in 1947 with the objectives of promoting workers rights. The labour movement in Nepal started on March 4, 1947 in Biratnagar against the hereditary Rana rule for the establishment of democracy and advancement of workers' rights. The ideology of NTUC was based on democracy, nationalism and socialism. After the establishment of democracy in the country in 1950, NTUC became active in the promotion of workers rights to organise, express and struggle for their collective welfare. In 1960 with the dissolution of multi-party democracy in Nepal, trade unions were banned along with political parties for almost 30 years of Panchayat system. With the overthrow of Panchayat polity in 1990 following popular movement for the restoration of democracy, freedom of expression and organization became a part of national life. Nepal Trade Union Congress also revived its organization in 1990 and now works closely to ruling Nepali Congress party in general.

General Federation of Nepalese Trade Unions (GEFONT) was established in July 20, 1989 with four founder federations: Nepal Independent Workers Union (NIWU), Independent Transport Workers' Association of Nepal (ITWAN), Nepal Independent Workers' Union (NIHWU) and Trekking Workers' Association of Nepal (TWAN). It is affiliated to Communist Party of Nepal Unified Marxist-Leninist party (CPN-UML).

A small faction splintered from GEFONT formed Independent Confederation of Nepalese Trade Unions (ICONT) on March 14, 1998. ICONT is affiliated to CPN Marxist-Leninist party (CPN-ML).

EMPLOYEE GRIEVANCES:

A grievance is a formal expression of dissatisfaction about a work situation usually by an individual employee, but it may sometimes be initiated by a group of employees or a union acting on their behalf.

Causes of Grievance

Following are the cause of grievance;

- Promotion
- continuity of service
- compensation
- disciplinary action
- fines
- increments
- leave
- medical benefits
- nature of job
- payment
- acting promotion
- recovery of dues
- safety appliances
- transfer
- victimization
- condition of work

Grievance procedure

Grievance procedures are formal and agreed procedures that an employer and his or her employees or representatives have agreed to follow to deal with or resolve workplace problems. Grievance procedures may be set out as a provision in an award or agreement, but there may also be an internally developed procedure. Grievance procedures are based on the principle of natural justice and it is recognized as good business sense to have effective grievance procedures.

Following of the Outcomes of Grievance Procedure

- A peaceful method of conflict resolution to reduce industrial action and provide greater stability
- Quick and effective results
- Improved communications and working relationships
- Employee participation and consultation in the workplace
- Increased productivity and efficiency of the organization
- Resolution of problems with workplace change programs
- Better emotional well-being, performance and morale of employees
- Avoidance of the costs and delays of going to the tribunal
- Natural justice for employees.

Features of a good grievance procedure

- Complaints must be fully described by the person with the grievance
- The person(s) should be given the full details of the allegation(s) against them
- The person(s) against whom the grievance/complaint is made should have the opportunity and be given a reasonable time to put their side of the story before resolution is attempted
- Proceedings should be conducted honestly, fairly and without bias
- Proceedings should not be unduly delayed.

How to handle a grievance:

Deal with the grievance promptly: Initiate discussion quickly, investigate and double check all the facts.

Be accessible: Make sure staff understands the grievance procedure and how it works.

Informality: Discuss the issue in a non-threatening environment. No-one should receive a printed form letter in response to a problem. Remember, when such a letter is perceived as "legal", your employee may feel they need "legal" assistance.

Be consistent: Policies and procedures must apply equally to all staff.

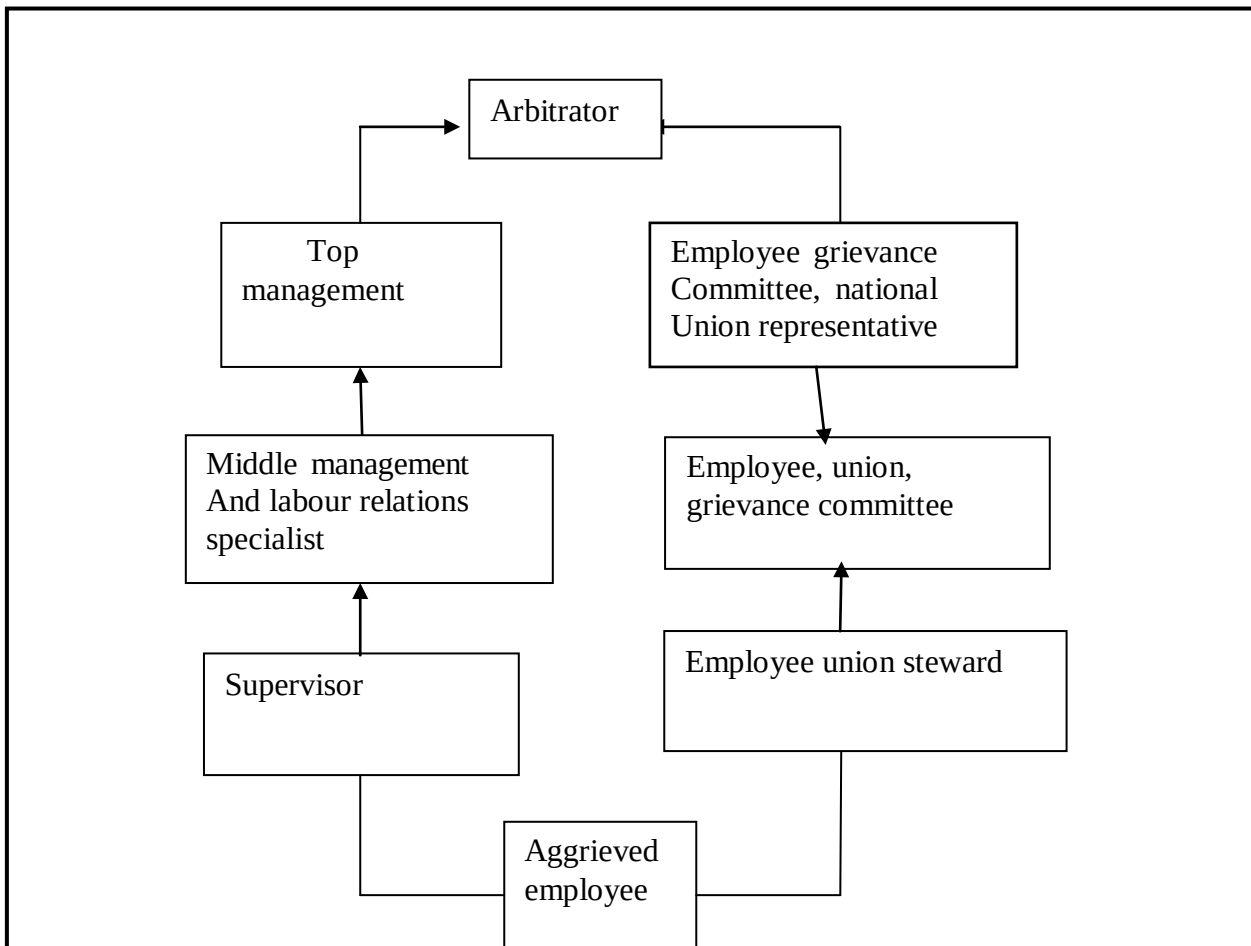
Admit errors: If you have acted incorrectly or inappropriately – say so! Then fix the problem

Closure: Decide your response/action and give a full explanation. This allows the matter to be finalized.

Learn from it: Resolving the grievance should give you practical insight into dealing with such situation (and possibly others) in the future.

Handling Grievances or Grievance Procedures

Handling grievance is important for both unionised and non unionized organizations. In unionized organizations the union and management agree on the grievance procedures. A formal grievance handling procedure is presented below



1. **Contact supervisor:** When there is any problem about any employment related issue an employee first contacts his or her supervisor with the help of the union steward. They discuss the grievance and try to solve it on the shop floor. This is some sort of informal discussion if the grievance is not settled with agreement in this step; the next step will be effective.
2. **Meet with management and labour relation specialist:** At this step the employee together with union specialist meets with the management. They try to reach an agreement after discussion the issue.
3. **Meeting between union executives and top management:** When the concerned manager fails to reach an agreement, the complaint can enter into the third step of grievance procedure. At this step top management and union executives sit together to reach an agreement. Because of the authority of the top management to make decisions, there is possibility of setting complaints at this level.
4. **Arbitration:** This is the final step where an independent arbitrator mediates between management and employees. The mediator goes through the rules to handle grievance to settle it in a way acceptable to all parties involved. He or her may be appointed by the government or by other private agencies.

EMPLOYEE DISCIPLINE:

All managers have to deal with some employees/workers who frequently remain absent from the jobs, drink on the job, are insubordinate, steal Company' property, show habitual tardiness, fight and commit other serious offences on the job. These problems lead to disciplinary actions to control such undesirable behaviours at work. There are a number of definitions and views regarding discipline in an organization. According to Dessler, -A procedure (discipline) that corrects or punishes a subordinate a rule or procedure has been violated.¶

According to Beach, _ 'Discipline involves the conditioning or moulding of behaviours by applying rewards or penalties.¶

-The term 'discipline' refers to a condition in the organization when employees conduct themselves in accordance with the organizational rules and standards of accountability.

-Unfortunately in our culture many people interpret discipline as punishment. But it doesn't always need to be punishment. The problem solving nature of constructive discipline differentiates it from punitive discipline. As such constructive discipline is designed to be a learning process that provides an opportunity for positive growth. Effective managers use constructive discipline when people slip in readiness. - Hersey, Blanchard and Johnson

If employees can be self-disciplined there is no necessity for an extrinsic disciplinary process. However, in each organization there may be some employees whose behaviour does not conform to the norms and values of the organization. Thus, the need for extrinsic disciplinary action arises. The main purpose of discipline is to encourage employees to behave in the way that makes sense at work. As outlined above to enforce discipline, managers can use either reward (constructive) or punishment (punitive). The most effective discipline is to provide opportunity to the employee for moulding his or her behaviour permanently. However punishment is a short-term approach of moulding employees' undesirable behaviour because they may repeat that behaviour again and again and create employee relation problems at work.

Types of discipline Problems

Disciplinary problems are grouped into four categories:

1. Attendance related:

- Habitual tardiness
- Unexcused absences
- Failure to report accidental injury
- Leaving job area without prior notice
- Abuse of sick leaves

Most of the managers face attendance –related problems of discipline from their employees. The reasons for attendance problem are;

- failing to align individual goals with the organisational goals;
- Thinking that employment is for just passing the time and not the central life interest of the employee;
- No fear of dismissal as a result of being a union member.

2. On-the-job misbehaviours:

- Fighting
- Horseplay or rough and tumble
- Gambling
- Sleeping on the job
- Smoking in the workplace
- Failure to obey safety rule
- conceal one's defective work
- Arriving at work drunk
- Work output below standard
- Excessive defective work due to employee's own error
- The use of drug
- Attacking fellow employees with intent to seriously injure.

3. Dishonesty

- Unauthorized selling of company property
- Stealing
- Malicious damage or destruction of company's property
- Deliberate falsification of company records
- Promotion of gambling on company property.

4. Outside activities

- Involvement in unauthorized strikes
- Criminal activities outside the job
- Spying for competitor's benefits and leaking important information
- Criticizing the management in public

- Damaging the quality of work on the guidance of competing organizations.

These are the different offensive behaviours that create disciplinary problems in the organization. What is important for a manager is to identify which are minor and which are serious offences for the company and to handle them with proper skills. After identifying the degree of seriousness of offences, the disciplinary action is planned.

Causes of Indiscipline

There are number of causes of indiscipline at work. Some of these are briefly presented below:

1. Lack of supervision: In the lack of effective supervision of the workers problem of indiscipline can arise. It is the responsibility of every supervisor to comply workers with workplace rules and regulations.

2. Violation of rights of employees: Employees must be treated with respect and be allowed to express themselves or raise their voice, given rights to contribute to the best of their abilities and the like. When these rights are violated by the organization they feel dissatisfied that can cause indiscipline.

3. Absence of grievance handling and settlement machinery: If a company has no proper mechanism to handle employees' grievances on time, will result indiscipline. There must be a quick response for the settlement of any grievance that arises at the work place.

4. Personnel problems: Any type of unfair personnel practice can result indiscipline problem. Some examples of personnel problems are delay in promotion, discrimination in salary and wages, unfair performance appraisal and the line are the causes of indiscipline at work.

5. Employer's attitudes: There are a number of obligations of an employer towards its employees. Some of these obligations are for example providing healthy working conditions, adequate tools and equipments, timely supply of raw materials and equal pay for equal jobs. The breach of these obligations by the employers will lead to indiscipline.

6. Lack of communication: A two-way communication between superior and subordinate is essential to communicate essential issues and problems. In the lack of an effective communication mechanism indiscipline will rise.

Administering or Manage Discipline

Administering discipline is a challenging job for a HR manager. There should be adequate mechanisms to initiate disciplinary action against employees in the organization. Some of these begin prior to the violation of rules and some come after such violation. There are certain orderly procedures of administering discipline in the organization. A brief discussion of such a procedure is discussed below.

- | | |
|--|------------------------------|
| • Define disciplinary policies and procedure | • Keep discussion impersonal |
| • Respond immediately | • Be consistent |
| • Provide warning | • Take progressive action |
| • State the problem specifically | • Obtain agreement on change |
| • Allow the employee to explain his/her position | |

Disciplinary Actions

It include six progressive steps

- Simple oral warning
- Written warning
- Suspension
- Demotion
- Pay cut
- Dismissal

EMPLOYEE HEALTH AND SAFETY:

- Safety and accident prevention concern managers for several reasons, one of which is the staggering number of work related accidents.
- Modern industry is characterized by complicated mechanisms, intricate job requirements, fast moving production lines.
- Thus health and safety issues has increased importance because of large scale industrialization in which human beings are subject to mechanical, chemical, electrical and radiation hazards.
- The life of industrial workers is full of risks and hazards.
- Every year no. of people/employees are injured in factories, mines, leading to acute ailments, or permanent handicap.

Nature of Accidents:

- The nature of an accident vary from industry to industry.
- Partial disablement- Loss of ability to work or to move. Employee entitle for compensation to the extent of improved.
- Total Disablement - Incapacities a workman and makes it impossible for him to engage in any work which he was capable for performing. Employee is entitled for full compensation.

Causes of Accidents:

- Accidents are usually the results of a combination of factors, each one of which may vary from situation to situation.
- This combination may be unsafe acts and equipments, of people, factors and conditions.
- Three basic causes/factors:

1. Unsafe conditions (Work-related courses):

- Improperly guarded equipment
- Defective equipment
- Hazardous arrangement or procedure in and or around, machine or equipment.
- Unsafe storage, congestion, overloading.
- Wrong and faulty layout, bad location.
- Improper illumination - glare, insufficient light
- Improper ventilation - insufficient air charge, impure air source.
- Poor house keeping.

Other work related causes

1. The job itself.
2. Work schedules
3. Psychological climate of the work place.

2. Unsafe Acts (Human Causes):

These acts may be the result of lack of knowledge or skill on the part of the employee, certain bodily defects and wrong attitudes.

- Operating without authority.
- Failing to secure equipment or warning other employees of possible danger.
- Throwing materials on the floor carelessly.
- Operating or working at unsafe speeds, wither too fast or too slow.
- Making safety items/devices inoperative by removing, adjusting, disconnecting them.
- Using unsafe equipment, or using equipment unsafely.
- Using unsafe procedures in loading, placing fixing, mixing, combining.
- Taking unsafe positions, under suspended load.
- Lifting improperly.
- Cleaning, adjusting, oiling, repairing, etc. moving a dangerous equipment.
- Distracting, teasing, abusing, startling, quarreling day-dreaming, horseplay.
- Personal characteristics - personality, motivation sensory skills, motor skills, experience

3. Other Causes:

- Young, untrained and new workers generally sustain injuries more frequent than older trained and experienced employees.

- Those addicted to alcoholism and drugs, and those who suffer from boredom and fatigue or indulge in exhibitionism, generally account for a higher rate of accidents.
- The way the management motivates employees affect the rate and frequency of accidents.
- Unmarried employees generally have more accidents than married employees.
- Accidents are more frequent during that night shifts.
- Women employees have a better safety record than their male counterparts.
- Workers who work under stress, or who feel their jobs are threatened and insecure, seem to have more accidents than those who do not.

Accident Cost:

- Accidents are enormously costly, causes loss directly or indirectly and the losses are both visible and invisible.
- Whenever an industrial accident occurs, it gives rise to pain for the victim and his family and retards industrial productivity which, in turn, affects the economy of a country.
- It results in financial loss for the employee and the employer, and large payments by the latter in the shape of compensation.
- Accident cost that management suffers are:

1. Direct costs:

- Wages of employees
- Loss of goods and services
- Compensation and the cost of medical aid.
- Cost incurred on training a new worker.
- Loss due to waste of raw materials.

2. Indirect costs:

- Cost to maintain factory inspector.
- Cost to the employee of the time he has been without work because of his accident.
- Cost of the lost time of other employee due to stop of work because to assist injured employee.
- Cost of damage in machine & equipment.
- Overhead cost - light, heat, rent cost
- Low morale due to repetitive accidents on employee.

Safety Programs:

- Safety is primarily the responsibility of the management.
- Every organization should formulate and implement a safety policy.
- Safety program deals with the prevention of accidents and with minimizing the resulting loss and damage to persons and property.

1. Preparation of safety policy

2. Safety organization:

- Safety program must have top management approval, sanction and support.
- Responsibility for safety must rest with the supervisory personnel.
- Safety must be given equally important consideration with that of other factors of production.
- Provision must be made for prompt action in the elimination of mechanical and personnel hazards.
- A definite safety program must be developed to educate all employee in safety.
- Safety must be included in all phases of planning, purchasing, supervision and operation.
- Prepare safety committee.

3. Appraisal of Employee Attitude to Safety Programs:

- Safety committee should interact with employee about the problems of safety, act on their suggestions.
- Conduct their attitude survey regarding safety programs/measures.

4. Safety Engineering:

- Adoption of proper engineering procedures to minimize and eliminate work hazards.

- New products, processes and machines are designed, and full attention is paid in safety engineering in design, layout and installation.
- Eliminate the risks posed by the operation of machines, by the processes of the manufacture of products and by the structure and layout of plants and equipment.
- Safety equipment is made available to an employee-safety glasses, gloves, fences, protective caps, gas masks, safety shoes.
- The flow of materials during all the stages of the manufacture of a product should be properly planned.
- Use science of ergonomics to prevent the out break to develop better and safer working conditions for employees.
- Use colour - Red, Orange and Green
- Use picture, signal

5. Safety Education and Training:

- Safety education for all levels of management and employees to implement safety programs.
- Develop safety consciousness among employees.
- Ensure safe work performance by developing his skills in the use and operation of equipment.
- Training on
 - use of material
 - reporting of accident
 - first aid
 - about the hazards
 - methods to prevention
- Safety publicity - displaying posters, and screening films etc.

6. Safety Contest:

- Some companies encourage safety contest/competitions among their departments, with a view to bringing about a reduction in the no. of accidents.

7. Disciplinary Actions:

- To enforce plant rules governing safety, employees are reprimanded, fired, laid off or even discharged if they are found guilty of any violations.

8. Accident Analysis and Tabulation:

INDUSTRIAL HEALTH:

- Industrial Health is;
 - I. The prevention and maintenance of physical, mental, and social well-being of workers in all occupations.
 - II. Prevention among workers of ill-health caused by the working conditions.
 - III. Protection of employee in their employment from risks resulting from factors adverse to health; and
 - IV. Placing and maintenance of the worker in an occupational environment adopted to his physical and psychological equipment.
- The basic objective of industrial health is the prevention of disease and injury rather than the cure of disease.
- It involves:
 1. The promotion and maintenance of the highest degree of physical, mental and social well-being of workers.
 2. The prevention of factors which make for ill health in their working conditions.
 3. Their protection in their occupations from risks arising from factors which are adverse to the maintenance of health.
 4. The placing and maintenance of the workers in an occupational environment which is adopted to his psychological equipment.
 5. In summary, the adaptation of work to man and each man on his job.

Importance of Industrial Health:

- Efficiency in work is possible only when an employee is healthy.
- The symptoms of bad health are a high rate of absenteeism and turnover, industrial discontent and discipline, poor performance and low productivity.
- A reduction in the rate of labor turnover absenteeism, accidents and occupational diseases have been the natural consequences of industrial health program.
- The other benefits, which cannot be easily measured, include reduced spoilage, improved morale, increased productivity per employee, and longer working period of an individual.

Major Health Problems in an Organization:

- | | |
|------------------------------------|------------------------------------|
| 1. Alcoholic and drug addiction | 2. Stress and burnout |
| 3. Occupational hazards & diseases | 4. Computer related health problem |
| 5. AIDS and other illness | 6. Workplace smoking |
| 7. Violence at work | |

1. Alcoholic and drug addiction:

- Alcoholism and substance abuse are serious and wide-spread problems at work.
- The effects of alcoholism on the worker and the work are severe.
- Both quality and quantity of work decline sharply.
- Morale of other employees drops as they have to work with alcoholic peer.
- Disciplining, discharge, in house counselling and referral to an outside agency are the basic approach for this problems.

2. Job Stress and Burnout:

- Job-related factors such as overwork, relocation and problems with customers led person under job stress and eventually toward alcoholic & drug abuse.
- A variety of external environmental factors lead to job stress.
- Work schedule, pace of work, job security, route to and from work, number of customer etc.
- Noise
- Job stress led to anxiety, depression, anger, various physical consequences - cardio vascular disease, headaches and accidents. (Employee)
- For the organization, consequences include reduction in the quantity and quality of job performance, increased absenteeism and turnover, and increased grievances and health care costs.
- Burnout is a phenomenon closely associated with job stress.
- Burnout is the total depletion of physical and mental resources caused by excessive striving to reach an unrealistic work related goals.

3. Occupational Hazards and Diseases:

- Occupational health hazards may be classified into:
 1. Chemical hazards - Carbon monoxide, dioxide, nitrogen oxide, sulphur, sulfuric acids, limes and alkalis - respiration, skin, heard disease
 2. Biological hazards - caused by bacteria, fungi, viruses, insects, allergies, brain fever, tetanus
 3. Environmental hazards - radiation, noise, vibrations, shocks, mediatory
 4. Psychological hazards
 - Occupational diseases:

1. Lead poisoning	2. Lead tetra-ethy/poisoning
3. Phosphorous poisoning	4. Mercury poisoning
5. Arsenic poisoning	6. Anthrax poisoning
7. Pathalogical manifestation due to radian, X-ray.	
8. Primary cancer of the skin	9. Loss of hearing
10. Toxic anacnia	

4. Computer Related Health Problem:

- Long hours of working with computers is creating health problem.
- Short term eye problems, like burning, itching, tearing, eyestrain, eye soreness.

- Backaches, and neckaches.
- Lead to anxiety, irritability, and fatigue.
- Use various recommendations.

5. AIDS and Other Illness

6. Workplace Smoking:

- Cause higher health and fire insurance, increased absenteeism, and reduced productivity. (10 minutes break to finish a cigarette)
- Smokers have greater risk of occupational accidents than do non-smokers.
- Smoking bans can be effective.
- Smokers make more and more expensive claims for health and disability benefits.

7. Violence at Work:

- Violence against employees is an enormous problem at work.
- Steps that can reduce workplace violence include improved security arrangement, better employee screening, and violence reduction training.
- Enhanced attention to employee retention/dismissal.
- Dismissing violent employees.
- Dealing with angry employees.

CHALLENGES ON LABOUR RELATIONS IN NEPAL:

Article By Koshish Acharya

The peace process is in progress and the new constitution is being drafted, albeit slowly. This has resulted in a longer transitional period. Out of the many changes, the escalation of frequency of conflict between employers and employees is a major one. The closure of Surya Garments, a prominent garment industry of Nepal, is one sad example. Similarly, the case of Fire and Ice Restaurant and Hotel Vaishali are other recent cases, but there have been cases in the previous years too, like the closure of Colgate–Palmolive and Varun Beverages in 2009.

There is a repetitive phenomenon happening in this context, but the problem has not been addressed. Stakeholders in this regard, that is, the business community, trade unions, apex bodies like Federation of Nepalese Chambers of Commerce and Industries, Confederation of Nepalese Industries, Nepal Chamber of Commerce and the government have all failed to prioritise and discuss on the issue on a larger scale. One after another, industries are being shutdown — some temporarily, others permanently — whereas, a concrete solution is yet to be found. The problem generally starts with disagreements on salaries and wages and escalates to include other aspects as well. This is always followed by labour strikes, padlocking, and disruption of production and distribution. Negotiations after this process has often resulted in the demands of the employees being met and the problem solved temporarily — to resurface in a few months.

The major forces that come into play in the negotiation are the trade unions and their associations and federations and the employers and the government as well. To understand the issues of labour, it is necessary to understand trade unions in the first place. In Section 2.d of the Trade Union Act 2049 (1992), trade union has been defined as ‘The enterprise level trade union registered under this Act for the protection and promotion of the occupational rights of the workers’.

The history of trade unions in Nepal dates back to 1946 when the All Nepal Trade Union Congress was formed. In 1947, Biratnagar Workers Union was set up. In March 1947, the first workers’ movement took place at Biratnagar to establish democracy. Trade unions played a major role during the uprising of 1951, 1990 and 2006 against the Ranas, Panchayat system and monarchy respectively. Due to their involvement in all the movements, trade unions enjoy a prominent position in the politics of Nepal.

The objectives of a trade union, as mentioned in the Trade Union Act 2049 (1992), are economic and social development of workers by improving working condition, maintaining good relations between worker and management, helping to increase productivity of the enterprise and making workers dutiful and disciplined.

The purpose of establishing trade union in Nepal was to unite the labourers under an umbrella organisation to fight against exploitation by the management and government, but politics was also a part of the trade union.

Trade union's objectives seem to be limited only to paper because in reality, none of the objectives have ever been fulfilled. The working condition are worse, workers are still not economically and socially sound, relations with management are getting worse every day and workers are not as dutiful and disciplined as they should have been. The trade union movement has been hijacked by political parties and true labourers themselves are exploited for promotion of vested interests. All trade unions are affiliated to one or the other major political party of the country. This has resulted in the conflict of interest of trade unions. The political parties have their own allies and agendas, which in one way or the other, differ with the interest of the trade union.

In all the melodrama and hassle of people's movement, the proliferation of politicised and militant labour unions has gone unnoticed. Ironically, it is the labourers (employees) who have to bear the real loss. The recently closed Surya Garments employed around 600 workers — mostly women — who are now out of work.

Similarly, other industries that faced labour issues had to be closed down, also at the expense of workers themselves. The real interest of labourers has been over-shadowed by other issues, which has then affected employers. Issue of minimum wages needs to be addressed with regard to productivity.

Employees need to understand that unproductivity leads to decline in profit-making capacity, which hampers their salaries and wages as well.

Trade unions, who should be involved in solving this issue, are entangled in political agenda. The demand should be to create a sound working condition with wages and salaries, depending on the skills and capacity of a worker rather than forcing employers to pay higher wages by threatening to padlock and strike. It is high time the real labourers raised their voices against the corrupt and self-benefiting militant trade unions, who are more interested in their own short-term gain rather than the economic and social development of labourers. The government needs to look at the issue in a totally different way where the middle man, that is, the trade unions, would be eliminated from the picture and the negotiation would be fair to the employers and the employees.

Labour strikes have been disrupting the economy for a long time now, resulting in loss of existing foreign direct investment and investment in the future. The government's decision to make 2012/13 the investment year would be highly affected because of the ongoing conflict between employer and employees and until and unless the problem is addressed and highly politicised trade unions are eliminated, the hopes for industrial growth are slim.

TRADE UNIONS. POLITICS AND LABOUR RELATIONS IN NEPAL

By Catrin Froehlich Published on The Himalayan Times, Published Jun 19, 2011

KATHMANDU: There is no denying that trade unions have played and will play an important role in Nepal's development. Few would deny that there is still a long way to go for all Nepali workers to enjoy the rights they are entitled to. Low salaries; lack of insurances and social security; inadequate health and safety standards; and in some cases even exploitation and abuse are issues that trade unions are entitled to address firmly.

While their genuine political engagement has promoted social change and progress in Nepal in the past, the major concern these days (and not only for employers) is excessive politicisation, partisanship, the

increasing involvement of trade unions in party-politics and the instrumental use of trade unions by political parties. The misuse of trade unions and workers for political purposes hampers economic growth and inclusive economic development, putting the existing employment opportunities in peril.

Employees realise that attacks on businesses for party-politics force the closure of companies, reduce staff and production by switching from manufacturing to less labour-intensive trade. They will see declining investment in human resources, capacity building, social security programmes or other welfare benefits. Employees can also see their concerns being neglected due to the deviation of attention to political issues.

Employment seekers face further challenges to find jobs. As political and financial demands through trade unions increase, employers will hardly consider recruiting new staff. In practice, it is also noticeable that Indian citizens without trade union affiliation seem to have easier access to employment opportunities and that business people refrain from expanding operations in fear of attracting the attention of trade unions.

Business owners frequently mention difficult labour relations as the biggest challenge in doing business in Nepal. The activities of excessively politicised unions add further costs to doing business. Forced employment of party cadres is very unlikely to improve productivity and quality standards. Forced donations is an illegal tax which reflects in retail prices.

Consumers are unduly affected by excessively political union activism which often leads to reduced delivery of products or services and the negligence of product quality and safety. Particularly, poor people suffer from price increments due to the misalignment of resources for political activities.

Suppliers have to endure the decreasing demand and often delays in payments which can also threaten their businesses and jobs.

Investors face delays in loan repayments and a poorer return on investment. Society is also affected as contributions to the national budget in forms of taxes, fees or customs are reduced.

In the long run (and on an aggregated level) this leads to further reduced economic activities, competitiveness, investment, job opportunities, additional obstacles to the development of Nepal and an increasingly worrying balance of trade. These issues are not new but important aspects to consider when discussing CSR. If trade unions abuse their power (or let themselves be abused by political parties) they are responsible for the decline in economic and employment opportunities. From a CSR perspective, it is also alarming that unduly politicised union activities often do not encourage progressive or labour-friendly employers as businesses seem to be indiscriminately affected by merely political activities of unions and their members. This actually counters attempts to promote CSR because business people see little incentive to invest when most attempts are likely to be ignored by trade unions for the sake of increasing political clout. It is alarming because the emphasis on undue political activities prevent trade unions from focusing on their original objectives — the assurance of employees' interests.

5.8.2 METHODS OF IMPROVING INDUSTRIAL RELATIONS IN NEPAL:

The following measures should be taken to achieve good industrial relations:

Strong and Stable Union: A strong and stable union in each industrial enterprise is essential for good industrial relations. The employers can easily ignore a weak union on the plea that it hardly represents the workers. The agreement with such a union will hardly be honoured by a large section of workforce. Therefore, there must be strong and stable unions in every enterprise to represent the majority of workers and negotiate with the management about the terms and conditions of service.

Mutual Trust: Both management and labor should help in the development of an atmosphere of mutual cooperation, confidence and respect. Management should adopt a progressive outlook and should recognize the rights of workers. Similarly, labor unions should persuade their members to work for the common objectives of the organization. Both the management and the unions should have faith in collective bargaining and other peaceful methods of settling disputes.

Workers' Participation in Management: The participation of workers in the management of the industrial unit should be encouraged by making effective use of works committees, joint consultation and other methods. This will improve communication between managers and workers, increase productivity and lead to greater effectiveness.

Mutual Accommodation: The employers must recognize the right of collective bargaining of the trade unions. In any organization, there must be a great emphasis on mutual accommodation rather than conflict or uncompromising attitude. One must clearly understand that conflicting attitude does not lead to amicable labor relations; it may foster union militancy as the union reacts by engaging in pressure tactics. The approach must be of mutual –give and take rather than –take or leave. The management should be willing to co-operate rather than blackmail the workers.

Sincere Implementation of Agreements: The management should sincerely implement the settlements reached with the trade unions. The agreements between the management and the unions should be enforced both in letter and spirit. If the agreements are not implemented then both the union and management stop trusting each other. An environment of uncertainty is created. To avoid this, efforts should be made at both ends to ensure the follow up of the agreements.

Sound Personnel Policies: The following points should be noted regarding the personnel policies. The policies should be:

- Formulated in consultation with the workers and their representatives if they are to be implemented effectively.
- Clearly stated so that there is no confusion in the mind of anybody.
- Implementation of the policies should be uniform throughout the organization to ensure fair treatment to each worker.

Government's Role: The Government should play an active role for promoting industrial peace. It should make law for the compulsory recognition of a representative union in each industrial unit. It should intervene to settle disputes if the management and the workers are unable to settle their disputes. This will restore industrial harmony.

Progressive Outlook: There should be progressive outlook of the management of each industrial enterprise. It should be conscious of its obligations and responsibilities to the owners of the business, the employees, the consumers and the nation. The management must recognize the rights of workers to organize unions to protect their economic and social interests.

ASSIGNMENT QUESTIONS OF CHAPTER 5:

1. What is collective bargaining? Can Trade Union be a part of collective bargaining? Discuss.
2. Describe process of collective bargaining.
3. Describe the components of health and safety administration.
4. Describe meaning of Trade Union. "Nepalese trade unions are working at their best level." Do you agree?
5. Describe the importance of Trade Union.
6. Why industrial health is important? How organization provide compensation to its employee.
7. What are the causes of accidents? Explain.
8. Write the weaknesses of trade union. Explain how a trade union maintains good industrial relation in an industry.
9. What do you understand by safety? How do you maintain safety in an industry?
10. Distinguish between direct and indirect compensation.
11. What are main objective of trade union and explain briefly the conditions of trade union in Nepal.
12. Discuss functions of trade union in detail.
13. Write short notes on:
 - a) Industrial Relation
 - b) Compensation
 - c) Health and Safety

CHAPTER VI

HUMAN BEHAVIOR AND CONFLICT MANAGEMENT

Human Behavior:

It is very essential to understand human behavior in today's world as the existence of the organization depends on the employees/individuals.

Without understanding human behavior it is very difficult to work in an organization. In order to understand human behavior let us see how the perception of human being has changed from time to time.

All organizations are composed of individuals, with different personality, attitudes, values, perception, motives, aspirations and abilities. The main reason to understand behavior is that individuals are different. No two individuals are similar. In the early studies, theories of organization and management treated people as though they were the same; scientific management was based on the similarities among workers, not the differences. In contrast, modern theories of human behavior are based upon the differences among people and how those differences can affect the organization.

Individual differences are many for example some employees are motivated to work and some are not. This can be due to several reasons, and can be known by further reading the unit. Before we proceed to understand human behavior, it is better to know what the term 'behavior' means. Behavior can be defined as a response/s which is observed directly/indirectly. Direct observation is possible by studying the responses of people to a work environment. Indirect observations are decision making processes and attitudes, in terms of results or how people describe them verbally.

Human behavior is very much unpredictable. In behavior we cannot assume one set pattern of behavior.

In an organizational set up it is essential for managers to understand behavior. as they are constantly with people, interacting with them in terms of communication (either written or oral) in terms of work (either by specifying the work and getting things done).

Understanding past behavior is important for developing effective human skills, and it also provides a framework for predicting behavior. It also gives an idea to managers as to how behavior is similar in certain circumstances and changing in changing environmental conditions.

Another skill which an effective manager or leader needs is the ability to direct, change and control behavior. Managers have to understand that there are-going to be individual differences among the employees, as no individual is similar to other. Each individual is unique by themselves. Then one has to understand that each individual has to be taken care of as a whole person by taking care of. his needs as well as training and making him up to date in terms of work. Ultimately human beings have to be treated with respect only then you can expect effective performance. With the following descriptions you will be able to understand the concept better.

If one accepts the fact that human skill development is necessary then managers and leaders must have necessary understanding in order to influence the behavior of other people. It was felt that the managers acquire three levels of expertise. Firstly they have to understand the past and current behavior, so that they are able to predict behavior and then they learn to direct change, and control behavior.

IMPLICATIONS FOR THE ORGANISATION:

Behavior of individuals is caused, and follows a pattern, because of this, behavior is unpredictable. Study of behavior is however, rewarding and necessary for management. It is doubtful whether the manager can perform his tasks satisfactorily without developing a fair degree of understanding of the people around him.

Any attempt to learn why people behave as they do in organizations requires some understanding of individual differences. Managers spend considerable time making judgments about the fit between

individuals, job tasks and from these approaches it can be concluded that there is an overwhelming consensus that the, environment has a much greater effect than it is believed. The implications for organizations are important. It means that large areas of human behavior are modifiable. Organizational design, training and development can have a profound impact on the behavior of the members of an organization. Thus, understanding human behavior is essential for an effective manager, as it facilitates to achieve organizational goals better.

CONCEPT OF ORGANIZATION BEHAVIOR (STUDY OF HUMAN BEHAVIOR IN ORGANIZATION):

- Organization behavior is the study of people do in an organization and how their behavior affects organizations performance.
- It is concerned with the study of human behavioral work.
- It is the systematic study of the behavior of individuals and groups in organizational setting.
- It is concerned with understanding, predicting and managing human behavior in organizations effectiveness.
- The emphasis of OB is to integrate the organizational elements of people, structure, technology and environment.
- According to Fred Luthans:
"Organizational behavior is the understanding, prediction and management of human behavior in organizations".
- Organizational behavior consists:
 1. Individual behavior (Micro level)
 2. Group behavior (Meso level)
 3. Organization behavior (Macro level)

Inputs ← Processing → Outputs

<u>Diversity Issues in Organization /Stimulus</u>	<u>Organism</u>	<u>Organizational behavior consequences</u>
Individual Diversity Variable	Individual Process	Impact of Diversity Issues in Organization/Effectiveness
1. Personal Characteristics 2. Personality and emotions 3. Values and attitudes 4. Ability	1. Perception 2. Motivation 3. Learning 4. Individual decision making	In terms of: 1. Productivity 2. Absenteeism 3. Turnover 4. Job satisfaction 5. Organizational citizenship
Group Variables Formal Leadership Roles Norms Size Composition Cohesiveness	Group Processes Communication Leadership Power and politics Conflicts Work teams	
Organizational Variables Organization structure Organization culture	Organizational Processes HRM policies and practices Job design	

INPUT (HUMAN DIVERSITY ISSUES IN ORGANIZATION/ISSUES OF HUMAN BEHAVIOUR IN ORGANIZATION):

1. Individual Behavior/Diversity Variable:

They are person specific. Each individual in the organization individual differences. They consists of:

a. Personal characteristics:

- They are age, gender, and marital status, etc. They influence a person's behavior at work.

b. Personality and Emotions:

- Personality is the sum total of ways in which an individual reacts and interacts with others.
- Personality traits influence behavioral responses.
- Emotions are intense feeling that are directed at someone or something. They are reactions to an objects. They are not traits.

c. Values and attitudes:

- Values represent basic convictions. They represent an individual's ideas as to what is right, good or desirable. Values system influences behavior.
- Attitudes are favorable or unfavorable statements or judgments concerning objects, people or events.
- They reflect how are feels about something. They are evaluative statements or judgments. Attitudes influence behavior. Job satisfaction is an example.

d. Ability:

- It is an individual's capacity to perform various job related tasks.
- Individuals differ in terms of their abilities.
- Ability influences behavior.
- Ability can be intellectual abilities to do mental activities and physical abilities to do less skilled and standardized activities.

2. Group Behavior Variables:

- A group is two or more interacting and interdependent individuals who have come together to achieve a particular objective.
- Group behavior differs from individual behavior.
- Group variables are concerned with the structure of groups.
- The structure of group shapes the behavior of its members. The structure variable of groups are:
 - a. Formal Leadership:** Position based formal leader of the group.
 - b. Roles:** A set of expected behavior patterns attributed to a given position.
 - c. Norms:** Accepted standards of behavior shared by group members.
 - d. Status:** A socially defined position or rank given to group or its members by others.
 - e. Size:** Number of persons in the group.
 - f. Composition:** Variety of abilities in group members.
 - g. Cohesiveness:** Degree of attraction of group members to each other and motivation to stay in the group.

3. Organization System Variables:

- They are concerned with the organization system.
- They are independent variables consisting of:

a. Organization Structure:

- It defines how job tasks are formally divided, grouped and coordinated. It involves differentiation as well as integration.
- The key elements in an organization structure are:
 - Specialization
 - Departmentalization
 - Chain of command
 - Span of control
 - Centralization and decentralization
 - Formalization

b. Organization Culture:

It refers to a system of shared meaning held by perception of values, beliefs and norms. The key characteristics of organization culture are:

- Innovation and risk taking
- Aggressiveness
- Reward system
- Stability
- Outcome orientation
- People orientation
- Team orientation
- Collaboration

B. PROCESSING (PROCESSING OF HUMAN DIVERSITY ISSUES IN ORGANIZATION):

1. Individual Level:

a. Perception:

- It is a process by which individuals organize and interpret their sensory impressions for giving meaning to their environment.
- Individual behavior is based on the perception of what reality is, not on actual reality. Factors in the perceiver, target being perceived, and the perception environment shape perception.
- Perception is an important mediating cognitive process for OB. People make interpretations of stimulus through perception.

b. Motivation

c. Learning

It is any relatively permanent change in behavior that occurs as a result of information and experience. Positive reinforcement is a powerful tool for behaviour modification. Rewards increase the likelihood of repetition of performance-enhancing behavior.

d. Individual Decision Making:

2. Group Level:

- a. Communication
- b. Leadership
- c. Power & Politics
- d. Conflict
- e. Work Team

3. Organization System Level

- 1. HRM policies and practices
- 2. Job Design
 - Autonomy
 - Variety
 - Task identify
 - Task significance
 - Feedback

C. OUTPUTS (IMPACTS OF HUMAN DIVERSITY ISSUES IN ORGANIZATION):

- Outputs of OB system are the behavioral consequences of dynamic interactions between individual, group and organization system behaviors. They are dependent variables and are affected by the independent variables constituting inputs in the OB system. They are the responses that OB wants to understand, predict and manage.
- The behavioral consequences of OB affect organizational effectiveness.
 - a. Productivity
 - b. Absenteeism
 - c. Turnover
 - d. Job Satisfaction
 - e. Organizational Citizenship

Basic Assumption of Organization Behavior:

- Organization behavior is concerned with understanding, predicting and managing human behavior in organizations for improving organizational effectiveness.
- The basic assumptions of OB revolve around:

Nature of People:

a. Individual Differences:

- Each individual is different since birth from all others. The individual experiences also differ and make people more different.
- Manager should treat employees differently for motivation purposes.
- There is no standard or across the board way of dealing with employees.

b. Selective Perception:

- Perception is a process by which individuals organize and interpret their sensory impressions

for giving meaning to their environment. Each person has a unique way to see, organize and interpret things. His view is filtered by perception.

- Employee tend to act on the basis of their perceptions. Their behavior is based on selective perception of what reality is not on actual reality.
- Managers must learn to expect perceptual differences among employees.

c. A Whole Person:

- People function as a whole person. Work life can not be totally separated from home life. Emotional conditions cannot be separated from physical conditions. The characteristics and traits make up a whole person.
- Managers should care about the effect of job on the whole person. They should aim for the all round development of an employee.

d. Motivated Behavior:

- Motivation is essential to the operation of organizations normal behavior is caused by needs.
- Managerial actions may either fulfill unsatisfied needs or threaten the fulfillment of needs. Managers should take an approach that leads to increased need fulfillment to motivate employees.

e. Desire for Involvement:

- People desire self-efficacy. They tend to believe.
- They tend to believe that they have capabilities for task performance, role fulfillment, make meaningful contribution and meet challenging situations.
- They seek opportunities to get involved in decision making.
- Organization should provide opportunities for meaningful involvement of employees for contributing their talents and ideas.

f. Value of the Person:

- Person should not treated as economic tools.
- They should be treated with respect and dignity. They want to be valued for their abilities and skills. They want to be provided opportunities to develop themselves.
- Managers should give due recognition to the aspirations and skills of employees. They should be valued as a person.

CONCEPT OF CONFLICT MANAGEMENT:

- **Conflict management** is the process of limiting the negative aspects of conflict while increasing the positive aspects of conflict. The aim of conflict management is to enhance learning and group outcomes, including effectiveness or performance in organizational setting. Properly managed conflict can improve group outcomes.
- Conflict is the outcome of behavioral interactions. It consists of all kinds of opposition or antagonistic interactions.
- Leaders spend 20% of their time dealing with conflict.
- According to Fred Luthans
"Conflict is any situation in which two or more parties themselves in opposition."
- If conflict is too high, it can became a hindrance to performance. If it is too low, performance tends to be low. A desirable level functional conflict is good for organizational and group effectiveness.
- An important role of leaders is to manage conflict through its stimulation and resolution.

Approaches to Conflict:

1. Traditional Approach:

It views that all conflict is harmful and needs to be avoided.

2. Behavioral Approach:

It views that conflict is natural and inevitable outcome in interpersonal interactions and needs to be accepted and resolved.

3. Interactionist Approach:

It views that conflict is a positive force in a group or organization. It is absolutely necessary for effective group performance.

TYPES OF CONFLICT:

1. Functional conflict:

It is issue oriented. It is generally of administrative or technical nature. It is of constructive form. It supports the goals of the group and improves its performance.

2. Dysfunctional:

Conflict is of personal nature. It is personality oriented. It is based on deep rooted personal feelings and attitudes. It is destructive form.

Types/ Levels of Conflict:

Conflict is classified into the following four types levels :

- **Interpersonal conflict** refers to a conflict between two individuals. This occurs typically due to how people are different from one another. We have varied personalities which usually results to incompatible choices and opinions. Apparently, it is a natural occurrence which can eventually help in personal growth or developing your relationships with others. In addition, coming up with adjustments is necessary for managing this type of conflict. However, when interpersonal conflict gets too destructive, calling in a mediator would help so as to have it resolved.
- **Intrapersonal conflict** occurs within an individual. The experience takes place in the person's mind. Hence, it is a type of conflict that is psychological involving the individual's thoughts, values, principles and emotions. Interpersonal conflict may come in different scales, from the simpler mundane ones like deciding whether or not to go organic for lunch to ones that can affect major decisions such as choosing a career path. Furthermore, this type of conflict can be quite difficult to handle if you find it hard to decipher your inner struggles. It leads to restlessness and uneasiness, or can even cause depression. In such occasions, it would be best to seek a way to let go of the anxiety through communicating with other people. Eventually, when you find yourself out of the situation, you can become more empowered as a person. Thus, the experience evoked a positive change which will help you in your own personal growth.
- **Intragroup conflict** is a type of conflict that happens among individuals within a team. The incompatibilities and misunderstandings among these individuals lead to an intragroup conflict. It arises from interpersonal disagreements (e.g. team members have different personalities which may lead to tension) or differences in views and ideas (e.g. in a presentation, members of the team might find the notions presented by the one presiding to be erroneous due to their differences in opinion). Within a team, conflict can be helpful in coming up with decisions which will eventually allow them to reach their objectives as a team. However, if the degree of conflict disrupts harmony among the members, then some serious guidance from a different party will be needed for it to be settled.
- **Intergroup conflict** takes place when a misunderstanding arises among different teams within an organization. For instance, the sales department of an organization can come in conflict with the customer support department. This is due to the varied sets of goals and interests of these different groups. In addition, competition also contributes for intergroup conflict to arise. There are other factors which fuel this type of conflict. Some of these factors may include a rivalry in resources or the boundaries set by a group to others which establishes their own identity as a team.

Causes of Conflict in Organization:

1. Sources of Interpersonal Conflict:

Interpersonal/Intra-group conflicts occurs between individuals in the group.

- | | |
|---------------------------|-------------------------|
| a. Personal Differences | b. Goal Differences |
| c. Information Deficiency | d. Role Incompatibility |
| e. Threat to Status | f. Sexual Harassment |
| g. Organizational Change | h. Environmental Stress |

2. Sources of Inter-group Conflict:

Inter-group conflicts occurs between groups. Its source are as follows:

- | | |
|-----------------------------|-----------------------------------|
| a. Composition of resources | b. Task Factors |
| c. Status Struggles | - Task independence |
| d. Reward system | - Task Ambiguity |
| e. Organizational Change | - Differences in work orientation |

f. Organizational Climate

- Mutuality of interest
- Autonomy
- Collaboration
- Climate of trust
- Open Communication
- Performance based reward system

CONFLICT PROCESS:

1. Incompatibility (Potential Opposition):

Conditions that create conflict opportunities should be present. They are the causes or sources of conflict. They can be:

a. Communication:

b. Group structure:

- Size
- Task specialization
- Ambiguities in authority & responsibilities
- Member-goal incompatibility
- Leadership style
- Reward system
- Degree of inter group dependence

c. Personal Variable:

- Individual value system
- Personality characteristics

2. Cognition and Personalization (Conflict Definition):

- Incompatibilities get actualized in this stage.
- One or more parties should perceive conflict.
- Perceived conflict is awareness by one or more parties of incompatibilities that create conflict.
- The conflict should be personalized or felt.
- Felt conflict is emotional involvement in a conflict creating anxiety, tenseness, frustration or hostility.

3. Intentions (Purpose Definition):

- Intentions are decisions to act in a given way. They can be:
- Competing
- Collaborating
- Avoiding
- Accommodating
- Compromising

4. Behavior (Interaction Process):

- Behavior is overt or physical attempts to implement intentions.
- They include statements, actions, and reaction made by conflicting parties.
- Conflict management is done at this stage.
- Conflict management is the use of stimulation and resolution techniques to achieve the desired level of conflict.

5. Outcomes:

Outcomes are the consequences of behavior. They result from action-interaction interplay between conflicting parties.

- Functional-conflicts results in an improvement in groups performance.
- Dysfunctional conflicts hinders group performance. It is destructive.

Possible outcome: 1. win-win (most prpf. outcome) 2. win-lose 3. lose-win 4. loss-loss

MODES OF CONFLICT MANAGEMENT/ METHODS OF DISPUTE RESOLUTION:

- A. Negotiation B. Facilitation C. Mediation D. Arbitration E. Legal Action

NEGOTIATION:

- Negotiation is a dialogue intended to resolve disputes, to produce an agreement upon courses of action, to bargain for individual or collective advantage, or craft outcomes to satisfy various interests.
- Negotiation occurs in business, non-profit organization, government, legal proceedings, among

nations and everyday life.

Rules for Negotiation:

1. Accept only creative outcomes.
2. Understand cultures, especially your own.
3. Don't just adjust to cultural differences, exploit them.
4. Gather intelligence and reconnoiter the terrain.
5. Design the information flow and process of meeting.
6. Invest in personal relationship.
7. Persuade with questions, seek information and understanding.
8. Make no concessions until the end.
9. Use techniques of creativity.
10. Continue creativity after negotiation.

Negotiation Style/Responses:

The style used during a negotiation depends on the context and the interests of the other party, among other factors. In addition, style can change overtime.

1. **Accommodating:** Individuals who enjoy solving the other party's problems and preserving personal relationships. Accommodators are sensitive to the emotional states, body language and verbal signals of the other parties. It is self-sacrificing.
2. **Avoiding:** It is desire to withdraw from our suppress a conflict. Individual who do not like to negotiate and don't do it unless warranted.
3. **Collaboration:** Parties to the conflict each desire to fully satisfy the concern of all parties. They look for mutually beneficial outcomes. They resolve conflict in a creative way.
4. **Competing:** One party to the conflict is willing to satisfy his interests, regardless of the impact on the other parties.
 - Competitive negotiation often neglect the importance of relationships and dominate the bargaining process.
5. **Compromising:**
 - Each party to the conflict is willing to give up something.
 - Compromiser can be useful when there is limited time to complete the deal.

FACILITATION:

- Facilitate means to make easier.
- Facilitation is used to guide meetings, mediate conflicts, and deal with contentious situations. In some cases, facilitative role in meetings is to help community, groups define goals, avoid or resolve conflict, and make decisions.
- A facilitator promotes and facilitates contacts between the parties in a conflict, without becoming involved in the matter under negotiation. The facilitator is freely chosen by the parties to a conflict.
- A facilitator is a neutral party who moderates discussions, monitors speaking time, records key discussion points, periodically summarizes the discussion, and provides constructive feedback. Facilitators help create an atmosphere of trust and fairness by ensuring that all groups have equal say in the discussion and that everyone understands each other. In contentious situations, the facilitator maintains civility and keeps the discussion focused.

MEDIATION:

- Mediation is a way of resolving dispute, between two or more parties.
- A third party, the mediator, assists the parties to negotiate their own settlement (facilitative mediation). In some cases, mediators may express a view on what might be fair or reasonable settlement, generally where all the parties agree that the mediator may do so (evaluative method).

What does the term "mediation" mean?

Mediation is a confidential, voluntary dispute resolution process in which the mediator - an acceptable, impartial, and neutral third party - assists the parties to resolve their dispute and look for workable solutions. The mediator's role is to help the parties to:

1. define and clarify issues.
2. explore areas of commonality and mutual understanding as well as areas of difference.
3. explore possible solutions that might lead to the ultimate settlement of the dispute.

Mediators never render decisions on the issues in dispute.

What are the different kinds of mediation?

Since the 1960s, three types of mediation have evolved:

1. Facilitative Mediation

In facilitative mediation, the mediator helps the parties to reach a mutually agreeable resolution to their dispute. The mediator asks questions, explores and validates the parties' points of view, searches for interests underlying the positions, and assists the parties to find solutions to their dispute. The facilitative mediator does not make recommendations to the parties, give his or her own advice or opinion as to the outcome of the case, or predict what a court would do in the case. The mediator is in charge of the process while the parties are in charge of the outcome.

2. Evaluative Mediation

In evaluative mediation, the mediator takes a much more active role in bringing the dispute to some form of resolution. The evaluative mediator will point out the weaknesses in each party's case, and predict what a judge or jury would be likely to do. An evaluative mediator may make formal or informal recommendations to the parties as to the likely outcome of the issues. Evaluative mediators are therefore concerned with the legal rights of the parties rather than their needs or interests.

3. Transformative Mediation

While both facilitative and evaluative mediation aim to help the parties resolve their dispute, transformative mediators are more concerned about helping the parties alter the way in which they relate to each other. While a settlement is one possible outcome of transformative mediation, it is not the only outcome or even the primary outcome. A transformative mediator will therefore listen, ask questions, summarize (without changing meaning), help the parties identify and understand the issues about which there is conflict, and identify and assess options (including non-settlement options). Transformative mediators will not propose settlement terms, draft agreements or make decisions for their clients.

Why choose Mediation:

1. It is a less expensive route to follow for dispute resolution. (also less time)
2. Mediation offers a confidential process. (While court learning's of case happen in public)
3. Mediation offers multiple and flexible possibilities for resolving a dispute and for the control the parties. In case of court, resolution thrust upon the parties by the judge or jury. In mediation, parties have control over the resolution.
4. The mediation process consist of a mutual endeavor.
5. The mediation takes place with the aid of a mediator who is the neutral third party. A good mediator is trained in conflict resolution and in working with difficult situations.

FACILITATION VS MEDIATION

1. **Goal:** In mediation the goal is to get an agreement. In facilitation is to assist a group in accomplishing the "content of their work", whatever may be.
2. **Process:** Mediation typically follows a fairly set process that is determined primarily by the mediator, but which is dependent on the type of mediation (eg. family, civil community) and style of mediator (e.g. facilitation evaluative transformative). The outcome is determined by the clients. In facilitation, however the group determines the process as well as outcome.
3. **Neutrality:** Neutrality is a central term of mediation. while the facilitator certain cannot be biased, strict neutrality is of an irrelevant issues.
4. **Open Sessions:** In both mediation and facilitation, the neutral will use open or plenary session to gain and share information, encourage communication, promote problem solving between the

parties and prioritize issues. In facilitation, the open session may also be used for the actual drafting of documents.

5. Caucus Vs. Small group work:

In Mediation

In Facilitations

6. Generation of Option Ideas:

- In mediation, the parties proposes solutions and options with the mediators guidance and addition. In facilitation, the parties may be led through a series of structured techniques - brainstorming, to generate ideas.
- The facilitator does not become involved in the creation of options or ideas, but rather is limited to the role "record keeper".

7. Agenda Design and Ground Rules:

- As the owner of the process, the mediator will set the agenda and ground rules after the parties have identified the issues.
- In facilitation, the facilitator assists in designing an agenda with input from the convener and the group, which owns the process.

8. Methods of Decision Making:

- In mediation, the process of decision making is interest based negotiation and compromise. In facilitation, the group decides the process of decision making and the facilitators helps to lead it.

ARBITRATION:

Arbitration is a formal process similar to litigation but where the hearing is in private in front of a nominated third party, the arbitrator, who makes a binding decision. The arbitrator is not a court judge but rather an industry-specific expert or otherwise a well-qualified individual who both parties agree is suitable for resolving their dispute.

Arbitration is a legally based process that involves much of the procedure and type of argument that occurs in a court trial. However, arbitration is private. Like a court trial, it is concerned much more with fair treatment of the parties involved than achieving a precise legal agreement.

Advantages of arbitration:

- The parties can choose who is to be their arbitrator and this means they can choose a person with the particular expertise involved in their dispute
- The arbitral process is private and confidential to the parties and the arbitrator
- An arbitration may be held anywhere that is convenient, at any suitable time.
- Arbitration is flexible. Its procedure can be tailored to a particular dispute to make the best use of time whilst still ensuring a proper consideration of the matters in dispute
- Parties are usually free to choose whoever they wish to be their case for them
- An arbitrator's award can be enforced over all other dispute resolution methods (except litigation and arbitration) just like a court judgment, provided it followed from a properly written arbitration agreement.

Disadvantages of arbitration:

- Arbitration can be costly if the parties select a very eminent arbitrator and engage expensive lawyers or other professionals to assist their case
- The procedure and process used in an arbitral process can be complex
- It is possible to appeal an arbitrator's decision, so delaying finality, particularly if the dispute relates to an important point of law
- Legal aid is generally not available for arbitration

Arbitration is the preferred final method for resolving commercial disputes if:

1. the parties want privacy
2. they do not share the same legal jurisdiction
3. the nature of the dispute is specialised
4. one or both parties want swift resolution of the dispute

LITIGATION:

Litigation is the traditional form of dispute resolution, based on taking action through the courts. A judge sits and listens to argument on the interpretation of the relevant law as applied to the particular dispute and then makes a decision as to who wins and who loses.

The main point about litigation is that the courts are concerned primarily with applying 'public policy' and adhering strictly to the law of the land, down to the finest detail. Unlike with many non-court dispute resolution methods, a judge normally has little flexibility to consider what might be 'fair treatment' between the parties.

Advantages of Litigation:

- the process is open, transparent and public
- it is based on the strict, uniform compliance with the law of the land
- resolution is final and binding (subject possibly to appeal to a higher court)

Disadvantages of Litigation:

- the process involves imposing a solution, rather than the parties seeking to reach consensus themselves
- the process is formal and usually inflexible
- the public nature of the process might cause some embarrassment to parties if certain facts about them are disclosed or publicised
- the result can usually only be an outright winner and an outright loser
- it can take a long time before a court gets round to hearing a case after the original dispute occurred and proceedings have started- often several months to a year
- court action can be expensive, involving the hiring of solicitors and often barristers.
- For some cases, the cost to each party can exceed the amount in dispute.
- the form of redress or solution to the dispute is normally quite limited compared to what can be agreed in a non-court method - often just financial damages and award of costs.

Mediation Vs Litigation:

- The mediator as a neutral gives no legal advice, but guides the parties through the problem solving process. The mediator may or may not suggest alternative solutions to the disputes.
- Mediation offers a process by which two parties work towards an agreement with the aid of a neutral third party.
- Litigation, however, is a process in which the courts, impose binding decisions on the disputing parties in a determinative process operating at the level of legal rights and obligations.
- Litigation is conventionally used and accepted.
- Mediation is slowly becoming more recognized as a successful tool in dispute resolution.
Courts are also in some cases referring parties to mediation for low cost and less time.

ASSIGNMENT QUESTIONS FOR CHAPTER 6:

1. Discuss why arbitration is preferred over litigation.
2. Describe briefly any six sources (causes) of conflict.
3. What do you know about intra-group and inter-group behavior? Discuss.
4. What do you mean by conflict? Describe various sources of conflict.
5. Describe briefly the terms negotiation, mediation and arbitration.
6. What is conflict? Discuss how conflict can be resolved?
7. How does an organization get affected by the diversity of human interactions? Describe.
8. What are the methods of resolution of disputes? Briefly describe the principles of negotiation.